Godrej Consumer Products Ltd. (GODREJCP)

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May 05, 2023
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Scrip code: 532424

National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051
Symbol: “GODREJCP”

Transcript of Conference call with Inv estors & Analysts held on April 28, 2023

Dear Sir / Madam,

Please find enclosed herewith transcript of Conference Call of Godrej Consumer Products Limited with the Invest ors and Analysts held on Friday, April 28, 2023 at 10.00 a .m. The aforesaid information is also being hosted on t he website of the Company at the below mentioned link:

https://godrejcp.com/investors/stock -exchange -filings

Please take the same on your records.

Thank you.
Yours faithfully ,
For Godrej Consumer Products Limited

Rahul Botadara
Company Secretary & Compliance Officer

“Godrej Consumer Products Limited Analyst s and Investor Conference Call ”

April 2 8, 202 3

Management : Ms. Nisaba Godrej – Executive Chairperson, Godrej Consumer Products Limited.

Mr. Sudhir Sitapati – Managing Director and Chief Executive Officer, Godrej Consumer Products Limited.

Mr. Sameer Shah – Chief Financial Officer, Godrej Consumer Products Limited.

Moderato r: Ladies and gentlemen, good day, and welcome to Godrej Consumer Products Limited, Analyst and Investor Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to the Managem ent. Thank you , and over to you.
Sudhir Sitapati : Hi, everyone, this is Sudhir here, a very good morning to all of you. A quick presentation from our side on what we think is a hidden jewel which is RCCL and why GCPL bought RCCL , there has been a lot of cu riosity among the analyst s and investor community on why we made this move . So, I thought we would spend about 25 to 30 minutes explaining our rationale and then I will be happy along with Sameer and Nisa to take on any questions that you all have.
Having a quick reminder before we start of on RCCL and what is our strategy. And I just go back with this deck from Circa December '21, where we said that this is a business that we would like to move to double digit volume growth as an aspiration. Certain ly, a high aspiration and one that the first few quarters of last year we were quite far away from, but it still remains our aspiration. And we said we would do it through two things, we would develop the categories we are present in and fund this developm ent of category through simplifying our business. So, this was a one slide deck on our strategy for the next few years.
I think over the last two years now, or one and a half years we feel that our category development capability has got a lot better. I th ink our insights on category development are sharper. We have launched a lot of innovations which democratize categories ; one of the big levers for category development is access . We have invested media even when the going was tough in the first half of last year and are also using proprietary algorithms to make sure that the return on investment on media is at its best. And we also have an army on the ground , to give your perspective, we are making close to 10 million calls this year on home -to-home ; at any point in time, we have about 4000 people on the ground, doing on -ground marketing for GCPL. So, over the last one and a half years, along with a lot of talent boosting and talent capability, we find that our marketing capability and category development capability has significantly improved.
And we are increasingly feeling more and more confident that if we look at GCPL's portfolio which is India , International , high penetration categories and low penetration categories that the set of low penetration categories in India is really a bull's eye. And we would like to increase the salien ce of India -based low penetration categories, because ultimately penetration is the biggest driver of volume growth. We feel confident that we can probably develop a few more underpenetrated categories. When we were going to present to the analyst s and the Board on the next few opportunities we were probably going to sa y that we feel ready that along with developing existing portfolio s, we could probably develop a few more underpenetrated categories in India, some perhaps organic, some perhaps inorganic, and we were really mulling

over what are the categories that we sho uld develop organically . What are the categories we should develop inorganically . Deodorants has always been a category that has been quite on top of my mind personally, I kind of have known it at a distance for many years. And it's one of those categories which is surprisingly attractive in many par

ts of the world, where Deodorants
become like an oral care category , where people don't leave home without Deodorants , especially in Latin America and so on, where it's hot. And where category development has been very good, it becomes a basic necessity category for those countries. And I kept wondering why this category hasn't develop ed but it was, you know kind of slightly recessive because many things to do and also Deodorants in India I wasn't sure is it too fragmented . Is the category really a high margin category in India, and do we have other problems to fix when we got this phone call from the bankers for Raymond saying this asset is available. And w hen the call came, I said, yes I mean good but you know probably not for us, not at this time, not sure about Deodorants , not sure about Sexual Wellness and I sort of park ed the thought and I didn't take this forward for a few days when the call came, I al so know this has been around for some time.
A few days later I was in Pune market where I just happened to be in one of th ese retail outlets and I saw this Beer Shampoo of Park Avenue, which I had seen in the past , I thought the packaging was quite interes ting but had never tried it. I just pick ed this up because I have spoken about Park Avenue a few days ago so I thought let me just try this product. Despite my income levels , I operate pretty close to the median of the consumer in terms of Personal Care. So, this is roughly my Personal Care repertoire, in my bathroom, there is a Cinthol soap which I have been using for many years. Earlier on, it was in the closet, but right now I use it openly.
And secondly what has now replaced my shampoo has been this Be er Shampoo because I really like the product. And that got me curious about the company . Then, we did a few visits to retailers to check out their main line of business which is Deodorants . One of the interesting things we found about Deodorants when we we nt to the shop was that unlike many other brands of Deodorants this was centered around a few key SKUs. They had Park Avenue Good Morning , Park Avenue Voyage and Kamasutra Spark, which itself tells you that people are buying products and not brands .
And t hen I visited a Good Morning consumer, who really swore by it . He was using it every day the way Deodorants are used in many countries in the world, spraying it on the body and goi ng to office every day and said I can't go to office without using Good Morn ing.
I think that really picked our curiosity about the fact that perhaps this was a slightly different company in the deodorant space, because that really was our primary interest. And we said okay let's have a look bit more closely at this business. What we found was a couple of things about the RCCL business. The first is that the brands were Park Avenue and Kamasutra , in men's Deodorants it was #2 in men's , and men's is about 75% of the Deodorants market in India. Surprisingly the market share had been rock-steady for as long as we could find market share in the 18 % to 19 % range of shares. It was #3 in commercial condoms, had lost a bit of share and then had stabilized , but Deodorants was a rock -steady market share. When we look at it s sales

mix it was 6 0% Deodorants , 20% Condoms , another 6% to 7% of Soaps and Shampoos each and another 7% to 8% of other things. So, predominantly Deodorants business, Deodorants of course is both Kamasutra and Park Avenue ; and condoms is only Kamasutra. But the majority of the Deodorants , two -thirds of the Deodorants was Park Avenue.
We then said, okay, this is looking interesting, the product seems to be good, consumer s seem ed to like it. Stable share over long period and we know that this hasn't been a company that's inves ted too much in advertising. So, we said, okay let's look at these numbers a li

ttle bit more
in detail, and we saw that the growth prior to Covid of this business was double digit about 10% for many years actually. During Covid like many businesses their business dipped, post -Covid it has come back to pre -Covid levels pretty rapidly. Kind of again indicating that Park Avenue in Deodorants is a strong brand, all th ese sort of indicate that we are really talking about a strong brand.
Incidentally Park Avenue was launched in India in 1964 , so it's been around for a long time in the Fragrance space. But we then looked a little deeper in the financial, we went to a next step saying, this is an exciting category, this does look like a strong brand or the makings of the strong brand, a loyal product. Couple of things surprise d us when we looked at the P&L . The first was that the gross margin was largely in line with the GCPL gross margin , and this was despite the fact that the MRP to NSV leakage was in the 50s . To give you a perspective, GCPL's MRP to NSV leakage is in the 30s. So, that was about 2000 bps more that was the gap between MRP and NSV, and part of this to be explain ed by category, but most of these gets explained by distribution and direct distribution a nd distribution discipline and efficiency, companies that have better direct distribution tend to have a lower leakage from MRP to NSV.

We also saw that the advertising and publicity was in the mid single digits, it seemed a bit low . Even GCPL has advertising and publicity in India, I am talking all India here is 10% . And the other one which was quite staggering was that the employee and other expenses were in the late 30s. GCPL India's empl oyee and other expenses are 18% . The gross margin that was similar to GCPL was resulting in EBITDAs of high single digits where GCPL runs mid -20s EBITDA. So, what we were seeing is that a lot of los s from MRP to NSV, and then from NSV and GM down to EBITDA a lot of loss that consumers don't really see . Consumers d on't really see employees and other expenses they only see gross margin and advertising publicity. So, it did look to us that there seems to be a lot of scope in this P&L for value creation and we said, okay, now let's study this business a little bit more carefully.

So, this was just a portfolio of some of their SKUs including Good Morning, Voyage, Spark, and Kamasutra. I think there are three reasons why we bought the business. So, once we sort of got the preliminary check on product strength starting brand strength next, margin expansion possibilities.

When we said that there are three key reasons why this is an exciting business. Fundamentally in countries like India one has to take a step back, because in the FMCG, PCC game, we are

very low. And one has to take a long view on categories and both Deodorants and Sexual Wellness , we think have long growth runways, it depends a lot of how leaders manage it, but fundamentally long runways. These are powerful and underleverage d brands and three resource signif icant cost synergies in the deal.

Let me first talk about categories having strong growth runway. So, Deodorants is a super exciting category across the world . Nisa and I was just talking about it now and how many countries, Deodorants has been develop ed the way Oral Care has been developed, it's akin to Oral Care rather than akin to Perfumes . And if you take India for example, if per capita consumption is x, it's about 40 cents ; Vietnam which is one and half times the income of India, has two and half times the per capita consumption. Indonesia with 3x, it's about a $4,000 has 3x. Thailand is $6,000, so about three and a half times India's per capita income has 7x. And Mexico which is about $9,000 so about four and a half times has 14x the per capita consumption of Deodorants .

If you see almost all countries that have a per capita GD

P of greater than $10,000, Deodorants and Fragrance s is the largest HPC categories, except the U.S. where it becomes a second or third. But almost all other countries, so unless you go to really high per capita income like Scandinavia etc., then other one or two more HPC categories come , but anywhere between $10,000 and $35,000 Deo plus Fragrance s is the largest HPC category. And both consumption and penetrati on so as income goes up, consumption goes up, it becomes a regular -used category . I cannot go to office without Deodorants . But in India we not only have massive consumption gap, we also have massive penetration gap.

And we reckon we can draw a curve of how per capita consumption of Deodorants will go up with income. We reckon that this should be at a dollar and this is all in dollars or in volumes which ever way you look at it, a 13% to 14% CAGR is what logically speaking this category should be. And a lot of it depends on what companies and marketers here do . And so if this is the dollar number, we are talking of the rupee number that's higher than this. So, that's the real destiny of this category the way we look at it. So, firstly, this is a one of those categories that would become huge in India and is structurally a very attractive category.

Contrary to perception and a lot of analysts have asked us the question on whether , is this category , a lot of people I speak to say oh you know this is just not excit ing, there are too many players, and it's too fragmented . But actually when you put pen to paper right , because what appears in the market is a long tail but if you look ed at the data and we got Bain into do piece of work for us that the number of bra nds purchase d per household per year in Deodorants is less than Soaps and a little bit more than Shampoo and Washing Powder . So, they are all in this kind of 3.5 to 5 range of number of brands used. And secondly, the number of brands that contribute to 2/3rd of the category is not different in Deodorants than it is for the other categories or it's not materially different.

So most of the big categories seem ed to have about four brands for using category and about five to six brands account for 2/3 two-thirds of the category. So, if this is not an outli ers either in terms of loyalty or fragmentation and we also saw that you know if it was a super fragmented disloyal category, it's hard to make high gross margins here. So, the fact that it's making hi gh gross margins even at the size at which RCCL is, sort of lend s credence to this, but this is kind of more rigorous work based on panel data and our consumer work.

I think that has been a question that a lot of you all have asked, one question is, is thi s really an exciting category ? I want to say that, if you take a long view of this and that's how we got to really look at a market like India and most certainly is, but even if one takes a short view of it, it appears more distort and fragmented than it r eally is, it really is a long tail, it really is a few brands occupying 60 share. And there has been a question saying, you know when you guys have Cinthol if you believe Deodorants is such a big play, why not play with Cinthol .

I got a few questions last night, I read, one or two analyst s report so . In my bookshelf, in my office I have this book, which if you haven't read it, is one of those books that you must read as FMCG analysts book called The 22 Immutable Laws of Marketing . And the very first law tha t Ries and Trout say, "It is better to be first than it is to be better. " First whoever advantage and that reason is when you enter a category you have a bit of mind space and it's very easy to take the mind space. And the second person takes a little bit of it, the third takes it, and after that that mind space gets occupied for the category.

The second law of t

he book just tells you how important is it that if can't be first in the category, you setup a new category where you can be fir st in. So, what Ries and Trout are saying which is my experience says if you are not among the first few entrance in the mind, you can only enter a category if you have a seriously disruptive product. So, Cinthol entering as another Deodorant, will be very hard when there are five or six brands that have already occupied the mind space of Deodorants . And it's important to understand that mind space w as a different concept to market space . And while the market is underdevelop ed, the mind, when you say Deodor ants has already got a few brands that consumers have taken ownership. If we want to play Deodorants , it is important that we first take one or two of these brands that have already taken that real estate in the mind. So, that's probably why we may still h ave a view on Cinthol, we have not thought about it, but it's important that if we want to enter Deodorants we enter with brands that are already established and develop the category.

That's really about Deodorants on why it's an exciting market, why the c haracteristics of the Deodorant market in India contrary to popular perception are not different from other HPC and why it's important for us to enter inorganically, and hard for us to enter organically. Condoms is the other category which is , to be perfectly honest, not the first reason why we are looking at this acquisition. As we started studying condoms, we felt that there is a big growth runway here as well, the global leader in condoms firstly is an FMCG player which is similar to us, the channels are quite similar, it is a heavily marketed and distributed category. What we also realize d in India is that two -thirds of this market is non -commercial condoms in terms of

volumes. So, another 25% o f it is mass commercial, but really lot of the action is happening in premium commercial, which is Ultra -Thin , Long Lasting etc., and that market has been consistently growing for five years at 20%.

Kamasutra plays already in kind of the lower end of premium commercial and can certainly ride this trend , it has a strong equity th ere seems to be one player playing premium commercial today. And certainly th ere seems to be scope for a second one with a very large upgradation o r premiumization value driver. So, you have one category Deodorants which has a pe netration and consumption value driver and another category which has a very large premiumization value driver.

So, that's really why the categories were fundamentally attractive to us. And I guess the question is that the categories maybe attractive but w hat about the brands ? And anecdotally, I told you right we got interested in this acquisition because we found a lot of people, not all that many people who are using this one, it is not the most famous of brands , but those who were, were swearing by these products. So, I think if you look at Park Avenue, if you know the Deodorants share of RCCL has been rock-steady, despite pretty much not spending media in this category. So, it's been a pretty absent in media, it has been under -distributed even compare d to the market leader, leave alone the fact that as I show you in the next chart, we actually think that the Deodorants category itself can be better distributed. So, it's a low media i nvestment, average distribution. But when we did an NPS score, which is looked at users and Net Promoter Scores of users we actually found that Park Avenue was pretty much at the top of the category. So, all of this sort of makes sense - strong brands, few variants, high margins, stable market share, because an existing base of loyal users who really like the product a lot.

Apart from the underleveraged equity of Park Avenue, we feel that the category itself with

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player like GCPL, who has let's say 4x the direct distribution reach of Park Avenue, we feel that we can go wel l beyond the category in terms of distribution. At the same time, Kamasutra has an excellent chemist footprint . Similar chemist footprint to us though not all intersecting, so some unique outlets for Kamasutra, some unique outlets for us, but I think the i nteresting thing is, condoms are a necessity for a chemist . Household Insecticide and Air Fresheners are a nice optional, I mean they will keep it if you go to them, but they are not going to go and necessarily buy these categories. So, if you have a necessity product for chemist, we would be able to probably improve the distribution of Household Insecticide and Air Fresheners in chemist as well.

So, that was really the point on brand strengths and leverage. Finally coming to this point o n significant, which is probably , one is look at the stars on what these categories can do, one has to have one feet firmly on the ground, in terms of what we can deliver in the next 12 to 15 months, because otherwise there is no point having th ese kind of acquisitions with all the bets on the future.

I think cost synergies are something that we are 100% , well you can never say 100%, but very very confident of. There is definitely a large scope to reduce MRP to NSV leakage and there are very simple things , for example, the urban distributors in RCCL makes 6.5% distributor margin, ours are at 5%. The rural channel there is a 10%, 11% distribution margin leave the retailers aside, ours is 7%. So, there are just very low hanging fruit. And then there are lots m ore that we can do.

The second one is really on fixed overheads as I told you fixed overheads and other expenses are in the late 30s versus 18% for us. So, you can just imagine what it is that we can get out of this. Then a bunch of smaller ones, one is Soaps is a small business but there is significant savings . Procurement , we are a large buyer of aerosols both in Household Insecticide and in Air Fresheners and palm oil derivatives as well. So, aerosols in particular is a category where we will now probabl y be the largest aerosol buyer in India , it will give us significant scale, and we also intend to radically simplify our business .

See we radically simplified our Indian business; I think we have kind of halved our SKUs over the last one year. And what we are going to do and what we are going to do here is, to kind of rationalize the non -core so whatever we need to take in the first year, we will take , and remove the low margin SKUs, bring the blockbusters into play here. And that also ultimately leads to significant cost synergies, a lot of overheads get spen t on the long tail, and one doesn’t really understand the cost. So, once you cutoff the long tail, you w ould find a lot of cost savings coming as we have even i n India. So, at the one end of the spectrum we are very confident of the product and the brand and at the other end of the spectrum, we are very confident of the cost that we can remove.

With that I will hand it over to Sameer to just talk you through the business case and the valuation of this business.

Sameer Shah : Good morning to all of you. So, let me try to sort of cocktail in or what you have heard earlier in terms of outlook and numbers. To begin with FY'23, the revenue of the business is close to around Rs. 6 20 odd crore and the margins are somewhere in the range of mid to high single digits. In FY'24 on revenues front we will drive simplification, we will see SKU rationalization and also focus on core. We will also see marketing investments and market development initiatives . Hence we expect, I mean in FY'24 the revenues to be more of the same in absolute terms as compare d to FY'23 , and margins to be relatively better as compare d to FY'23, but n

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a whole lot .

Obviously, I mean simple maths would suggest that in FY'24 the acquisition is going to be EPS dilutive but come FY'25, we remain extremely confident of clocking low double digits to mid-teens growth in this portfolio. Given my cost synergies, scale ; driven by a revenue growth drivers, we do expect overall EBITDA margins to move up to mid-20s, from FY'25 onwards and that’s not just the year outlook, it’s I mean onwards and we expect this trend to continue

both in terms of growth and margins in the acquired business from FY'25 onwards. EPS woul d be largely neutral in FY'25 is what we believe at this point in time.

If we move to the next slide, which is on valuation and funding, let’s break this into two parts, let’s start with valuation. There has been lot of questions in terms of what’s the gross, what’s the net valuation, and I think a couple of clarifications over here . If you look at the gross valuation, it’s Rs. 28 25 crore which got released in stock exchange filing s. But that includes a Rs. 100 crore of cash in the balance sheet which we will acquire . So, the net valuation is around Rs. 27 25

crore, so that's point #1 .
The other thing to note over here is the way we have structured th is transaction which is a slump sale as a result of which we will acquire brands. And these brands will get depreciated in tax books, in statutory books these brands will have indefinite useful life, so there will be no depreciation, no P&L impact and no EPS impact. But in tax books, the b rands will get depreciated as a result of which the tax profits will be lower. And very importantly the cash tax outflow for a period of the next 7 to 8 years would be significantly lower. This from an NPV perspective, roughly aggregates to around Rs. 400 crore and this was quite an important aspect in terms of the overall value which we paid for the business, because the way we looked at this transaction net from a valuation perspective is about Rs. 27 25 crore but close to around Rs. 23 25 crore adjusting t he cash tax savings which we get, the way we have structured this transaction and that implies close to around 3.7 to 3.8x of FY'23 sale value.
On the funding front, couple of things, we are going to evaluate short term financing to begin with. At this point in time, say as of March end, we are net cash. W e will be net debt for next six months I think, ceteris paribus and with the cashflow expected in FY'24, by mid of FY'24 again we will be net cash. So, that's the piece on funding as well a s how the net debt, net cash will evolve over the next six to eight months.
Thanks for your patient hearing, we can open the floor for the Q&A.
Moderator : We will now begin the question -and-answer session. The first question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta : I just wanted to follow up, the market split based on income for Deos, is it similar to Oral Care with a large c hunk at the base end, if you could kind of help understand that.
And secondly if you could , there is going to be , the brand is going to be split between two parties, in terms of FMCG being with you especiall y Park Avenue and the garment business being with Raymond . So, how do you kind of address the possible your share in terms of brand positioning which could pan out?
Sudhir Sitapati : The market , when I was comparing it with Oral, I was comparing it in many other countries not in India . The market in India for Deodorants is very different from Oral, Oral is universally penetrated in urban and rural and consume d twice a day. Deodorants is only 20% penetrated in

urban areas , roughly it's about Rs. 200 a bottle for aerosols and even for water -based sprays. And of course, now they have the smaller pack as we

ll. So, it's a very different dynamic from
what Oral is, I was only making a point to Oral to see that what can the future be, if we develop the category such that body odor becomes as impor tant a driver f or consumer as Oral on breath .
Nisa Godrej : Yes, just to add on that I think Deodorants has been developed as Fragrance and a want versus a basic need in other countries . So, in a hot tropic al country, we definitely see that as a huge advantage. I think on the question on the brand being both in lifestyle and in consumer care, I think legally obviously we have complete rights for this for all the consumer product categories with GCPL. You will appreciate that Godrej has a lot of experie nce of having a brand that grows across many categories. We see even in Godrej that the re has been very little rub off from one category to the other. So, consumers really go into the category to buy that category. So, I think Park Avenue is very standalon e in the consumers mind as a deodorant brand. I don't think , they necessarily are buying it because of the clothes brand. I think as we go down over the next few year, we will have the opportunity to enhance the Park Avenue brand, perhaps bring Godrej into the branding so those are all options that we will look at in the future. But we don't see this as a risk at all.
Avi Mehta : And just and small bookkeeping, if you could give us a sense on the current market size for Deodorant and Condoms reach ?
Sudhir Si tapati : I think the, I mean estimates vary but roughly I think it's probably about Rs. 5,000 crore for Deodorants and abo ve; Rs. 1,200 crore for commercial condoms that is probably the size today. Deodorants is more accurate, condoms is a little bit more difficult because the re is huge amount of non -commercial condoms, but that's the ballpark of the market size.
Moderator : Next question is from the line of Vivek from Jefferies. Please proceed.
Vivek : Great, a few questions first is, Sudhir ever since you took over the idea was to simplify and there has been a simplification journey and we are seeing results partially. One impression that I have is that , in the conte xt of where let's say India HI is or for that matter, Indonesia, do you not feel that this acquisition is the bit ahead in time given that you still have had job at hand, in terms of turning around particularly the HI business which is one of the larger categories for you in India.
Sudhir Sitapati : See Vivek, one doesn't completely choose timings on things like this. But we felt confident when the opportunity came up that we were in the right direction in terms of market development of our co re categories. We have simplified our SKU portfolio and you know all this becomes a judgment call, one can wait for a perfect time and not have , so I would say the combination of

where we are in the journey in one and a half years and I think we already sent out our early reads on last quarter, we feel quite confid ent that our capability of market development has gone up quite a distance. I won't say in all honesty that we have fully solved the problem in some of our categories, but we feel confident that we are on that path. And it was the logical next step for us to then ask a question that if we get better at something, then what is our next step . And the next step was clearly to move into focusing on India .

See again you have to understand that we are focusing on HPC, we are focusing on India, we are focusing on underpenetrate d categories. So, we are not going out of focus, so we are building a DNA on market development , in India which is far and away the most attractive market we operate in, and we are kind of expanding.

Timing, Vivek one can't fully choose timin g in these things, you know. So, one just has to say one is either not ready, in which case one shouldn't do it and o

ne is reasonably confident when an opportunity comes up at the right price and the right value which we think this one is, on e has got to t hen move.

Nisa Godrej : I think our India business is a very strong business, and has the capabilities of integr ating this business quite easily . I think th e category itself is hugely interesting, Deodorants has a huge runway . We had this inorganic opportun ity which I don't think we wanted to let it go. So, but from a management bandwidth perspective I think given the strength of the India business we have enough leadership to do these integrations successfully and I think it was a very good idea to do it now.

Vivek : A couple of follow ups to that one, Sudhir and Nisa, Deodorants over the last 20 years has always been very exciting category on paper, but if you look at let's say Darshanbhai came back with Fogg moved from 0% to 18% share Unilever lost a lot of shares . Then ITC came from 0% to 5%, 6% with pocket Deodorant. The slide was revealing, but nonetheless the brand loyalty still is low and if somebody comes up with, to your point, Sudhir, if any company or play er comes up with something which is very differentiated, the loyalty still is way lower . Does that not worry you on this category ?

Sudhir Sitapati : I mean this was a question that we started off when we did our due diligence of this asset. Lot of the fact s we have on the table and I don't want to get into the diagnosis . Firstly , let's have a couple of facts on Deodorants ; pre-covid for about five years pre -covid this category grew double digits for the 10 to 15 years prior to that this was a 20% growth category. So, in all of this, this has been a category that has been fundamentally a high growth category. In this period of disruption in Deodorants , the one comp any that has held market share despite not investing has been RCCL. When one looks at consumer level data one doesn't see this as being either a particularly fragmented category I mean those are facts , right, I have presented those charts, which is to the Top 5 brands account for 65% of share of this category , nor is it a particularly disloyal category.

Now I don't want to fully share what is our diagnosis of the category at this stage because I think that will be competitive and not fair to share. But if y ou take these three facts that it's a fast-growing category, RCCL has high gross margins , RCCL market shares have been stable. And if you take these three fa cts and the fact to the category is neither disloyal nor over fragmented as it appears , I mean you go the shelves, it appears like that but when you aggregate the data and look at it, because sometimes categories look a little different on shelf than what they are , and I have seen several categories like that when you go to shel f, it looks super

fragmen ted but actually when you look beyond that, you know two, three brands have a strong pareto .

So, when you look at these four facts, I would say having done the analysis we are not worried . Along with the massive upside, which is if somebody can get this ca tegory right, and someone can convert Deodorants into Oral, in terms of being a regular use, hygiene product, from being as Nisa said a 'want ' which you use when you go for a party, like the consumer I met with Good Morning, he was using Good Morning every morning he was going to office. Then you have a really large TAM to pla y in. So, no, I think the downsides are very limited, and the upsides are very high.

Vivek : The other follow up, Sudhir was, quite a few investors have ask ed this question, does this acquisition also reflect in some ways your views on HI being a very tough category and difficult to see acceleration ahead and that's why the i dea is to diversify into something which is more attractive . Can you clarify that a bit ? And yo

ur position on existing portfolio now ?
Sudhir Sitapati : Not at all, Vivek, HI and specially premium HI which is LV and aerosols are also sub 20% penetration cate gories. Those are categories that require the exact same skills that Deodorants requires which is market development in India. HI certainly has a long runway of growth. But you know as I showed in the chart where we have a non -India portfolio, we have an I ndia portfolio , and in India underpenetrated portfolio, HI is very much part of that. But we also have Soaps and we all know that Soaps is a 99% penetrated category. So, we would like to increase the weight of categories like HI, Hair Color and Air Freshen ers in India, that salie nce and this is only one step and we will take several steps, but our game plan is to increase nature of those kinds of categories in our overall category portfolio basket . And if you look at the next decade or two decades the largest value creation opportunity for GCPL continue to be HI in India.
I will give you perspective on HI, I mean like you know since we are talking about HI per capita and I think looking at this per capita consumptions, India is again at about half a dol lar, HI category is slightly bigger than Deodorants but half a dollar, this can go to $2.5, I mean HI doesn't have a 2 0 year plus runway the way Deodorants has, because but there is still a 5x potential of grow th in HI, which is very good for the next 15 to 20 years for us.
Nisa Godrej : If you see it Deodorants from an outside end perspective, from outside of India , this is a huge category and opportunity . I went to boarding school when I was 16 in England and broadly got influenced it around that time, to use Deodorant , antiperspirant, and it's like having a bath, it's like using Soap every day. So, I think for us the category itself is really exciting in terms of what we can do with its long runway for growth. And then we w ere present ed it with this fantas tic inorganic opportunity, very strong but under invested brands and the cost synerg ies potential just make this business a real opportunity. I think given how strong our India business is, the ambition is a much bigger GCPL in India so a few more categories is a good strategy for us over the longer term.

Vivek : In media interaction you have mentioned 10% growth for this business that will you be satisfied if it grew at 10%, can you clarify on that comment as well?
Sudhir Sitapati : Well I won't be satisfied if th e business grows at 10%, but I think the business case will make sense even if it grows at 10%, simply because of the cost synergy. I think we got a separate prudence of the business case and say, okay, historically this has been a 10% and it's very unlikely this category is going to grow less than 10%. Even if it grows 10% and we have mid - 20s EBITDA which we feel quite confident of, this will be a really good business case.
But really the right potential of this business is mid -teens. That's rightful potential, I mean some of these things, Vivek take time . The bottom -line in what I have seen in the past, is bottom -line is more easy to predict, top -line takes time, top -line you have to look at the long runway, you have to have a long game on top -line and then you know because top -line is dependent both on category, but also what companies do. So, I would say the business case on 10%, but very much our ambition is mid -teens.
Vivek : And you are now buying manufacturing footprint along with, in this transaction right ?
Sudhir Sitapati : No, so it's a asset li ght transaction . RCCL buys Deodorants from third party and we have a big Deodorant / aerosol supply. The condom manufacturing will remain with RCCL, who will supply to us as a contract manufacturer.
Vivek : This Rs. 400 crore tax you know what you were talking about Sameer, are there any c

arry
forward losses o r so, or this is just the intangible s write -off that you are talking about?
Sameer Shah : This is the depreciation on intangibles w hich is largely Brands in the tax books.
Moderator : Thank you. The next question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.
Abneesh Roy : A lot of questions have been asked on Deodorant s, so my first question will be on the men's wellness. Do you see GCPL continu ing with this four, five years down the line ? Why I am asking this is, one comment in your commentary was, this was not the first reason for buying this product portfolio . And sec ond, if you see in terms of the size also as a percentage of the total business which you have bought, it's a small size. And third is GCPL currently has no presence there, and we also mention that there are non -commercial products by other companies also and maybe even the NGOs etc . So, do you see that you will continue to exist say four, five years down the line or you would focus only on the Deo essentially in the medium term.
Nisa Godrej : I think the Deo category was definitely something that we had out lined as a very interesting play for GCPL for the future. But I think while when we looked at the sort of Sexual Wellness business, I think we find that category also very interesting, but I think the main theory was on Deodorants. We can't comment in term s of four, five years later what we would do, but I think for now we are committed to play in both categories.

Abneesh Roy : My second question is on the overall leakage etc ., which you explain ed in terms of the MRP to NSV. So, now when I see your guidance for FY'24 in terms of flattish sales, flattish EBITDA, wanted to understand that because clearly in some of the acquisition by other companies we have seen that the first year in terms of sales is a bit tough , because there is normally EV to sales and methodology being used in terms of acquisition. So, there is a push model by the earlier company which is huge.
So, is that a reason why you expect sales to be flattish ? You did mention that you will rationalize the non -core and th e tail, so why would you want to start with non -core and tail rationalization in the first year ? Why don't you do it later, because ultimately when you are starting, it's better to start with bigger revenue and then also do the higher advertising spent , so could you explain that a bit?
Sudhir Sitapati : I will roughly tell you what we will probably do in y ear one. See it's important to rationalize the non-core SKUs for a variety of reasons. One is non -core SKUs tend to be lower gross margin, they tend to occ upy a lot of overheads, for instance we can easily add, just for instance , I mean it's not that we have decide d, you can easily add on the top 50, 60 SKUs on to our existing salesman who goes to a shop a t no added cost. So, it's important for us to right s tructure this, and to be strategic right from the beginning. So, that's why it's important for us to remove non - core SKUs in the beginning itself.
There is also inventory, the business runs much higher inventory than GCPL runs. We run 10 days of inventory at our distributors , they run 30 days of inventory at the ir distributors.
The distribution gains that we see will not coming in the first few months. We will figure out what parts do we retain , what part to be merge, all this won't happen immediately. So, I think for a combination of the fact that the benefits won't come immediately, we need a little bit of time to plan. We have to reduce the inventory and complexity has to be reduced if we have to really focus on Deodorants and Sexual Wellness and really p ropel th em.
These are the likely reasons that revenue will be flattish. There will be some natural growth as well, because this category will grow, I th

ink, it has grown in the last two years post -COVID,
those w ill get co unteracted by some of th ese. But I mean Abneesh it's hard for us to give an exact number but by the time this year ends and we start with a new year we will then really kickstart with a lot of momentum.
Abneesh Roy : One clarification on the flat margins which you mention ed. So, when I see c urrently you have said that distributor margins can easily save 150 to 200 bps because of your distribution system.
And secondly you also mention ed you will save 12% employee cost, 30 % vs 18%. So, will it be fair to say that ad spends will commensurately increase because you are guiding tow ards the flattish EBITDA margin?
And second is when you mention ed the leakage in terms of MRP to NSV, I think you are comparing your whole company to this small company. My question is, on the overall Deo

category won't the leakage to be very similar, will it be unfair to compare GCPL which is a much larger company in Soaps and HI and Hair Color , you have a very strong market share.
While Deo has a very different consumer behavior, very different buying behavior also so can you comment on what's the leakage between MRP and NSV in the Deo category?
Sudhir Sitapati : Let me answer question two first, see firstly - MRP to NSV even within Deodorants RCCL has higher leakage then the benchmark. It has to lot to do with the direct distribution and the command of the channel that the market leader has. So, yes, some of it has to do with the nature of the category. With in the category itself this one has got excess MRP to NSV leakage compared to leader of the category . If someone lik e us with a lot of direct distribution and a large player comes in, we will see further synergies in MRP to NSV, it may or may not match . So, I don't think Abneesh that right thing to say is that these guys have mid 50s, or 50s leakage, we have 30s leakage so we would bring this to 30s leakage it's just to show that, there is a very large gap, some of it we will bridge.
Similarly on the employee plus other expenses which is what we call overhead this is in the late 30s, it's not 30 to 18, in the late 30s an d we are 18. So, there is a very large gap there . Those are you know completely internal, that is what a scale o f a large company versus a small company.
On advertisement spends , you have seen the amount that this bran d spends on advertising when compare d to its peers. It is a mix single digit A&P advertising company, GCPL itself with our kind of portfolio with large amount of soap , etc is a double digit A&P. So, that will be certainly be an area that we will look at.
Moderator : Thank you. The next questio n is from the line of Harit Kapoor from Investec.
Harit Kapoor : If you look at gross margin tier for the three segments which is 60% of the business is Deos ,

20% is Sexual Wellness and 20% is others, what could be the gross margin tiering for this 50% gross margin. So, my assumption is that Sexual Wellness would be high as followed by Deos and followed by Others, would that be the fair way to look at it.
Sudhir Sitapati : I don't think we would want to share the exact numbers but Deodorants is the highest fo llowed by Sexual Wellness . Deodorant is a high gross margin category , so that is why I was saying it is a perception, this is a high margin category.
Harit Kapoor : Is there any kind of brand royalty arrangements between Raymond and GCPL for the Park Avenue brand or is it a clean -cut apparel is Raymond and FMCG is you guys ?
Sameer Shah : There is no royalty arrangement Harit as Nisa mentioned earlier, we have the Park Avenue brand rights foray into any FMCG category. And apparel space and the lifestyle space it continues to with Raymond under Park Avenue brand.

Harit Kapoor : And the last quick one was, is it a fair assumption to make that the bulk of this business is urban. So, you guys are 70 -30 in terms of urban, rural split at GCPL India standalone, would t his be much higher in terms of urban maybe 80% to 90%?
Sameer Shah : Yes the business would have a relatively higher urban skew in both Deos as well as Sexual Wellness products.
Harit Kapoor : So, significantly mo re than the India GCPL business?
Sameer Shah : Yes, at this point in time, yes Harit.
Moderator : The next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi : My first question was , at the time when you were evaluating this transaction, was there any mindset th at instead of going an acquiring why don't we go and build such a business, because yes, the next extension for you would be getting deeper in the Personal Care space, but why not choose the other route of building it on our own ? What is very different versus the past acquisitions we ha d done ?
Sudhir Sitapati : So, I think Sheela it is not easy to build new brands and categories which are established in the mind for a long period of time. You can build new brands and new categories or new brands in existing categories when you have a disruptive product . For examples we have built Magic in Handwash it was a disruptive product. You can't just come with another handwash product a nd expect to succeed in handwash. So, these are the two criterion in which you can b uild new products, new brands within categories.
May be we can disrupt deodorants category but it's not the obvious thing right now for us to enter with another Deodorant and succeed in it. Say w hen we look at the Personal Care category there may be catego ries which we feel are undercooked. And they might be appropriate for us to enter organically, or we may find a disruption like we did in Magic handwash and we enter organically or we may find that there are large number of brands but the category is under cooked and have a long runway. So, the brands are cooked but the category is undercooked in which case we should buy the brands and then develop the category.
Nisa Godrej : When penetration is 0% to 5% there is nothing actually to buy, so you have to build like we did in Air Fresheners , but when you are in the slightly higher penetration than that when you do the math also, this is quiet a sweet spot in terms of how it will financially workout, in terms of building a brand, especially if you can get a strong brand.
Sheela Rathi : And would we have plans of rebranding th ese product s going ahead ? I think this question was asked earlier also, but I just want to be very clear on that bit .
Sudhir Sitapati : No, as I said we bought these brand s because the brands are strong.

Sheela Rathi : And my final question is what is the salience of online penetration for this category ?
Sudhir Sitapati : I think it's about 10%. So, it's about 2x of FMCG.
Sheela Rathi : So probably the distribution strategy will be very different fr om our usual product offerings.
Sudhir Sitapati : Sexual Wellness will certainly be different because most of Sexual Wellness comes through chemist s. And yes 10 is higher than five, but it's still there is 90 which goes through for Deodorants for regular channels .
Moderator : Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra : My first question was again on the competitive landscape though you have, I think touched upon lot of aspects there, but the c onsolidation of the Top Five brands that you mentioned, has that consolidation increased over the last five, six years, because we do remember a very high clutter in the category, 7 to 8 years back. So, I just wanted to know as a trend line is that change towards more consolidation ?

And an added question to that would be when Fogg came with the no aerosol kind of spray, there was a big move in the market towards that, has that trend reversed or at least stabilized or is the market still moving towards that form of deodorant?

Sudhir Sitapati : I can answer the second question more easily Arnab which is it has stabilized. The first question I can answer impressionistically which was this was a very consolidated category where I remember it in the 2000s, impressionistically but I don't know numerically it may have got fragmented but it certainly is consolidated, it's not super consolidated today, but it is pretty consolidated today.

You know a good way of looking at it is how many brands constitute the Top 2/3rds of the category. It may be what you said, but I am not sure about it, but certainly if there has been fragmentation which has been excessive in the category, it has been a short -lived thing, it is neither fragmented today nor is it fragmented when I remember it Arnab in the 2000s.

Nisa Godrej : And Fogg phenomenon has happened many times in many different categories , when you disrupt , give the consumer better value . It happened in deterg ents, we have seen it happen in many categories. So, I think Fogg was such a success that it's top o f mind but this does happen in, across categories.

Arnab Mitra : My second question was on the distributions, if you could help us with what is the current distribution of the Raymond 's FMCG business and how is the distribution of Park Avenue different from let's say the market leader in terms of direct plus indirect, just to understand how much of benefit can happen when the distribution expansion plays out.

Sudhir Sitapati : Yes I put that up Arnab which is the market leader has got approx. 2x in terms of direct plus indirect of Park Avenue. And o ur direct distribution is 4x of what Park Avenue is and I think that's at the very least. So, you know we will ramp up distribution.

Arnab Mitra : And if I could just ask on seasonality, any sense if you could help us with how the category seasonality is between the four quarters? Is it very seasonal towards summers and therefore is that going to b e a bit of a challenge as you transition this year, in the middle of the season?

Sudhir Sitapati : I know it is seasonal Arnab, I will get back to you on how seasonal exactly it is. I don't think it's as seasonal as Household Insecticide . But there is certa inly a summer seasonality. Certainly globally it is not hugely seasonal because as Nisa said it becomes a habit and as it becomes a habit it deseasonalizes.

Moderator : Thank you. The next question is from the line Latika Chopra, from JP Morgan. Please go a head.

Latika Chopra : My first question was if you benchmark the product portfolio on average net realizations to the company, it could get influenced from the channel mix that you have versus the Top 3 brands in Deos. Where does the Park Avenue brand stan d? And partly I am asking this question also is that if you are going to reduce the gross price to MRP to net price differential down from 50% done you think it poses a risk to market share which Park Avenue enjoys today, any thoughts?

Sudhir Sitapati : See there are two to three things here, right. One is there are, some of this is relatively low risk, some of it is will have to happen in consonance with brand strength. What is relatively low risk is distributor margins. Our primary distributor margin, they are relative low risk that just has to do with scale. What is relatively low risk is the gap of gross to net between Park Avenue and other players in the market, which we will get through direct distribution.

What is relatively higher risk which will happ en over a period of time as brand strengthen s and velocity goes up, because ultimately retail ers look not at margins but at ret

urn on investment.

So, you have to have a few SKUs that have very high velocity, that will come a little later. So, I would say t his gross to net may not go overnight from 50s to where GCPL is today. There is some part of it whether it's very low risk which we can do immediately, which we get as a consequence of scale and some part of it we will get, I hope, over the next three to f our years as a consequence of strategy.

Latika Chopra : But Sudhir, I was asking more from end consumer price, is it very different from the Top 3 to 4 players in the category? Why people buy Park Avenue, is it like if you increase the final net price to th e end consumer, does that offset the growth trajectory for the brand, any sense if you have looked at the numbers of the last couple of years?

Sudhir Sitapati : Most deodorant sell abo ut Rs. 200, the MRP difference is about Rs. 20 give or take for most brands. The price at which retailers buy it is anywhere between Rs. 120 and Rs. 140. Now there is this gap between Rs. 120 and Rs. 140 between various companies which is a relatively easy bridge. Between the Rs. 220 and Rs. 140 which is significantly higher th an other categories in

FMCG, that's a longer game. So, as I told you there is a short -term benefit which is low risk and a longer -term thing which we won't do immediately. We will only be able to bridge the gap between let's say Rs. 140 and Rs. 220, which is the MRP is Rs. 220 the net selling price is Rs. 140 give or take that gap we can only bridge when the equity becomes stronger.

Latika Chopra : And then the second part was the M&A strategy of the company , we have seen this transaction, should we expect t hat you will be more aggressive to look out for more M&A opportunities in the HPC space? And if you could also elaborate the process that the company follows, is there an M&A committee and who the members are, when such opportunities are presented to the Board?

Sudhir Sitapati : GCPL as a company that i t's quite blessed to have a very good position in India and very strong capability in India. And certainly, we would like to increase our TAM and we would like to increase our TAM not because we are unhappy with the categories that we are present in, we are happy with those categories. But because we feel that we have the capability of addressing a larger TAM q uite well in India. Now that TAM will come periodically from organic you know you have to first and foremost the p riority is to get our existing businesses growing, so I don't want to move focus way from, that is the biggest job. But we will keep evaluatin g new categories in terms of whether we can do an organic entry if it's an under developed category or we have a disruptive innovation, we will do it organically. And if a category needs certain set of criteria, broadly speaking still remain in the HPC spa ce we would like to be in relatively high margin businesses, relatively underpenetrated categories but not so underpenetrated which is less than 5%, and if the opportunity presents itself at the right price and right valuation we may go into inorganic. But I think the main point is that as we strengthen our existing categories and as we get more and more confident of our existing categories we will certainly look towards expanding the TAM of GCPL.

I mean if you look at the most valuable companies they opera te very well both in FMCG and outside FMCG. They operate in very, very large addressable markets. And that is certainly going to be on our mind as we go forward, which is TAM expansion.

Nisa Godrej: TAM expansion also happens organically like we did in Hai r Care, we want to see the India business grow very strongly . Organic is always our #1 priority but as very interesting opportunities come we look at them and we have been looking at them over the last few years also.

Sudhir Sit

apati : To answer question on the process on M&A I think we have an M&A Head who is dedicated to M&A. And like all companies we have a process where the M&A Head scouts and id entifies opportunities. There are few us in the management committee , Nisa is the C hairperson and then of cour se the Board. Ultimately all these acquisitions are approved by the Board.

Latika Chopra: There is only one feedback because we have been hearing from investors, obviously is that on the valuation bit and I know there are various nuances to it, but was it a very tightly fought asset for? Or anything that you can share or?

Nisa Godrej : I don't think that's something we can really comment on. But we have a very strong financial process, it has to make strategic sense and financial sense to us. So, we follow our process. We can't really comment on what exactly that process or who else was in the process.

Moderator : Thank you. The next question is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki : My first question is on the Sexual Well ness category, while you mentioned that's not the first category which drew you into this acquisition, but just wanted to know your thoughts on this I mean, right now the category is synonymous with condoms as far as this business is concerned. Would you l ike to expand and go into sub -categories of Sexual Wellness at some point of time, or that's not something that you have thought about at all?

Sudhir Sitapati : The thing about Sexual Wellness, you are right it's currently it's synonymous with condoms and probably not appropriate to share our future plans . But I think the important thing is 3.2 billion condoms sell in India. 2 billion of them are non -commercial and other billion are mass, the 200 million odd sell at the premium end. So, there is a huge runwa y for premiumization and that journey has begu n, that segment is growing at 20%. So, there is a pretty huge and exciting premiumization j ourney within condoms to first c rack for us within Sexual Wellness before thinking about other categories and so on. Our focus in the next few years will be upgradation within condoms.

Percy Panthaki : Secondly just wanted to know the funding of this acquisition, if you can give some more clarity on exactly how much do you plan to use from the existing cash balance and how much debt do you plan to take?

Sameer Shah: We are looking at short term funding; it largely will be borrowing because our existing cash is in medium to long term investments. I think in terms of arbitrage between borrowing cost and existing yields which w e are getting on our investments, obviously there is nothing much to choose between 15 to 20 bps in kind of either direction.

As I was calling out earlier my sense is we are net cash any which way s as of March end, for

next six months we will be net debt a nd ceteris paribus mid FY24 again we will be net cash.
Percy Panthaki : And last question is on the cost synergies as you mentioned their costs are in the late 30s we are at 18% I think that gap should be bridged pretty quickly, I mean as soon as you take over why is the margin expansion happening only in FY25 as per your estimates?
Sudhir Sitapati : There are one -time cost that hit in the first year of the acquisition, whatever you decide to do. So, my general experience on these matters has been that the f irst year is unpredictable and fluid and often not easy to really exactly pinpoint, it's just much easier to give yourself a little bit more time on these, because you can't overnight talk of some of the costs. It does take a little bit of time for us to g et going on this. I don't think 9 to 10 months is a particularly long time Percy in the larger scheme of things.

Moderator : Thank you. The n

ext question is from the line of S hirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi : In terms of channel saliency if you have any data you can share at this time ?
Sameer Shah : The basket of alternate channels would be anywhere between 25% to 30% odd in portfolio and the rest could be general trade including the chemist channel and that's where I m ean we called out that we have significant synergies in terms of leveraging GCPL's distribution network for Park Avenue and Kamasutra Brands and visa versa leveraging Kamasutra's chemist network for leveraging GCPL's brands. So, that's a distribution syner gy plans which we have which will kick start as we kind of speak.
Shirish Pardeshi: So, second and last question by when you think the consolidation will start and we will try and report the numbers? Is it from this quarter onwards or after a quarter we will do consolidation and start quoting the numbers?
Sameer Shah : From this quarter onwards itself I think the date of completion of transaction roughly would be around mid -May. So, the consolidation kick starts from this quarter onwards.
Moderator : Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora : My question is on the historical revenue growth, while the two-year number looks good, if we look at three year CAGR it will be about 2%, with flat sales i n FY24 even four year CAGR will be 1% to 2%. Just wanted to understand this FY20 is the right number to look at or how do we look at the historical growth rate of the business?
Sudhir Sitapati : Yes Kunal I think see what we will have to look at is many cat egories that got affected during COVID have recovered at different rates, largely depending on what companies have invested in the recovery. So, one has to look at the trajectory of whether it is recovering which the answer is yes and two is to really look at the secular growth of this category one has to look at a five-year period pre -COVID where the company grew at 10% and so did the category and the tenure before that where the category grew at 20%. Having seen a lot of COVID categories within GCPL and o utside, these categories will recover. And one of the things we ask the question is post-COVID, is the category recovering, and the answer is it has recovered to pre -COVID levels. I would be very surprised if even other things being equal this didn't go ba ck to pre -COVID levels of growth from here on.
Kunal Vora : Second and last question, on the margin improvement from high single digit to mid -20s with potential increase in advertisement spend, what are the risks and what are the key assumptions which are y ou building in, what are the low hanging fruits in terms of margin uplift ?
Sudhir Sitapati : There are several cost levers. The two biggest of them are gross to net, some of those gross to net are pretty easy for us to do. So, I won't say they are high risk . And the overhead expenses, which is all expenses outside of COGS and advertising there seems to be almost a 2000 bps

difference between us and RCCL. So, some of it of course maybe in the nature of the category but between these two there seems to be a lot more from high single digit to mid double digits. And leaving aside quite a lot even for increase in advertising.
Moderator : Thank you. The next question is from the line of Vivek from Jefferies. Please go ahead.
Vivek : In terms of organization structu re, so would you be also having employees coming in from Raymond or this will be managed by GCPL team?
Sudhir Sitapati : We certainly have employees coming in from Raymond , we are merging it. There is a lot of category knowledge that will reside within RCCL . There are lot of people in the company with expertise in the category and that is not something we would like to lose.
Vivek : And the other t

hing, Sudhir you started with a story on the Shampoo bit, so here the focus is primarily going to be Deos and Condoms or you are thinking already about Park Avenue as a mother brand and weaving a few more things beyond.

Sudhir Sitapati : I mean Shampoo was just an anecdote on what got me interested, but our strategic focus will be on Deodorants and Sexual Wellness. I mean Shampoos and So aps are categories we know well. there are some cost synergies etc. but that's not been the basis f or the thesis development here.

Nisa Godrej : I think one thing we have all been pleasantly surprised w hich is the quality of the Park Avenue spread and Kamasutra which probably explains its steady market share over these many years, even though it's the most under invested brand in the category. And I think sometimes with sharing these anecdotes I was just tell ing Sudhir today morning, my gym instructor congratulated me and said that she finds it a fantastic brand and that she keeps it all her gyms for all her trainers and customers to use. So, I think the products in themselves and the brands are both very stro ng. And we have seen in other categories also that we have seen this in Cinthol in Tamil Nadu and stuff when you get that perfume right it becomes quite a bit loyalty for the consumer.

Moderator : Thank you. The next question is from the line of Amit Sachde va, from HSBC. Please go ahead.

Amit Sachdeva : So, my question is that the Deo category seems very attractive when we look at the past, historical growth rate. And it seems like it's the category to be in, but theoretically few have succeeded even many lea ders have failed to sort of monetize that category growth. And in part it's very mass market, very A&P hungry and maybe one or two leaders take all and others remain fragmented . But if I interestingly compare China market with India markets, now China mark et deodorant is very small category. And China is about 15 year ahead of the consumption journey or at least a BPC evaluation of China is way ahead.

Now China, basically Deo is very small. In fact, India is four times the Deo market of China. And if I look at the fragrance market of China is way larger than the Deo market. And if I look at next say 20 years and India's economic incomes will be rising, consumer 's preferences will be shifting from mass market to maybe more evolved category such as Fragrances. Do you see

a risk that category takes some amount of transit headwind rather than a tailwind when consumer premiumizes and people who do mass market Deodorant have a right to win in say example the premium side which is Fragrances and more evolved consume r as it becomes. So, do you see that category while offers some tailwinds from the past and with some challenges of mass market being mass marketers when you said, but looking in the future, it might be a bit of a theoretically challenged category where it would be transitioning to something else?

Sudhir Sitapati : Now see the thing about Deodorants is Deodorants depends a lot on how marketers make it from a want to a need. China is an outlier; if you look at Brazil for example at the same income level as Ch ina it has $10 per capital consumption of deodorants. And it has been because of some of fantastic category development work done in Latin America. So, I would say China is the outlier, India is a below the curve but still not very far away from the curve. Indonesia, Thailand etc. are all on the curve, Latin America goes above the curve.

So, what differentiates if you draw a curve of deodorant consumption and per capital income, it's a line that rises exponentially till actually $20000 and then gradually fl attens out, that's how Deodorants work. The country that are above the curve, which is Latin America etc. have done excellent work in making Deodorants into Oral that you need it to

leave the house. The one, the outlier below the line is China where no wor k has been done in that area at all. India is slightly below the curve and most of Southeast Asia is on the curve. So, I would rather look at countries on the curve like Indonesia which we know quite well, Vietnam, Thailand etc. and not China.

You are righ t about one thing which is that as countries develop , perfumes also do become larger. Perfumes tends to be a fragmented market, is also correct. Deodorants doesn't tend to be a fragmented market. I mean the definition of deodorants is that which de -odorize s you. A perfume is that which makes you smell good in a fragrance. But there is room for growth for both deodorants and perfumes will both grow quite exponentially as countries develop.

And it's one of those categories by the way where per capital consump tion can go as high, deodorants plus fragrance can go as high as $50, which is what the U.S. for example is today. So, deodorants becomes as smallest salient as countries become rich er is also true, but that's a more attractive market, it's a more consolid ated, more loyal market deodorants.

Amit Sachdeva : And if I may stretch a little bit on one more thing that, the kind of comment you made that despite very low A&P spend the Park Avenue has been still retaining its market share quite well. And that bit int rigues me because what is that value proposition in such a market where even Unilever has struggled with all the might of distribution and branding and capabilities or market development while Park Avenue silently could manage it without spending much. Wha t is that value proposition that you discovered that the brand has been able to put together that others couldn't?

So, I am sort of interested and when you increase the A&P spends and how do you monetize that capability even further. I mean just want to un derstand from your perspective why this has happened that despite being low spenders they are able to maintain their market share?

Sudhir Sitapati : At the end of the day, it's speculative, but see I reckon that the product has high loyalty and brands that focus on one or two SKUs, so I told you like Park Avenue is, Park Avenue Good Morning and Voyage is 70% to 75% of Park Avenue. So, two SKUs, two fragrances, it's not you know they have gone down the path of building a habit with two, because there are two ways in which you can run fragrances, you can have a flirtatious model saying, hey you go to different party smell different and that's one way of building a category. Th e way Park Avenue has willing chosen, it's not done it through advertising , but willing through its products, has got two excellent fragrances Good Morning and Voyage, which it has built as a male habit in the morning to spray on your body and go to work. And you want to smell like that.

It is like the soaps that we use become part of our identity, you know the toothpaste we use, we smell that way. I think that is why Park Avenue has managed to be pretty resilient in the face of a lot of ups and downs in th is category. And I think that's why it's a hidden jewel. I think we may have discovered in this category a brand that has got the makings of what can be a real cornerstone brand in this category.

Moderator : Ladies and gentlemen due to constraint of time, w e will be taking our last question for today that is from the line of Chanchal from Birla. Please go ahead.

Chanchal : Sudhir just to understand the brand structure, now Park Avenue as a brand which will be managed by two entities . Godrej as a brand as you highlighted as Nisa highlighted within Godrej fraternity, Godrej Consumer, Godrej Properties, Godrej Lock, is a brand which is within the Godrej fraternity, but I mean can you give examples of the brands handled by two different entities and brand structur e doesn't get diffe

rentiated.

Nisa Godrej : Even in the Godrej brand and we have done a lot of studies on when you advertise one category how does it sort of affect the other category or a prices in one category . And we see them, they are quite separated. So, when I think in India's history if you look at all these big conglomerates the Bajaj Group , they have a Bajaj Consumer C are, Bajaj Finance, Bajaj Auto.

So, I feel actually we could have a full conversation on this separately, because I don't want to take much of everyone's time, but you know legally we are very covered . Consumers buy the product because it's the relevance , the convincing of that advertising and the quality of the products in that category.

Chanchal : That answers the question, but still, I mean on a positive side, yes the brand has a positive rub-off but the problem is in the negative side also if the brand does something wrong, then we may have a negative repercussion that's the only worry. Otherwise, I think the structure if you have that right, it can play out.

Sudhir Sitapati : As part of the contract, we have some guidelines, for example, we have agreed categories that neither of us will enter for instance tobacco or cigarettes so on and so forth. So, we have some kind of guardrails. We are starting off from a position where the brands are both kind of - for the aspiring men, but as Nisa said there are plenty of brands that have started off from a common

position, they have some things that mean the same . Park Avenue, it is a masculine brand in both sides, but then they go their different journeys and then they have to stand on their own feet to those two journeys .

Nisa Godrej : Yes let's say you have a Bajaj Motorbike, you have Bajaj Hair Oil, so and I am not even giving our example s which are varied. So, you know I think in everything there is probably some amount of risk but I don't think we see anything material here. And we will develop Park Avenue going forward, we have the opportunity also how do we use the Godrej brand on the p ack and that association also which is available to us if we so choose to differentiate it more.

Moderator : Thank you. Ladies and gentlemen that would be our last question for today, on behalf of Godrej Consumer Products Limited, that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2023

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Call: Nov 2023

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Call: Jan 2025

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January 31, 202 5
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Scrip code: 532424

National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051
Symbol: “GODREJCP”

Transcript of Conference call with Investors & Analysts held on January 24, 202 5

Dear Sir / Madam,

Please note that the transcript of Conference Call of Godrej Consumer Products Limited with the Invest ors and Analysts held on Friday , January 24, 2025, at 5.00 p.m. is available / accessible on the website of the Company at the below mentioned link:

https://godrejcp.com/investors/performance -updates

Please take the same on your records.

Thank you.
Yours faithfully ,
For Godrej Consumer Products Limited

Tejal Jariwala
Company Secretary & Compliance Officer
(F9817)

“Godrej Consumer Products Limited
Q3 FY '2 5 Earnings Conference Call”
January 24, 202 5

MANAGEMENT : MR. SUDHIR SITAPATI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GODREJ CONSUMER PRODUCTS LIMITED

MR. AASIF MALBARI – GLOBAL CHIEF FINANCIAL OFFICER – GODREJ CONSUMER PRODUCTS LIMITED

MR. VISHAL KEDIA – HEAD STRATEGY , FP&A AND IR - GODREJ CONSUMER PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Consumer Products Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference , please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the senior management of Godrej Consumer Products Limited. Thank you, and over to you.
Vishal Kedia : Good evening, everyone. Welcome to the investor call for Godrej Consumer Products Limited. For GCPL, we will have Mr. Sudhir Sitapati and Mr. Aasif Malbari. We will start with opening remarks by Sudhir. Follow ing that, we will go into Q&A. Now I welcome Sudhir for his opening remarks.
Sudhir Sitapati: Thanks, Vishal. Good evening to all. Q3 FY '25 has been a tough quarter for GCPL. In particular, our India business has had a poor performance, which has been somewhat compensated by our International business. On a consolidated basis, our organic revenues grew 6% in rupee terms , flat on volumes and minus 10% on reported EBITDA. It is important to note that despite these pressures on margins, as a company, we have held our advertising spend at about 10% and delivered a consolidated EBITDA margin of about 20%.
India has had an unusually tough quarter. Our volume growth was flat. Revenue growth was 4% and EBITDA growth was minus 21%. Our top line growth has been poor for 3 reasons. First ly, there has been a slowdown in the macros and urban consumption. Secondly, high palm oil prices have necessitated sharp price increases, including grammage cuts and trade scheme reductions. This has led to trade destocking. Thirdly, we have had a poor seas on in our Household Insecticides category. Our bottom -line performance has been poor due to an unprecedented inflation in palm oil and due to a particularly high base in Q3 FY '24. Since these issues are mainly transitory, we have chosen not to cut our advertising spends and other investments to increase reach like the rural van program, etcetera.
Despite all this, there are several green shoots in our business. Firstly, we feel that despite this quarter , our Household Insecticide business is on a good trajectory. We are gaining rapid market share in Incense Sticks. Our Electrics has started gaining share, albeit in a market that has grown slowly last quarter. Our Laundry, Air Fresheners and Sexual Wellness businesses continue to grow double -digit volumes. Even in Soaps where we had a difficult quarter, our revenue growth of near flat is market beati ng and our EBITDA margins are at a healthy approximate 20%. We expect majority of these issues to be transitory and hope that in Q4 FY '25, both our volume and value growth will see sequential improvement and by H1 of next year, we should start seeing margin growth as well.
Our International businesses have broadly done well. Indonesia continues its solid performance with 6% volume growth, 9% revenue growth and 12% EBITDA growth. Our Africa business continued its solid performance on bottom line , growing at 9% though revenues declined at 8%. Our operating margins in GAUM are ~15% for the past 4 quarters. We expect that by Q4 FY

'25, we will start reporting positive organic revenue growth in GAUM . Latin America continues to do extremely well with volume growth of greater than 25% and EBITDA margin now in double digits . Both Argentina and Nigeria has suffered because of poor macros for past many years, may see some fundamentals improving as we enter FY '26.
We are also incredibly pleased to report that the Dow Jones Sustaina

bility Index has included
GCPL as the only FMCG company in India and one of the three worldwide to be part of the ir leadership of the Emerging Market Index and World Index. A score of 83 is one of the highest that consumer goods companies anywhere in the world have in terms of sustainability.
Thank you very much, and we'll now open the floor for questions.
Moderator: We have the first question from the line of Abneesh Roy from Nuvama Institutional Equities.
Abneesh Roy: My first question is on the Soaps business in India. So one is, you did mention the destocking of the channels given the price changes. Second is the customer, of course, whenever inflation happens and price in Soaps did go up , buy a smaller pack. From your one -year perspective, would you expect all these to normalize? So what it means is, say, in Q1 FY '26 and you did say H1, you would expect normalization . Would you expect that for 1 year, your growth rate at least should be fully normalized? So whatever you're missing currently and even in Q4, although

sequential recovery will happen. Does that get overcompensated in H1 of FY '26?
Sudhir Sitapati: Yes. I think we've seen this cycle many times , palm oil prices are on their way down, though PFAD, which is a derivative has still not fallen. So over a period of time, we end up taking prices up. We've been quite aggressive in price increases. As I said, our revenue growth on Soaps was near flat, which is very competitive in this current market. Price increases have to happen gradually hence we expect over the next 2 -3 quarters margins will normalize. Even now with this situation, our EBITDA margins in Soaps are just short of 20%. So it's still a healthy margin at a time like this. In the last few years, we've genuinely improved our margins in Soaps. So even in a tough quarter like this, our margins are pretty good, but I expect them to come to better levels in the next 2 -3 quarters.
Abneesh Roy: My second related question is in detergent, we have seen the legacy players and the large players do quite well in Liquid Detergent. And when I see Body Wash, the numbers in Soaps, e tcetera, don't reflect the same buoyancy what we see in Liquid Detergents. So in Body Wash, is it that the new players, say, we have seen ITC, Colgate -Palmolive, lot of D2C companies also make a lot of headways. They have started the advertising also. So , how is the performance of legacy companies, the larger soap c ompanies in the liquid format of that? And when you compare that to detergent, why the difference is there?
Sudhir Sitapati: Abneesh , I don't want to comment on others. As far as we are concerned, we are behind the curve on Body Wash. The good thing is that Body Wash as a category is behind the curve on Liquid Detergents. Liquid detergents in India is exploding. Body Wash is growing fast but it is still a fraction of the overall Soap market, whereas now Liquid Detergents has become a substantial part of the detergent market. We hope that by the time Body Wash becomes a

substantial part of the Soaps market, the actions that we take in the next few years will give us our fair share of Body Wash as well.
Abneesh Roy: And reason for that would be under investment by the legacy players or the washing machine helping in terms of the recommendation because that's the only difference between the 2 categories. What is the reason for liquids doing much better there?
Sudhir Sitapati: I don't know, A bneesh. I don't want to speculate. I mean, I think if you ask the question on why Laundry Liquids is doing well, it is a combination, as you correctly said, of washing machines and also there has to be a right price to the upgrading format. So Laundry Liquids in India are at the right price to detergents. Why body wash is not done as well as Laundry Liquids in India, I can't fully hazard a guess, or

if I do have a guess then I'd rather keep it to myself so that we can act on it. But I think the important thing is its still early days in Body Wash, whereas it's not such early days in laundry. And I think the good news is that we are extremely pleased with our performance in Laundry Liquids. We are winning market share even in a quarter like Q3, which typically we lose a lot of market share. But Godrej F ab has been , certainly in the history of GCPL and probably in many companies , one of our most successful innovations.
Avneesh Roy: My last question is on the rural India. So clearly, gradual recovery is happening. You have spent significant amount of money in terms of the Van Operation s. So, if you could talk about any benefits which are visible in the current overall numbers . So, if you could talk about your rural growth in all the 3 subcategories, how does that compare to urban. And in terms of Van Operations if you could talk about? And in terms of Soaps, again, is the rural India doing better in the Soaps business vers us urban for you?
Sudhir Sitapati: On the Van Operation, you see the first half of this year, we grew volumes close to 7% and vans contributed a substantial part of this. Even in this quarter, if you leave Soaps and H ousehold Insecticides which have had pretty sharp volume drops in this quarter , for the overall business to be zero, you can imagine what the rest of the portfolio has to grow, right? And again, van has contributed quite a lot there. I would certainly say that if you look at the full year , first half we grew roughly 7 -7.5% volume, Q3 we've grown 0, Q4, I expect some kind of volume revival , the overall full year volume will still be very good for GCPL in the context of the market and van has definitely been a significant contributor. Our rural growths are significantly ahead of our urban growths, and van has been a big driver of that.
Moderator: The next question is from the line of Vivek from Jefferies.
Vivek: First question is on H ousehold Insecticides . Now that reasonable time has passed, can you just give some feedback from the consumer on RNF and is there a noticeable or perceptible understanding that this product is, let's say, significantly superior compared to competition and what your earlier product was .
Sudhir Sitapati: I think the general progress in RNF is quite satisfying. First , we should take Incense Sticks, our share now is in high single digits of the overall Incense Stick market and our share of handler is close to 50%, which means that our distribution is still only in the late teens, but in those outlets

where we are present, we get half the market there. So that's firstly good news for us that albeit

comes not in great margins, but nonetheless, it's good news. In the other categories, which is largely Liquid Vaporizers , we launched in July, August, even as late as November, December, only 40 -50% of the offtakes have been RNF but here also we have gained significant market share in our machines in November and December because typically, when you do a launch like this, what sells first are your LMD or your machines. So we have got significant s hare gains in Q3 and that as a combination of a bad H ousehold Insecticides season, but also as a combination of general urban pressure on premium, that entire market has not done well in Q3. But within that, we have done well. So , we hope that by the end of Q1 when the next season comes in March, we should be more clear on how well it's working. But so far, we're quite enthused by it. Even in Coils, where we launched RNF 6 -7 months ago, we are seeing market share gains. So I would say, generally, in a difficult situation in terms of consumption and seasonality, we ar e quite happy with RNF.

Vivek: Okay. And a couple of follow -ups, Sudhir. So one, when you say that you have high s

ingle -digit
market shares in Incense Stick, that includes an estimate of unorganized, illegal incense sticks as well, right?

Sudhir Sitapati: Yes. I mean all Incense Sticks are illegal , so whatever Nielsen picks up is what I'm talking about now. I mean, that's roughly accurate or not, I don't know. But everything except us is illegal.

Vivek: Got it. And by end of March, do you think RNF on the electrical side will be all there in the market? And I'm guessing you're not manufacturing the earlier format? Or are you?

Sudhir Sitapati: See, in certain modern trade chains in e -commerce, we are still manufacturing the old product because the licenses even in distribution take time. But all of that by March should have got over. We are just, as we speak, launching a superior formulation on Aerosols. So , it is somewhat of a long game . Even in Incense Sticks, we launched it in February of last year, but it's only in Q3 of this year that we can decisively say it's working. It's taken us close to 8 -9 months for us to get a clear sense. And here, I would say on Incense Sticks, I'm confident that we have got it right. So the others are taking time, as I think I told you guys also that it will only be till March that we really get a sense of this.

Vivek: Okay. And last follow -up, so once it is done in March, do you think that will be the time where the marketing bit will pick up quite a bit? Or do you think that you're already doing whatever it takes to push the products and make consumers aware?

Sudhir Sitapati: No, I think we're spending a lot of money and there's a lot of investment going behind it. I think the only caveat here is that across categories, we're seeing a little bit of a softness at premium end of portfolio. I hope that recovers . That's the only slight issue that we have.

Vivek: Okay. Got it. And lastly, the second question is on the Deos portfolio. Can you just give an update on that?

Sudhir Sitapati: I'll give you overall update on PA, KS. I think nothing more to update since the last update, which is that we are very happy with our performance in Condoms. Deos has been a mixed bag. In modern trade, we are gaining share but in general trade, we are losing share. I think we made a mistake in merging the 2 distribution systems, and we've now separated it. In terms of

profitability, we are behind, but significantly ahead of what we inherited from but behind our business case and behind what I committed to you guys but significantly ahead of what we inherited in terms of EBITDA from RCCL. I think in May, we'll probably share the numbers comprehensively to you guys on total things. So I would say broadly good, some learning from it, but certainly value -creating so far in terms of assumptions of cost removal. And we've kind of significantly i mproved our EBITDA margin despit e much high increases in advertising. But we've still got a GT issue to solve in the Deodorants.

Vivek: Got it. And with your permission Sudhir, one more last question. On the macro because you mentioned about in your earlier response. So you are one of the few companies who are a bit more biased towards urban. What is it that you are seeing on the urban , so in rural you have your own distribution and overall tailwinds on the market but on the urban side, can you just talk about the trends? And are you seeing any down -trading or anything in the market or in your category or product basket?

Sudhir Sitapati: I think a lot of commentary I've been seeing, and lot of articles I've been reading and also some commentaries of companies that there's definitely an urban slowdown. We're seeing it in modern trade. We're seeing it in premium brands. We're seeing some amo unt of down -grading . Many of our core categories are certainly not the kind of upgrading that one should see . And contrary to that, rural is doi

ng generally well and for us, because of the van program , extremely well. So, in the context, i f one excuses for H ousehold Insecticides and Soap seasonality, we are definitely seeing an urban slowdown. Urban GT was anyway under pressure. Urban modern trade is a little slower than it used to be. We are seeing premium products not grow as fast as they were growing a few quarters ago. We are probably seeing some si gns of down -trading in categories like Household Insecticides. I would say that we have to watch the space carefully in terms of urban consumption and respond to it as it goes along. But it is certainly a cause of concern.

Vivek: Okay. So that means March quarter, at least from a macro perspective, is something that we need to watch out for or need to be cautious or you are basically cautious about that, and we'll have to see how the rest of the calendar year progresses, right?

Sudhir Sitapati: Yes. I mean, look, one can say it could be an odd quarter so we look at March quarter. I f March quarter turns out not so good in urban then we may have to change our plans a little bit for next year. But look, the good thing about GCPL is while what you're saying is true, which is bulk of our portfolio is urban, it also gives a bulk of our growth and opportunity for growth is rural. So it is on balance f or GCPL better to have faster rural growth and a faster urban growth because in urban markets, we tend to largely be nondiscretionary. In rural markets, our categories are discretionary. So if we had to choose as a company, good rural growth is good for us because it expands our categories.

Moderator: We have the next question from the line of Harit from Investec.

Harit : Just wanted to understand your sequential improvement in volume growth comment in the context of a weakish urban environment. Is it largely stemming from the fact that this primary destocking in Soaps will be lower and the season in H ousehold Insecticides will be a little better. Those are the 2, I think data points that you believe will get better ?

Sudhir Sitapati: I think that's correct, Harit. I don't therefore think that Q4 will go back to H1 levels of volume growth. But it will be somewhere in between zero and where Q3 has been , I hope. So somewhere in between is where we will end up because 2 of these reasons are transitory, but 1 or 2 of them are slightly more permanent or slightly, I don't know where it will head . But my suspicion is that we will see a volume recovery over 2 quarters is what I hope. I don't think Q4 will go back to H1 levels. I hope that Q1 of next year, we do that.

Harit: Got it. And on the pricing side, given that you've seen the crude palm oil come out, but the derivative hasn't yet and you've also taken up pricing clearly in your portfolio, looks like a mid - single -digit kind of a number. Is there a requirement for furthe r pricing now? Or you believe that PFAD also should come down and hence, the pricing is largely done with?

Sudhir Sitapati: I think there is requirement for another round of pricing in Soaps in particular. Of course, these are driven by looking at the market construct but we are not done with the pricing because at the end of the day, we have to get back to our nominative margins. This quarter, for example, our India business had ~22.5% margin which is not bad per se, but frankly, this business should be anywhere between 24 -26%. So , we certainly feel that there is scope for one or two more rounds of pricing in Soaps.

Harit: Right. On the Soap side, the pricing that it looks like in Q3, which is mid -single digit. Does it reflect the full action that you've taken already? Since it's a weighted average, it doesn't reflect the full impact of the pricing yet?

Sudhir Sitapati: I think it's the latter. It doesn't reflect the full impact of the pricing. And therefor

e, we expect the pricing growth in Q4 to be higher than the pricing growth in Q3.

Harit: Got it. And lastly, I think on Africa, I think you're probably ahead of margin expectations in terms of how you achieve those numbers, close to like 15% on the GAUM side specifically. So how do you look at that market from a next, say, 12, 24 -month context ? Is it now largely going to be revenue growth driven once obviously, as you mentioned, from Q4, the divestment comes in the base and margins now are reasonably healthy or at least at your levels. How do we think about it from here?

Sudhir Sitapati: Yes, I think so. I think we're at about 15% EBITDA margins there. Maybe there's scope for another 100 -200 bps of margin increase there. But certainly, now that we've got to mid -teens and we were quite brutal about getting to this mid -high teens kind of margins and even if it came at the cost of business, we said, it doesn't matter. Having now got to this kind of margin structure, I guess we've got to start growing now.

Harit: Got it. One last quick one is, apart from the PFAD issue, any other pockets of inflation which

you're seeing in the portfolio, whether India or global?
Sudhir Sitapati: No. Nothing significant, except palm oil.
Moderator: We have the next question from the line of Avi from Macquarie.

Avi: So I just wanted to pick up from the last participant. What exactly is driving this divergent trend in palm and palm derivatives? And does this typically normalize?
Sudhir Sitapati: PFAD has a lot of interaction with biodiesels. It should, over a period of time, normalize. It varies in the short -term. And you must remember that the palm oil prices from a peak of MYR5,200 has now fallen to MYR4,200. That is almost a 20% drop from its peak. PFAD has only dropped 7 -8% from its peak. So I mean, at some point of time, these have to normalize. And there are some complications there because of the India import duty and stuff like that. So there are various dynamics. But broadly speaking, in the long run, these do tend to normalize.
Avi: So it would be fair to say that if palm has corrected 'X', PFAD should logically correct with the same percentage, but it's just because of some one -off factors, that is the reason why it's not coming through. Is that the right way to read what you said?
Sudhir Sitapati: That's the right way to read it. The only thing is whether palm's correction is a proper correction or is it temporary? I don't know yet because typically the palm season in Malaysia, Indonesia is July to September. So this is a lean season for palm. So, I don't know whether this is a temporary blip. There's this B40 implementation in Indonesia, which is not so clear to us. But if palm remains lower, then at some point, PFAD has to fall.
Avi: Got it, sir. Very clear. And sir, just, Sudhir one more thing on just an understanding how should we look at 4Q in this context? Is 3Q the level from an India margin perspective? And second, when you say normalization, what level do you mean by that? Is it the 23 -24%? Is it 26 %? Would be useful if you could give us some understanding on those two aspects.
Sudhir Sitapati: Yes, look, I think the margins in Q4 may be more of the same because, all said and done, PFAD still high and w e are still consuming oil that was bought in Q3. So that may not materially change. In fact, we've taken some prices up, but in Q3, we consumed Q2 oil also, in Q4, we're entirely consuming Q3 oil. So margins may be more of the same, plus, minus, little bit here there. I think volumes will definitely improve and pricing also should go up. In terms of the normal margins, this 24 -26% i s the kind of I feel normal range that our business right now should aim for. So let's say, 150 bps higher than where we are today. I don't know when we'll go to it. That's hard for me to say. But that'

s the kind of number that we need to get to. I mean, f irstly, look for an FMCG business, 24% margin is a very healthy margin. So we got to get to that. I hope we get to that in the next 6 -8 months.
Avi: Fairly clear. Sir, and last, if I may, just on this premium end weakness that you were seeing across different core categories, is Hair Colours also witnessing this? Or is this largely in Household Insecticides that you were referring to?
Sudhir Sitapati: No, we don't operate at the premium end of Hair Colour . We operate in the mass end of Hair Colour . So Hair Colour is not seeing it. But certainly, Household Insecticide is seeing it, certainly, some parts of Deodorants are seeing it. Even in Air Care, we are growing quite fast but even there, I mean, we are seeing a little bit of stress. I mean we're able to manage by democratizing the category, etcetera. But in general, we are seeing or the kind of ease at which premium was growing, last quarter doesn't seem to be the case.

Moderator: We have the next question from the line of Karthik Chellappa from Indus Capital Advisors (Hong Kong) Limited .
Karthik Chellappa: So just 2 questions from my side. Firstly, if I were to look at our presentation, both in the first and the second quarter, in the Personal Wash category, we had explicitly called out market share gains. But this time, I do not see a similar comment in Personal Wash, anything to read into that? And how did our market share trend in that category for this quarter?
Sudhir Sitapati: We don't usually give market share numbers, but it is true that in this particular quarter, our market shares have roughly been flat. Though I must say that our growth of near flat , from what we hear from market seems to be higher. So , our growth seems to be market beating. Nielsen reported market share was not negative, but it was flattish in this quarter. Of course, for the full year it is gaining still. So you'll have to read into this in 2 aspects. One is what is an externally reported share. And second is, you'll have to look at our internal growths versus the growths of others, many of whom are reported, some of whom are not.

Karthik Chellappa: Got it. And when we spoke about the slowdown in urban consumption, you specifically called out modern trade. Now apart from the general slowdown, are there any other trends that you're observing, which caused the slowdown in modern trade ? I mean the context in which I asked this question is we are seeing quick commerce grow almost exponentially. So is there more salience towards those formats, which is at the margin impacting modern trade?

Sudhir Sitapati: I think, look, it may be affecting modern trade at the margin, but one has to remember that total e-commerce sales are growing at the same 30 -40% range. So a lot of quick commerce has come at the expense of e -commerce. It may affect modern trade at the margin, but I think if you take the totality of urban - which is urban GT, which is doing badly, modern trade, which is less than before and e-commerce, which is roughly where it was and quick commerce within that is doing extremely well. One can only conclude that the overall urban picture is a little weaker than it's been in the past.

Karthik Chellappa: Got it. One last question for me. Is there anything to read into Household Insecticides in Indonesia growth -wise, any softness or slowdown that you are observing?

Sudhir Sitapati: A little bit, but I've got to also say that Q3, when we look at 2 -year CAGRs, they're very, very healthy. See I think last year, what happened in Indonesia and the benefit of hindsight is in Q3 because of El Nino they had a bumper season. So , we are not particularly worried about our Indonesia business, our Indonesia business now is getting driven primarily by Electric s. That's what's driving growth, that growth co

ntinues. A little bit of optical softness in this quarter on Household Insect icides , but nothing structural on a 2 -year CAGR and market shares . Everything seems okay there in terms of H ousehold Insecticides . So nothing to read there.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was on Incense Sticks where you mentioned the 50% share amongst handler and high -single digit overall market share. So how do you increase the market share from here on in the sense that my understanding was that there's a pushback from trade due to a lower trade margin , are we look ing to increase trade margins ?

Sudhir Sitapati: No, I think we just have to be at the game, Arnab. I think we like to get to wholesale, build awareness. These things take a little bit of time once demand builds up. So, it won't happen overnight. I think we may not increase trade margins and that because we don't make too much money. I think we just have to be patient. Gradually, direct distribution will go up, wholesale demand goes up, every couple of months we'll do a wholesale activation and temporarily reduce prices in wholesale to ge t it through. So , we have a toolkit on how to do it. Because what we've noticed in the past is that once you cross 20% distribution, the game becomes wholesale. The first 20% value -weighted distribution, you can get through retail. After that, you have to go to wholesale in these kind of categories.

Arnab Mitra: Understood. My second question was on Fab. So while you're obviously very happy with the growth there, you've seen a lot of players, including the other brands like Rin lower prices and enter this category. So any challenge you'll see there in terms of your home markets like Tamil Nadu and all where you had first launched, but now others may be catching up? Or do you think the category growth itself is such that you would keep expanding here . And in terms of distribution, where are you in the Fab journey?

Sudhir Sitapati: Yes, the category is growing fast. We are growing share, we're growing distribution. Tamil Nadu we are bigger than South , South we're bigger than the whole of the country. So , everything is going quite well for us in Fab. And I think we've done reasonably well actually this quarter even on Ezee . This kind of tells you that all the investments in Fab are paying off in overall liquids as well. So , I think there's just more of the same in Fab, we just have to persist with this model and it will continue to grow at exponential rates, and our Laundry Liquids will continue to grow very fast.

Arnab Mitra: And one last question on the Soap category. At the beginning, I think the price hikes GCPL has taken were higher than that of the market leader. Now are you seeing pricing hikes equally happening from all the leading players? Or there is still a gap and price competitiveness may have slightly gone do wn in that category for you?

Sudhir Sitapati: Well, I mean, in Q3, maybe our competitor was a little lower, but we've now seen other players take up prices as well in the category. So , I mean, definitely, first 6 months of the year, we were leading prices, but now I think everyone in the category has been taking up prices.

Moderator: We have the next question from the line of Percy from IIFL.

Percy: Sudhir, just my question is on continuation with what you discussed with Vivek. When you told him that, currently about 40 -50% rollout has happened for the new molecule formulation in the LV, what exactly did you mean by that? Are you talking about the end consumer buying half of the new product, half of the old product approximately? Or are you talking about your shipments

or how do I read this statement ?
Sudhir Sitapati: No, no, we're talking of the end consumer, Percy.
Percy: Okay. But see, generally, tr

ade pipelines are what, about 2 to 3 months. It's been 6 months. So how is it that the trade pipeline is still not sort of dried up.

Sudhir Sitapati: It's not been 6 months, Percy, because we launched in end July and we launched it sequentially. Even now modern trade, which is about 2 0-25% continues to carry the old stock because licenses haven't come. And there is a distributor pipeline, there's a secondary pipeline. So it's a long tail. Every month, this is going up by 10%, but I'm just stating the facts, and I don't know if Nielsen is right or wrong. Our only source of use is Nielsen on this. But this is a number that they give us in terms of what proportion of our offtakes are RNF and what's the portion of it is TFT. It is 50-50 as things stand. It's a seasonal category, Percy, so you can carry quite a lot of inventory. It doesn't move at the same pace every month.
Percy: Sure. But what is the reason that you have been from your end, rolling it out sequentially and not at one go?
Sudhir Sitapati: See, on modern trade there are issues of licenses. Then there is also an issue of season. So for example, the season in West India starts in July, the season in North India starts in August, September. So we wanted to roll this out with season in North Indi a as well. So , a combination of wanting to roll out in season. And the third thing is, of course, closing stock of the old product. So I think by September, we had started selling everywhere except modern trade.
Percy: Okay. And when do you expect the modern trade licenses to come through?
Sudhir Sitapati: As we speak, they're coming through. They typically take a 6 -month period after we launch. So in most H ousehold Insecticides launches, after you launch it, it takes 6 months to get because they have to apply for the license.
Percy: Understood. And secondly, on communication for this product, and correct me if I'm wrong, but I would hazard a guess that a lot of consumers are actually not aware that this is a new formulation. Is that true?
Sudhir Sitapati: I don't think so, Percy. We do a dipstick . We just did one to check the awareness of the product, and it is very high. The awareness of the product is high. November market shares were good, December was even better. So I feel we'll just have to give this a few more months to call this.
Percy: No. I understand the product recall or the product rating might be high but what I'm saying is are consumers aware that, versus a few months ago, what is there in the market is a new formulation which is more effective. And it's clearly a sort of new chemi cal or whatever they might not know the name of the molecule or whatever. But is there an awareness that this is a new sort of chemical, which is more efficacious than the old one, which was available just a few months ago.
Sudhir Sitapati: Yes. Actually, we've been selling this proposition under the proposition of works even if the electricity goes off for 2 hours . And we have seen the recall of the ads, the investments in the ads, the recall of the message, all these are higher than our benchmarks.
Percy: Yes. So my fear is that people might just be treating this as a new communication rather than as a new product?

Sudhir Sitapati: The machine design also has changed, by the way. So it's not just a packaging that has changed. The machine design, if you buy it versus the old one has changed as well. So often, consumers may or may not understand the liquid has changed but when they buy the machine for the first time, the machine looks different and it's advertised differently.
Percy: But there would be lot more of consumers who would just be buying refills versus a machine consumer, right?
Sudhir Sitapati: But new consumers, when they come in, if a job to b

e done is to win market share or is to grow from Incense sticks and Coils, new consumers will have to come in via machines only.
Percy: Sure. Sure.
Sudhir Sitapati: And old consumers who are buying it, will anyway see the product and see the efficacy of the product. So I mean our personal view is that the advertising is working.
Percy: Got it. Secondly, on margins. For the India margins, 24 -26% is a decent band, which you mentioned. Given where input prices are today, would you say that a fair assumption would be

that for the full year FY '26, which is starting from April, for us, analysts, we should be going with the lower end of that margin for the full year?
Sudhir Sitapati: I think probably unless something dramatically changes in terms of oil prices.
Percy: Yes. So where the prices are today, the lower end of the band for FY '26 is a reasonable assumption to go with right now, correct?
Sudhir Sitapati: I think that's probably right.
Moderator: The next question is from the line of Jitendra Arora from ICICI Prudential Life Insurance Company Limited.
Jitendra Arora: Just a quick question. Given that the e -commerce and quick commerce has been growing at a pretty healthy pace versus let's say GT, how is it affecting our distribution per se? Are we looking to perhaps change the distribution taking into account this pace of growth?
Sudhir Sitapati: I mean, look, GT distribution and our GT business overall, we still want it to grow. Urban GT is a problem. It's something we'll have to grapple with. Overall, GT is still growing because rural is growing. So urban GT, especially metros in order to improve the return on investment of GT distributors, we will have to consolidate, reduce inventory, basically work with them in order to get their ROIs up. It is certainly an issue, big city urban GT.
Jitendra Arora: Okay. And if quick commerce continues to take share away from urban GT, which is I think what is also expected by a certain section of the market then how do we propose to handle the situation?
Sudhir Sitapati: Nothing to handle I think, each individual distributor has to make a good return on investment. So, if you have, let's say, 30 distributors in Bombay and the business shrinks, you may have to bring it down to 20 -22. All you may have to kind of get them on to 0 inventory, you have to

work out the overall thing. Ultimately, we've got to get 20 -30% return on investment for the distributor. That's the important thing, right, for them to be interested in the business. So you'll have to use technology, you'll have to scale to really make sure that urban GT distributor ROIs remain.
Moderator: The next question is from the line of Akshen from Fidelity.
Akshen: If we just disaggregate the India portfolio, what's the aggregate portion of portfolio where you feel comfortable that irrespective of the market, the growth is good. So you may have called out Fab, Air Fresheners, Hair Colour , etcetera in the past. Together, how large is this business where you feel very comfortable on the growth currently?
Sudhir Sitapati: I think our business is actually quite neatly structured roughly as 1/3 Soaps, 1/3 Household Insecticide, and 1/3 all others. The last one is where even this quarter has done actually very well for us, though we've had bad luck on both Soaps and H ousehold Insecticides . And this 1/3, the salience has significantly gone up over the last 2 -3 years.
Akshen: On the last quarter, we had a lot of claims and counterclaims around soap, on what happens with TFM, et cetera. Now that competitor product has been in the market for a very long time. How have you seen difference in terms of market share, if at all?
Sudhir Sitapati: No, I think our philosophy continues to remain what it is, which is we've got to design for best consumer value and nothing really changes in

terms of philosophy. I mean, I have a suspicion
we are growing faster than the market even in this quarter. So the re's nothing that has happened, which makes us want to change our views on the subject.
Moderator: The next question is from the line of Kunal Vora from BNP Paribas.
Kunal Vora: In the Raymond business, how has been the margin journey after the acquisition? When you acquired the margins were in mid -single digits, where are you now?
Sudhir Sitapati: Yes. EBITDA margins have moved to the mid -teens. There's still some work to do.
Kunal Vora: But your aspiration was about 25%, if I'm not mistaken.
Sudhir Sitapati: In the fullness of time, but we'll first have to get to 20 -odd. We are sometimes a little bit time away from that. We've made, I mean, significant progress on EBITDA margins, but more and more needs to be done here.
Kunal Vora: Understood. And how should we look at Africa revenue from here, you've seen 5 quarters of decline. You did mention it will start going up. It will happen now or it might take some more time?
Sudhir Sitapati: I think we should start seeing a better picture of growth from this quarter and certainly next quarter in Africa.

Kunal Vora: Understood. And lastly, you mentioned that you've seen share gains in LV and Coils after the RNF launch. What's the kind of market share gains? And are you banking mostly on market share gains through RNF? Or do you see it also boosting the category growth in anyway?
Sudhir Sitapati: We don't usually give out our market share numbers, but we expect both market share gains and hopefully, to grow the market.
Moderator: The next question is from the line of Aditya Soman from CLSA.
Aditya Soman: Just one question for me, actually. So when you're comparing this market share, is this also Nielsen? And the reason I ask is because I think if I look at the data from Nielsen last quarter, I haven't seen the 3Q numbers. But in 2Q, there was a clear difference in sort of urban metro and non-metro, where metros seems to be decelerating. And the reason I ask is because I suspect that a lot of urban, metro deceleration is basically just not capturing the quick commerce data accurately. So is there more light you can throw on this?
Sudhir Sitapati: No, I think that is accurate. Certainly, as I said, the urban growths are slower. Nielsen may not capture quick commerce , is also correct. But as I told you, even after accounting for quick commerce and so on, urban metros are a bit slower last quarter than they were before that.
Moderator: The next question is from the line of Lokesh Gusain from BOB Capital Markets.
Lokesh Gusain: Just one question from me. So how much in advance do you buy palm oil? Like how many months in advance do you buy palm oil?
Sudhir Sitapati: We may not want to answer that. This kind of question is a bit specific in terms of the inventory that we hold, etcetera, on palm oil.
Lokesh Gusain: So you mentioned you're still using the third quarter inventory. So I assume 3 months is a good timeframe. So I just want to clarify one more thing regarding market share. So when you mentioned your market share is flat and so for the third quarter, do you mean volume market share or value market share?
Sudhir Sitapati: Yes, both.
Lokesh Gusain: Would you say your pricing was ahead of the market?
Sudhir Sitapati: Nielsen doesn't fully capture some of these things with that kind of accuracy to be honest. So you have to look at our volumes and our pricing. Nielsen pickup on all these things is hard to read on these.
Moderator: The next question is from the line of Sheela Rathi from Morgan Stanley.
Sheela Rathi: Just one follow -up to one of the participant's question on market share with respect to Nielsen data. So what I understand Sudhir, you mentioned that Nielsen doesn't capture the e -commerce m

arket share. And I believe for all companies, the e -commerce growth has been the fastest in the last many quarters. Is there a means to start capturing the e -commerce market share also over time? I mean how is the co mpany thinking about it on this aspect?

Sudhir Sitapati: We right now have internal ways of doing it. But this is something that we have to find a way of doing it properly . Because it is now becoming quite big, so we'll have to find a way of doing it.
Sheela Rathi: So are we already doing something?
Sudhir Sitapati: We do internal, but these are all like our own measures, calling through some data. Not something which is as formal as Nielsen.
Sheela Rathi: Okay. And just to be clear, is the MT trend captured in the Nielsen data? Or is it just the GT trend?
Sudhir Sitapati: MT is also captured in Nielsen.
Sheela Rathi: Okay. And just a second question, Sudhir, how are you thinking about in -sourcing of palm oil? I mean, is this an opportunity to localize palm oil sourcing over a period of time? Or do you think it's just too early to think about it?
Sudhir Sitapati: What do you mean Sheela by local in -sourcing of palm oil?
Sheela Rathi: I mean recently, one of the competition has acquired a palm oil manufacturing company. So they are thinking of over a period of time because it takes long to grow the seeds and the crop. But is there an opportunity for us to also think about getting into t he space where we can distribute our sourcing of palm oil between international and locally. I mean the government is promoting a palm oil production .
Sudhir Sitapati: I mean, the largest palm oil plantation company in India is Godrej Agrovet with about 1/3 of the market share of palm oil locally, but that's still a fraction of the total palm oil requirement of the country. And as a consequence, the PFAD that is produced from local plantations is very, very small for Soaps. And it's a long way off. But I mean, as a group, we are very much in this ecosystem.
Moderator: Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Vishal Kedia : Thank you, everyone, for attending the call. We hope we have been able to answer all queries. Please reach out to us on our Investor Relations contact details for any further queries you have. Thank you, and good evening.
Moderator: Thank you. On behalf of Godrej Consumer Products Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of the call.

Call: Aug 2025

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Transcript of Conference call with Investors & Analysts held on August 7, 2025

Dear Sir / Madam,

Please find enclosed herewith transcript of Conference Call of Godrej Consumer Products Limited with the Invest ors and Analysts held on Thurs day, August 7, 202 5 at 4.30 p .m. The aforesaid information is also being hosted on the website of the Company at the below mentioned link:

https://godrejcp.com/investors/performance -updates

Please take the same on your records.
Thank ing you
Yours faithfully,
For Godrej Consumer Products Limited
Virender Mittal
Global Controller
Encl: As above

Godrej Consumer Products Limited
Q1 FY26 Earnings Conference Call
August 7 , 202 5

MANAGEMENT : MR. SUDHIR SITAPATI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GODREJ CONSUMER PRODUCTS LIMITED

MR. AASIF MALBARI – GLOBAL CHIEF FINANCIAL OFFICER AND PRESIDENT

MR. VISHAL KEDIA – GLOBAL HEAD, STRATEGY &

Moderator: Ladies and gentlemen, good day , and welcome to the Godrej Consumer Products Q1 FY26 earnings conference call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need as sistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kedia . Thank you, and over to you, sir.
Vishal Kedia: Good evening to all present. Welcome to the Q1 conference call for Godrej Consumer Products Limited. We have with us Mr. Sudhir Sitapati; and Mr. Aasif Malbari . We will start with opening remarks from Mr. Sudhir Sitapati , following which we will go into Q&A.
I now hand over to Mr. Sudhir Sitapati for his opening remarks.
Sudhir Sitapati: Good evening to all. Q1 FY26 has been a good quarter for GCPL. In particular, our standalone ex-soaps business has had an excellent performance delivering an underlying volume growth of mid-teens, led by robust broad -based performance. Our international business has been affected due to macro headwinds and competitive pressures in Indonesia, which was compensated by a robust performance in Africa. On a consolidated basis, our revenues grew 10% in INR terms with 8% underlying volume and minus 3% on EBITDA. India has had a good quarter with a revenue growth of 8%. Our volume growth was 5% and EBITDA growth was minus 6%. However, excluding soaps, we grew underlying volumes by mid -teens, with soap volumes being affected by volume price rebalancing and a very poor season in May, especially in North India. We had a robust performance in household insecticide, which grew volumes in high single digits, led by Electrics growing double digits. We have gained market share in Electrics on the back of the relaunched products and are very happy with the outcome of our actions.
Our categories of air fresheners, laundry liquids, etc have continued to deliver strong underlying volume growth. All our products like Block, the anti -perspirant, AirPlug, and Amazon Woods 4X, have been launched successfully and are seeing good consumer traction and repeat sales. Furthermore, as guided in the investor meet, we are on track to deliver 150 bps to 200 bps of savings in A &P investments. Over the last three years, we have doubled our A &P spend and trebled our working media. With this kind of scale, we have been able to accrue savings on account of better planning, automations and negotiations with a new agency in place. This has been done without impacting media reach. Our Indonesia business has been impacted by macro headwinds and competitive pricing pressures. However, we expect this to be transitory in nature with the situation improving in a few months. Our Africa business continues its solid performance with sales growing at 30% and EBITDA at 15%. We successfully launched Aer Pocket across all markets in Africa and are seeing a very positive consumer response. Latin America continues to do extremely well with high single -digit underlying volume growths and EBITDA mar gins now in the double digits.

As guided during our latest investor meet in May2025, we expect performance to improve sequentially in FY26 with the second half performance better than the first half performance in terms of margin. Standalone EBITDA margins in H126 is likely to be below our range but is expected to improve in the second half.
While palm oil prices have started moderating towards June, benefits of this moderation will only be realized in H2 FY26. We believe for FY 26, we are on track for mid -to-high single -digit UVG for standalone business, high single -digit consolidated INR revenue growth and double - digit consolidated EBITDA growth for the full year. Thank you. I'd be happy to take questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star then one on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Again, to register for a question, please press star then one.
Our first question comes from the line of Aditya Soman from CLSA . Please go ahead.

Aditya Soman: Yes. Hi. Good evening. Sir, t wo questions for me. Firstly, on - you indicated the impact of the early monsoons potentially on soaps. Was there also a similar positive impact on home insecticides given that we had an early rain and typically insecticides does well in the rainy season? Second question on the liquid deter gents business, we've seen Unilever get very aggressive in the space. They've recently launched Sunlight at INR70 a liter, actually even significantly undercutting even Fab. Do you see this as being a challenge to growth and margins going forward? Thanks.
Sudhir Sitapati: Thanks Aditya. To answer your first question on whether there was a positive impact on household insecticide, we have something called an infestation index for the quarter. The overall quarter was at about 100. That's because April was very low and May and June were good. April was very low because it was a particularly hot April. It became hot early this year and then it cooled down in May and June. So April normally where the season changes in the north, the season changed in March.
So, overall, actually, we didn't have a particularly good seasonality index in, it was an average seasonality index on household insecticide and April is normally a much bigger month than May and June. May and June are good summer months. The index was higher . The volumes are lower. April, the volumes are higher, the index was lower and it was roughly the same. So I don't think we got any particular benefit in terms of household insecticide, in terms of season this quarter, which we did a little bit last qu arter, which was in Q4.
To answer your second question, Fab continues to do extremely well for us. It is sequentially gaining share. It is much loved by consumers and it is heading towards unprecedented levels of revenue in FY26.
We do not see Fab as a price comparator. We think that there's an overall mix to Fab that is good. In fact, we have taken up prices by 5% on Fab in the last quarter and have seen no impact of it

despite a lot of price competition in the market. We are very convinced that this is a good mix and a fundamentally good mix.
Aditya Soman: Thanks, Sudhir . That's very clear. Thanks for the clarification f or both. Thank you.
Moderator: Thank you. Our next question comes from the line of Avneesh Roy from Nuvama . Please go ahead.
Avneesh Roy: Yes. Thanks . My first question is on the India HI. Most of the sub -segments of the India HI seem to have grown in double digits. If you could clarify how much is the decline in coils and would you see that as a structural issue? And it's a good long -term issue to have given the premium products can grow faster, differentiated products can grow faster.
And second is Q2, obviously, currently the expectation is the monsoon is going to be high. Till now, it is high only. So generally, when the monsoon is high, the mosquito larva gets flooded away, which is not a good development from a HI construct. So would you be a bit cautious on the Q2 demand based on this premise? Obviously, it's too early to comment on the quarter from an overall projection per

spective. But from a monsoon perspective, would you say that that's not a supportive premise?
Sudhir Sitapati: So to answer your first question, Avneesh , I think , the growth is declining. We don't usually give numbers at a sub -segment level. So it's probably not proper for me to give it. But I feel like last quarter was an average quarter in terms of season. An d we have done this high single -digit volume growth, which other things being equal, I think , will persist in the future. If you have a good season, if you have a bad season, we may go to low single digit. So that kind of variance will be there. But we seem to be on that kind of trajectory. We'll see how to take this up further. I still feel that there are ways in which we can take this up further and we're working on it. One obvious way is to see how we can upgrade faster from incense sticks. But that's work to be done. But at least this battle seems to be a little behind us. This is, in fact, third quarter in which Electrics has done well. So that we continue to be quite positive about.
In terms of Q2, in terms of seasonality, it's hard to say, Avneesh . It's hard to predict what's going to happen. Actually, July was a little bit of a poor monsoon in South India. But again, the monsoon has come back in August. It's been a bit of a strange season where the July normally kind of what happens in August is h appening in July and everything is getting changed a little bit by 15 days, 20 days.
But sitting here today, I don't think this is going to be a particularly good or bad season sitting here today. I don't know what August and September will bear. Last year in Q3, it was a particularly poor season. So one can be hopeful that that will impro ve. But I mean, I can't really answer that question with more clarity than that. Sorry.
Avneesh Roy: Sure. That is absolutely reasonable. In terms of the new formula, now it has been a few quarters. How is the competition responding? Because India is all about jugaad , reverse engineering. And

even if reverse engineering doesn't give the same product, Indian companies are very happy to copy the messaging. So if you could comment on the competitive landscape from a new formula perspective, how things have changed?

Sudhir Sitapati: See, f irstly, within Electrics , we have had unprecedented share gains over the last few months and genuinely unprecedented share gains.
Avneesh Roy: Is the Nielsen market share gains.
Sudhir Sitapati: Nielsen market share gains . Again, I don't want to give exact numbers, but they're very high. In fact, for the first time in a decade, we have gained share of overall HI. In the past, we would gain and lose share, a little bit of share in Electrics , but then the market was reshaping so rapidly that we were losing overall share of HI, as were all branded players because illegal sticks were gaining shares, all branded share.
But this is the first quarter, except for one quarter in the middle of COVID when Chinese imports and all stopped, one or two quarters. It's the first quarter really in a regular quarter in a decade that overall HI shares we've gained, which is very, very heartening, which means you really have to gain a lot of share in Electrics to compensate because incense sticks still continues to grow fast. So that's been very encouraging for us. I mean, look, the RNF molecule is a competitive mode for us , because as I said, when we launched RNF, you guys were here in the last analyst call, we have exclusivity for some time on this and the lead time for new molecules in India is long.
So in the short - to medium -term, we don't expect any challenge in terms of product, we are convinced that this is the best molecule in India, it has shown results. I hope it shows even better results in the future and it's not easy to copy this and mere proposition doesn't

help. I mean, in
the last decade, everyone's tried a lot of propositions, but mere propositions don't help in the absence of a solid product.
Avneesh Roy: Sudhir, one last follow up on this, you had shown us a live experiment in your office when we had on the new formula, but real world is different and real world, there are so many other uncertainty and all that. What is the customer saying on the efficacy of this product? The general...
Sudhir Sitapati: See, customer -- see, qualitatively has been very good, which we knew for some time, but quantitatively, if you're able to gain enough share in Electrics to compensate for the headwind loss of incense stick growth, I mean, that kind of share doesn't happen without a genuine product differentiation and consumers genuinely loving it, which we are hearing from a lot of consumers.
Plus, this advertising also seems to have clicked. We went in with a proposition of lasts for two hours after the e lectricity goes off. This seems to have been a good proposition that consumers are recalling as well.
Avneesh Roy: Sure. My second quick question, India perfumes and deo mid-teens growth, say 15 %, 16%. If you cou ld comment on a two -year basis, how the growth is, I understand this was not a very favorable quarter, given most summer categories that did not do well. And second sub -question there, the Bloq antiperspirant, that formulation, the way it is applied,
I think India, we haven't seen too many products really become successful, it has been tried earlier. So to that extent, from an application perspective, would you need a lot of time for a customer to be taught how this is used, so that the traction is there?

Sudhir Sitapati: So I think, again, I don't want to give specific numbers on a two -year basis. Though last year, same quarter was also a very high growth quarter because that was on the base on a low base.
So two -year n umbers are very high, but three -year number may not. But I would say, so the two - year number will be high only , because the growth number that we had , because the previous year we acquired the business.
But one thing is that the traction is good. We've done two, three things that seem to be working.
This Amazon Woods 4X, which is an innovation seems to be working well, because the market was disrupted by 2X and this is 4X. And in Tamil Nadu, we did a pilot, which seems to be working very well, where we bought the MRP of the category down to INR99. Many of you will know that this category and a lot of questions were asked on whether it's a very trade driven category. And that time I had said that our job is to convert it from a trade driven category to a consumer driven category.
So in Tamil Nadu, what we did is the category MRP was INR230 and the trade price was

INR100. In Tamil Nadu, what we did is we brought down the MRP to INR99 and we bought down the trade price to INR90 and converted 150 ml to 125 ml so that the gross margins remain the same. That has had explosive growth in terms of volume shares, volume growth and even NSV growth. So we are now convinced that that is the right way for us to compete in this market, not give so much margin to the trade, give trade the margin that they earn in t he rest of HPC and bring down price. That has been in one state, but that has been a delta contributor.
Bloq, I agree with you is a long, hard battle , because converting this country to antiperspirants is not going to be easy. But I just met some consumers yesterday. I was in Chennai where we launched Blo q and consumer acceptance is hard. Again, remember that this category of antiperspirants is selling at INR200 to INR220 and Blo q is a INR99 disruption.
So we seem to have a lot of these INR99 products that seem to be doing quite well for us, Blo q, Aero, KS Deodorant 99. But to answer your question, is Bl oq goin

g to give us a lot of revenue
in the next two years? I doubt it. But it is one of the key reasons why we did this acquisition, which is to build the antiperspirant category.
Avneesh Roy: Sir, last question. I'll end there. So liquid detergent, you did extremely good disruption with the pricing, packaging, product, etc etera . Now legacy detergent powder players have quickly caught on and now I think their pricing is even lower than Fab detergent. Modern Trade has also quickly caught on. So currently you are doing quite well.
So my question is not on the current quarter. My question is eventually what we see is the legacy player in any category eventually come back , because they have much higher advertising budget in this category to really get back that initial delay. Plus definitely their economies of scale will be much, much higher to initially cross subsidize, etc etera .
Sir, how do you see Fab now competing against Rin at a lower pricing and say even Modern Trade? Modern Trade, of course, the quality will be different. So if you could comment l ong-term, how do you see this threat?

Sudhir Sitapati: See, f irstly, Avneesh , laundry liquid is a category we built in India with E zee and the category is quite analogous to soaps 20 years, 25 years ago. It's a category that we've done well over a long period of time. So we are certainly one among a few players. So I don't think that there is a question of right to win in this category, both because we were the pioneers in liquid and the detergent category has a lot of similarities to soap. I think we look at our mix from a consumer's lens. We feel that a combination of the product, the pricing, the packaging and the advertising is a sweet spot for consumers. We have, in fact, as I said, gone the other way around and taken up prices on Fab, because actually raw material costs have gone up, SLES, which is a big component, linked to the palm complex and so on.
And we have not seen, and these kinds of things, if you're purely playing on a commodity basis, you will see things falling immediately. But we have not seen that. We have only seen our sequential revenues go high . We will play a branded game here. We are not going to play a pricing game on Fab. I mean, it came at a disruptive pricing because we felt that's the right price for consumers, not because you want to discount the category. We feel the right price for consumers to upgrade from powders to liquids. Our job is to upgrade from powders to liquid. And our focus is on that. I mean, so that consumers get a better experience with liquids.
Avneesh Roy: So thanks. That's all from me. Thank you.
Sudhir Sitapati: Thank s, Avneesh .
Moderator: Thank you. Our next question comes from the line of Percy Panthaki from IIFL Securities. Please go ahead.
Percy Panthaki: Hi, sir. My first question is on soaps. So suddenly we've seen such a huge volume growth coming in this quarter. Sir, what really has changed ?
Sudhir Sitapati: It's volume declined.
Percy Panthaki: Sorry.
Sudhir Sitapati: Are you talking about soaps or ex -soaps?
Percy Panthaki: You said that soaps has grown 15%, right? Or did I hear that wrong?
Sudhir Sitapati: No. I said ex -soaps. You heard it wrong. I said our business ex -soaps has grown 15 %.
Percy Panthaki: Okay.
Sudhir Sitapati: Soaps have done badly this quarter, both because of grammage cuts, which are very sharp and also because of a poor season in May. So we overall grew 5% in India, but we grew ex -soaps in the mid -teens.
Percy Panthaki: Understood. And with this import duty cut, does that benefit us in terms of RM, and when do we see the margins sort of normalizing for soaps division?

Sudhir Sitapati: So the import duty cut will benefit us. However, in the last few weeks,

there has been a bit of a rally again in soap -- in palm oil prices. So palm oil prices fell back up, not hugely up, but they've gone back up 10 %. So from their peak, they fell 30%, they've gone back up 10%, but that's in the realm of palm oil. But because of the inventory that we hold, I think , the benefits of soap margins will only come in towards the beginning of Q3.

Percy Panthaki: Okay . Understood . And on Indonesia, we keep having these issues every three years or so. I think now it's been like 12 years or so since our acquisition. More or less, three times or four times we have seen this cycle repeat, that things are going good, then we have some competitive intensity, and then two quarters , three quarters down the line, we realized that we should have responded more forcefully early on. So what actions are we taking now to sort of protect our business against compet ition?

Sudhir Sitapati: See, primarily, I feel like in Q4 itself, Indonesian -Indonesia FMCG had slowed down. And I think a lot of our peers and competitors reported that in Q4 and the beginning of Q1. Things seem to be -- so the primary cause in Indonesia seems to be macro. So before acting, one needs to understand whether it's a macro cause or a micro cause.

Primarily, we see this as macro. I mean, I could be wrong, Percy, and I could come back and say, hey, listen, maybe we missed something. But there have been some price competition, which has, I think, been in response to the macro, because when the macro is poor for four months , five months, a lot of competition also wants to react. We have to defend market share unblinkingly. So that we've because our objective is to defend market share.

But I don't -- I'm also going to Indonesia next month to assess for myself. But from what I've read from the data I've seen, it does seem to be from what I've spoken to others, it does seem to be a little bit of a sudden slowdown that Indonesian economy had in Q4 and the beginning of Q1. It also seems to be doing a little better now.

Percy Panthaki: Understood. And this price competition is in wet pipes or something else?

Sudhir Sitapati: No. In household insecticide and air fresheners. Basically, in general, because Q4 was so bad that, I guess , everybody was saddled with inventory. Nobody's plans happened. So what , I mean t, I suspect that's what must have happened there. So I also feel that this is a temporary kind of a response to what went wrong in the Indonesian economy in Q4 and beginning of Q1. I don't have a clear answer, but a lot of people have written about it and a lot of competitors have spoken about it. I don't know what happened in th at quarter, but it seems to be a response to that.

Percy Panthaki: So in a situation where we have a slow macro plus some discounting and price -led competition, will your priority be to protect the margins or will it be to sort of make sure that whatever little bit of growth you can get in the poor macros, you get that?

Sudhir Sitapati: Our objective is always to defend our shares and to grow our shares. That is number one priority in a when the macros are poor. So whatever the consequence of defending shares, you have to bear it, you have to bear it.

Percy Panthaki: Understood. So any call out here on margins like you had called out a few quarters earlier that India margins will remain below normative levels. Any such possibility in Indonesia that for a few quarters it will below be normative levels because of price competition or something like that?

Sudhir Sitapati: I have a feeling again , look again, Percy, I'm not 100% sure here, but I have a feeling that this is a bit of a temporary drop and it should come back in the next few months. Again, this quarter we have kind of continued to invest on pricing, but I have a feeling that the pressur e should lift by Q3 he

re is what I think will happen in Indonesia. It doesn't look like a deep structural margin correction that we have to take.

Percy Panthaki: And lastly on Africa, you have done a very good top line growth, but -- and whereas the bottom line also has grown, but there has been a margin compression here. So what is the reason for that margin compression?

Sudhir Sitapati: I think the primary reason is that one of our products, which is Aer Pocket , has been doing well across the world and we have been -- launched it in many countries in Africa and invested quite a lot in Aer Pocket in terms of media and on -ground activities and BTL. So I think that has been the main reason for a slight bit of dilution in Africa margins and also consequently the growth as we are also pivoting that business to an FMCG business and A er has been such a big success in India that we see a big opportunity not just in Africa actually, but across the world on Aer

Pocket .
Percy Panthaki: Got it, sir. That's it from me. Thanks and all the best.
Sudhir Sitapati: Thank you.
Moderator: Thank you. Our next question comes from the line of Karthik Chellappa from Indus Capital Advisors . Please go ahead.
Karthik Chellappa: Yes. Thank you very much for the opportunity. Sir, I have two questions. The first one…
Moderator: Sorry to interrupt. Karthik sir, you are sounding too soft. If you are using an external device, if you can use a handset, please.
Karthik Chellappa: Yes. Sure. How is this one? Is this any better?
Sudhir Sitapati: We can hear Karthik just about, but go on.
Karthik Chellappa: Okay . Sure. I'll try to be loud as well. So my first question is on the standalone business. If I were to exclude soaps and look at the margins on a year -on-year basis, directionally, how do you think that trended?
Sudhir Sitapati: Directionally, we also on ex -soaps have taken some price corrections in some part of our portfolio, including household insecticide, hair color, which also explains the high growths in the rest of the business. So even there, the margins have not been much, but they have come down. But we h ave had spectacular mid -teens growth there.

We felt there were some parts of the portfolio, for example, the aerosol part of the portfolio when compared to the rest of the world, prices were high. Margins in an absolute level are high. So we've dropped prices there. In some parts of our hair color portfolio, where margins are high, we've dropped some prices. All these businesses have exploded, but we have taken some kind of margin correction there.
We will recover those margins as the year goes along through cost savings. We have very aggressive cost saving programs, including in the first quarter, a lot of it has come through media negotiations. But we have some big budget savings, including from supply chain, from our new factories, etc etera . So our strategy on ex-soaps , soaps is to recover to normative margins with pricing. Ex-soap is to be a little bit aggressive on pricing and recover those margins back through cost.
Karthik Chellappa: So in the second half, when we talk about margin recovery, it will be on the back of soaps normalizing plus , as well as ex-soaps also improving, but not to the extent that we will see in soaps , right?
Sudhir Sitapati: Yes. But we should in the second half go close to our normative kind of margins. That's what I think, unless of course, there's another root shock on oil prices, but if assuming oil prices are roughly where they are today, which is higher than their low, but lower than their high, we should kind of roughly get to our normative margins. That's what our calculations suggest.
Karthik Chellappa: Okay . Great . On Indonesia, if I were to look at your price levels in the first quarter, for the competitive categories, whether it's household insecticides

or air fresheners, what would be your gap vis-à-vis these aggressive challenges? If I take the first quarter price level as a reference point.
Sudhir Sitapati: Compared to where we should be, I think we were about 7%, 8% higher than where we should have been, which we took corrective action in the quarter itself. So towards the end of Q4 and beginning of Q1, we saw some sharp price drops on household insecticide aerosol, which we waited for a month and then we've kind of gone and matched and so on. But we were off by about 7%, 8% for a period of two months.
Karthik Chellappa: So which means if the price aggression from the challengers don't get worse from here, our price levels are probably where there should be from a competitive standpoint, right?
Sudhir Sitapati: Yes.
Karthik Chellappa: Okay . Great . Okay. That's all from my side. Wish the team all the very best for the remaining quarters. Thank you.
Sudhir Sitapati: Thank you, Karthik .
Moderator: Thank you. Our next question comes from the line of Harit Kapoor from Investec . Please go ahead.

Harit Kapoor: Yes. Hi. Good evening. Sir, m y first question was on pricing and gross margins in standalone. So, soaps has declined. Within HI also the premium categories have done well and most of your higher gross margin categories have actually done quite well. And we've seen a still a slight

sequential drop from quarter four to quarter one?
Sir, what I'm trying to ask is, mix has dramatically at least looks like has significantly improved. But the drop is still there. So is that largely inventory price led? Is it what you mentioned in the earlier participants question that you've taken some price drops in the non -soap portfolio? Just help me understand this change.
Sudhir Sitapati: Largely, we've taken some price drops in the non -soap part of the portfolio, especially on aerosols on what we call CIK, which is crawling insect, flying insect, which is mosquito and cockroach. And also on hair color, we brought down the price of our large pack by about 5%. So on three big packs, we have tak en down prices to aid volume growth.
Harit Kapoor: Got it. Got it. Okay. And the soaps , what if I just do a back of the envelope calculation, it looks like a mid -teen volume decline. When do you se e.
Sudhir Sitapati: It wasn't that high it, wasn't a mid -teen volume decline or not
Harit Kapoor: Okay. Okay. So whatever, a double -digit kind of a number, at least it looks like, just wanted to get your sense on, when do you see and how does this easing happen through the quarter? Is it just a base effect which anniversarizes from, say, third quarter and fourth quarter , and part of it is seasonal, so that should ideally play out from quarter two itself? Is that the way to think about it?
Sudhir Sitapati: Yes. It will. We'll definitely see better volume performance. See, a good part of the volumes decline, UVG decline is just gra mmage. So about half our business or 40% of our business is price point packs. For example, on Godrej number one, INR10. Last year, same quarter, I think we were 55 grams or 56 grams. This year, we're about 43 grams. That's the kind of gra mmage cut that we've had to take, which is almost 20% gra mmage cuts, right? So that on 40% of your portfolio, that account for most of the volume decline.
And then there was a volume decline, which was an unusually poor May that we had. So the unusually poor May will disappear in Q2. What will happen on gram mage cuts is those will continue because as we go through the year, the base also has smaller and smaller gra mmages and units also tends to increase over a period of time. So while our UVG is 5%, my reckoning is that our unit growth would have been in double digits this quarter.
Harit Kapoor: Okay. Sir, o ne last question on soap. I mean, as you track competitive intensity

, have you seen
market shares stay largely intact in that way?
Sudhir Sitapati: See, we're still gaining in this quarter market share on soaps , despite all this, but it is less than we usually gain. So I have to say that we have for a long time been gaining significant share on soaps . That significant share has reduced to a marginal gain on soaps , but we're still gaining, we're not losing share on soaps .

Harit Kapoor: Got it. Wish you all the best. Thank you.
Moderator: Thank you. Our next question comes from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra: Yes, hi, team. So I think my first ques tion, again, actually is on soaps . So what I wanted to understand is whenever you've historically seen this very large decline in volumes in soaps like 8%, 10% or high single digit declines in any year, because long term, there is still some low single digit growth in the category ?
Do you expect volume growth to come back to a reasonably good number at some sta ge to make up for this decline o r does the usage actually drop and does not recover when you take these grammage cuts? So what I'm asking is once the base normalizes, do you just think you get to a zero kind of a territory or there is a year when you actually make up and therefore get to the long term trend line growth of the industry?
Sudhir Sitapati: I think you will get to the long line the industry from my past experience, Arnab, because people don't reduce the number of baths. It's an inelastic category. So, similarly, you see, we're also lapping bases where the other way around happened, where you suddenly give grammage increases and then it looks like you have high UVG. But I do expect that the long term volume growth on soaps to be in the low single digit, which is 2 % odd, 2 to 3% is what I expect the long term volume growth on so aps to be.
Arnab Mitra: Got it, Sudhir. And the s econd question related on soaps is, I heard your answer on market shares, but sometimes nielsen share can be a bit off short term. So this quarter again was the first quarter in a long time where I think HUL grew slightly better than GCPL on soap volumes.
So anything you read from that in terms of your on ground understanding of how things have gone after the formulation change or pricing actions or do you not worry about it could be a quarterly thing that one company would have a slightly higher number? I just wanted to get a sense of anything that worries you on the competitive performance in soap s?
Sudhir Sitapati: No, I think Arnab it's one quarter, we still gain share. We see we have a large business in North

India and North India had a particularly poor summer. We had a really poor May in North India and 70% of our business comes from North India. So there's a little bit of geographic stuff here. I would say that we have been a little aggressive on soap pricing over the last few years generated quite a lot of margins.
But I would not read too much into one quarter, if this continues for a few quarters. I mean, the market share gain that we've got in this quarter is less than what we want, to be honest. So leave alone whatever reports come externally, that itself, we've go t to improve a little bit more, but I would still kind of leave a quarter aside because it's also been an unusual quarter in t erms of various kinds of prices.
And the weather does affect soap sales. So I'd probably do not react too quickly to this, wait for a quarter or so and then probably kind of think about it.

Arnab Mitra: Got it. And my last question, Sudhir, is generally what we've heard from most companies is this slight like broad based pickup we are seeing in some parts across mass consumption. Now, I know your categories have different drivers, espec iall

y as this are quite season driven, b ut any thoughts you have on, are you seeing broader consumption trends slightly improving and therefore like the second half recovery, which is right now more p redicated on soap's recovering. Is there also some chance that you do get a little bit of uplift from a broader consumption recovery? So any thoughts or anything you have picked up on the gro und there would be helpful?
Sudhir Sitapati: I think so Arnab . I think that one can say that this quarter growth has been slightly easier than the previous quarter and the previous quarter was much better than the previous one. So, I mean, it's too hard to say there's like some big boom in consumption and all, but c ertainly it looks in the right direction because soap numbers that are affected by a lot of things. So x soap is a good way to kind of look at the overall consumption basket. Those numbers have been quite unprecedented for us this quarter.
Arnab Mitra: Got it. Thanks. That's it from my side. All the best.
Moderator: Thank you. Our next question comes from the line of Nihal Mahesh J ham from HSBC. Please go ahead.
Nihal Mahesh Jham: So the first question was on H I itself, specifically post RNF launch. Is it say either via Nielsen or any other medium, there is a potential t o get a feedback on the repeat because I'm sure there will be a novelty factor associated with the advertising campaign that you're running, but any sense on say, the repeat fa ctor for the new molecule/ product?
Sudhir Sitapati: Yes, see we've now launched a new molecule in September last year. So this kind of market share gains cannot happen without repeats. So, I mean, you can get after advertising the first three, four months, your trials can go up and then the repeats can come down, etcetera. So that alone tells us that the repeats are high, because the scale of market share gain is very high.
Nihal Mahesh Jham: Got that. And at least in our understanding, maybe our share in electricals is not of 60% before the recent share gain that you're speaking of. So potentially leaving apart the focus on trying to transition a lot of the incense in market into LVs, where ca n we potentially take our share of in the long term?
Sudhir Sitapati: I mean, there's a good question to ask, because let's take in FIK, our share is 85, in cockroaches, it's 90 plus. So, I mean, when you have a differentiated product, and you have a moat, I suppose the sky's the limit.
Nihal Mahesh Jham: Got that. The final bit is during the Analyst Meet, you did mention about obviously revamping the channel margin in architecture for the deodorant portfolio and the new launches. Just feedback on that, because obviously, at that time also, there was a slight apprehension given it was the first time that any company was trying to implement it. So just initial feedback on that?
Sudhir Sitapati: We're very happy, as I told you, we launched it in Tamil Nadu. Now, Tamil Nadu is the easiest case, by the way, because the lowest wholesale compo nent, the most retail component and wholesale doesn't like this. But the lesson that we've learned is doubling of volumes and doubling

of volume shares and actually doubling of revenue also, because you're not really drop price, because price per ml, we've kept the same or our NSV per ml.
I mean, shows us that this is a powerful idea, which is if you bring this category to INR99. Now, it's a hard transition to do. So we'll have to do this slowly a nd not like one shot because you do it in one shot, you can really lose a lot. But certainly, the right thing to do is to get this category to INR100 and then this category has to explore So I hope that takes the growth of the category

up. We're also unique, because among the top couple of players, we probably have the best distribution for this kind of thing, because you ne

ed a wide distribution to compensate for initial loss of wholesale traction. So I guess we are quite as well placed among the top three players to kind of capitalize on this from a distribution point of view.

Nihal Mahesh Jham: Understood. That's it Sudhir. Thank you so much.

Moderator: Thank you. Our next question comes from Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, team. Thank you for taking my question. Firstly, on the Africa business, after the cleanup the growth seems to have been quite strong. Firstly, is this growth sustainable a nd or what can be a reasonable growth for Africa on a sustainable basis a nd in FY26? So that's my first question?

Sudhir Sitapati: I'll ask A asif to answer that.

Aasif Malbari: Sure. So I think one is we've kind of taken in a lot of interventions over the last year. Some bit of the growth is obviously kind of coming in because of, I would say, corrections or base corrections, which we've done in the past because we had taken down dealer inventory. I would kind of at tribute around 10%, 12% of the growth to that. So should we be able to kind of grow by double digit over the next few quarters? I think we should, w ith macros being where they are.

Mihir Shah: Understood. Secondly, on competitive intensity, Sweden, Indonesia, do you expect all the higher promotions, etcetera, that have happened to match competition? The impact of all this already factore d into the margins this quarter o r do you think that we can see some more margin pressure in coming quarters as well?

Sudhir Sitapati: Look, it's hard to predict this. I can only guess this. I can't predict it. My guess is that margins may have bottomed out in Indonesia because of pricing pressure. Because my guess is that the market will grow faster. If the market grows faster, the kind of need for competitors to drop prices kind of slightly reduces. So that's my guess.

Mihir Shah: Understood. No, I was just asking on a sy nchronous parity basis, have you taken…

Sudhir Sitapati: I think a good model is to think tha t this is not. Anyway, maybe we can have a conversation in a quarter or two on this for us to assess whether m y guess sitting here today is it's a bit temporary and it'll improve in a quarter or so.

Mihir Shah: Got it. One on HI, if I can. The best of HI quarter sales are likely to come in the coming quarters. Should one revisit the HI guidance that you had called out? How do you see this rolling out during the year?

Sudhir Sitapati: I mean, look, I think we have achieved a certain kind of momentum on HI which we're convinced of, which is kind of moving from a zero to low single digit volume growth to a high single digit volume growth in HI. And I th ink we should probably kind of t hat's the guidance we should stick to for some time. I mean, there will be by the way another event where this should change because the re has to be a limit to incense sticks growth. And when incense sticks growth taper off and then start decl ining, then it'll suddenly upgrade and we will have a lot of high market share in the premium segment. So there will be a second wind of growth. When that second wind comes, I don't know. But certainly, this first wind seems to be reasonably secure.

Mihir Shah: I was thinking maybe we should up the guidance given the strong growth that we've seen ?

Sudhir Sitapati: Probably not because the relative growth of incense sticks continues unabated. See, so we can gain share within electrics that you can plan for. But if incense stick continues to grow, even if it doesn't downgrade from premium, it doesn't allow upgradation of premium. So I would still say at this rate that stick to the guidance. When we see incense stick slowing down, see HI will come back to you.

But for the time being, I would say that this high single digit kind of growth in HI i

n a norm and this also will vary between low single digit and double digit depending on season, by the way, but on average, kind of this is what we should probably think of for some time.

Mihir Shah: Understood. That's very clear and very helpful as well. Lastly, on soaps , if you can share, when does this p rice hike actually annualized if you can share that one a nd that's the last one. And thanks for all. They were all my questions. Wishing you all the best.

Sudhir Sitapati: Thanks. I think second quarter it annualized . So this quarter and by next quarter, Q3, it would have fully annualized.

Mihir Shah: And sorry on the volume bit do you think that we can see sharp improvements in volumes if that by the case with pricing?

Sudhir Sitapati: Yes, I think globally, we may not see from a console basis, we grew 8% volume. I don't think that will improve because it is a onetime Africa has done really well in quarter. I don't think that's the sustained number for Africa. But India, I think will edge up because see, India, as I told you, soaps was mid -teens.

Now soaps is a composite of bad season and also this grammage cuts. And as I was telling Arnab, ultimately consumption doesn't fall. So I would be disappointed if India doesn't move from mid single digits to high single digits in the next few quarters.
Mihir Shah: Got it. Thank you very much. Wishing all the best.
Moderator: Thank you. O ur next question comes from t he line of Abhneesh Roy from Nuv ama. Please go ahead.

Avneesh Roy: Two quick questions. On the pet food, any initial update you have showed us the product, very good consumption, live consumption you showed. Any further update on the initial market study, market foray, any pilot initial study you can share with us?
Sudhir Sitapati: No, Abhneesh, it's early days. We've launched it in TN. We've sold in, again, I was in Chennai yesterday both to look at b loq and to look at our pet business a nd the first question I ask more than anything else is, is the product acceptance good a nd among consumers whose pets have used Ninja, the product acceptance is good.
So I think at this early stage, that's the only relevant question, which is the product doing well or not? I would say it's doing well. But this is a long gestation, like Blo q, it's a long gestation thing where there'll be lots of ups and downs. We'll have to it's a several -year commitment where we will, probably the focus has really to be on consumer delight for now. And numbers and all we can, you know, really get into in a few years.
Avneesh Roy: Sure. Sudhir, I wanted to understand on the pricing bit, you mentioned some price cuts in the bigger packs of hair color and in the spray of the dye, etc etera . What is leading to this? Is it benign raw material or desire to gain more market share in the larger packs of hair color, for example?
Sudhir Sitapati: See, in the case of household insecticide, we saw that our price per ml was very different from the rest of the world. And one of the barriers for aerosol penetration is pricing. And India was an overpriced market when compared to even our own markets of I ndonesia and other markets that we operate.
So our bet here is that it is better to have benchmark the prices versus the world, get to that price and get to volume growths, rather than not having volume growth. There we've thrown the kitchen sink, we've put the new formulation and dropped the price. I'm quite sure we'll see volume growths go u p.
In the case of hair color, the dr iver of price drop is we had launched a INR15 pack, which has done explosively well for us. But we did feel that the gap versus the large pack was too high. And we wanted to adjust our price pack architecture, which is what we've done with reducing the large pack from INR42 to INR37. So that the per ml price is still much be

tter for the small pack. But that gap we kind of narrowed. These were the two drivers for the price drops.
Avneesh Roy: Sure. Last quick question and it's more a question on the overall industry wanted to understand a bit more. So, Sudhir, if you see biscuits also currently, the INR5 , INR10 pack is exactly seeing the same thing, where the gram mage cut is optically leading to impact on the volume growth for, say, Britannia.
Now, biscuit is a impulse category versus a soap, which is a dairy color as you rightly said. So in soaps, after two, three quarters, doesn't the consumption mirror the actual growth? Because still, how will the rate cut be absorbed. Ultimately, as you rightly said ?
Sudhir Sitapati: I think it will, Avneesh . I think there's no reason for it not to.

Avneesh Roy: Does it take 1 year?
Sudhir Sitapati: See, it could because you're also sitting on bases where there was extra gram mage, then you're going to less gram mage. There's a lot of inventory lying, inventory is lying at various parts, including the consumer's pantry. There might be an initial kind of titration, but my own experience, this is a necessity. Consumers use two grams of soap per bath. They need that cover.
I mean, it's not the kind of thing that is such a large component of household expenditure that people titrate and it's not doing it. So it has to come back. It has not come back. I see the thing is that the gram mage cuts have been really sharp. Like, I don't remember the number, but from 56 grams, you've gone to 44 grams in like 12 months.
So every quarter you're cutting and cutting and cutting. So every time the pipeline is going down, but look, if you do the maths over a two, three -year period the volume growth of soaps has to mirror the volume growth of the population.

Avneesh Roy: Absolutely. One last follow -up and that's the last question, Sudhi r. And this question was asked around three, four quarters back. So on the formulation by the number one player, that time you had said you would evaluate it. Now, some time has gone and still if you see palm oil goes up, palm oil goes down. The number one playe r's requirement of palm oil in Lifebuoy and Lux is lower by 20% versus say earlier. So in that context, what will be your analysis? Do you need an answer from a formulatio n perspective at some stage?

Sudhir Sitapati: No, I think, Avneesh , I have to answer this in slightly general terms, which is we have to do what we at one point think is right for the consumers. And right now we think our formulation is right for the consumers. And we'll have to play our game on this, which is it's a long game we have to play. And we will continue to do that and see the situation. We are not happy with our market shares in soap, but we're not unhappy with it either. So we just have to wait and watch a little bit more on this, Avneesh . I still feel that ou r path is probably the right one and we should probably stick to it. But look, we are also ready to learn at any point in time on anything.

Avneesh Roy: Okay. That’s all.

Sudhir Sitapati: Okay. I f there are no more questions, then thank you very much and have a good day. Thank you.

Moderator: Thank you. On behalf of Godrej Consumer Products, thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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November 4, 202 5
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers, Dalal Street,
Fort, Mumbai - 400 001
Scrip Code : 532424

The National Stock Exchange of India L imited
Exchange Plaza, Bandra -Kurla Complex,
Mumbai 400 05 1
Symbol: GODREJCP

Transcript of Conference call with Investors & Analysts held on October 31, 2025

Dear Sir / Madam,

Please find enclosed herewith transcript of Conference Call of Godrej Consumer Products Limited with the Invest ors and Analysts held on Friday , October 31, 202 5 at 5.00 p.m. The aforesaid information is also being hosted on the website of the Company at the below mentioned link:

https://godrejcp.com/investors/performance -updates

Please take the same on your records.

Thank ing you
Yours faithfully,

For Godrej Consumer Products Limited

Tejal Jariwala
Company Secretary & Compliance Officer
(F9817)

Encl: As above

Godrej Consumer Products Limited
Q2 FY26 Earnings Conference Call
October 31 , 202 5

MANAGEMENT : MR. SUDHIR SITAPATI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GODREJ CONSUMER

PRODUCTS LIMITED

MR. AASIF MALBARI – GLOBAL CHIEF FINANCIAL
OFFICER AND PRESIDENT

MR. VISHAL KEDIA – GLOBAL HEAD, STRATEGY &
PLANNI NG/IR – GODREJ CONSUMER PRODUCTS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Consumer Products Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kedia. Thank you, and over to you, sir.
Vishal Kedia : Good evening. Welcome, everyone, to the investor concall for Godrej Consumer Products. I'm Vishal from the management team. Firstly, we apologize for the delay in the upload of the result. This was due to a technical glitch at our end.
On today's call, we have Sudhir and Aasif. We will start with opening remarks from Sudhir, following which we will go into Q&A.
I now hand over to Sudhir for his opening remarks.
Sudhir Sitapati : Thanks, Vishal. Good evening to you a ll. I hope you and your family had a Safe and Happy Diwali. Q2 FY '26 has been a resilient quarter for Godrej Consumer Products Limited, given the transition of GST in India and the continued macroeconomic challenges in Indonesia.
Despite these headwinds, our India Business, excluding soaps, has delivered double -digit underlying volume growth, reflecting the strength of our core portfolio and execution. Our international portfolio faced macro and competitive pressures in Indonesia, which were offset by robust performa nce in Africa.
On a consolidated basis, our revenue grew 4% in INR terms, supported by 3% underlying volume growth. Our EBITDA margin stood at 19.3% and net profit before exception declined by 2%.
In India, sales grew by 4% and volumes by 3%. The recent GST rate reduction is a welcome structural reform that will strengthen long -term consumer demand. However, this transition led to short -term trade disruptions as the channel adjusted to new pricing a nd cleared old inventory, particularly impacting soaps and hair color. Despite this, we continue to gain market share in soaps and other key categories.
In Home care, we delivered 6% growth, led by strong performance in Air fresheners and fabric care. Personal care declined by 2%, largely reflecting the GST -related impact on soaps. As guided earlier, this was the last weak quarter for margins and we expect to return t o normative levels in the second half of FY '26 for India.
Across our portfolio , our new l aunches are performing well and gaining traction. Godrej Fab and Goodnight Agarbatti are now among the leading players in their categories and continue to strengthen their market positions. Air Plug Amazon Woods 4X and Kama Sutra , INR99 have all met or exceeded launch expectations and are now being scaled up.

In October, we also entered the toilet cleaning category, a close to INR3,000 crores segment growing at strong double digits. Our new brand, Godrej Spic has been launched in select South Indian states, priced competitively at INR 79 for 500 ml, marking an important step in expanding our home care portfolio.
Our Indonesia business continues to face macro and micro and pricing pressures, but delivered a stable UVG of 2% with market share gains across all key categories. Revenue growth remained negative due to on -going pricing challenges at minus 7%. This includes an impact of change in distributor arrangement contributing minus 4% and, what was accounted for cost is now being removed from top line.
In contrast, Africa, US A and the Middle East delivered 25% sales growth in INR terms and 15% in constant currency and EBITDA growth of 20%, led by hair fashion and air fresheners. The launch of air pocket has seen st

rong consumer response across these markets.
As shared during our Investor Meet , we expect our performance to strengthen sequentially through FY '26 with the second half delivering a stronger trajectory than the first. Demand trends are improving, and we remain confident of achieving high single -digit underlying volume growth in our stand -alone business and high single -digit revenue growth at a consolidated level.
On profitability, our India standalone and GAUM businesses are expected to deliver double -digit EBITDA growth for the full year. We faced unanticipated macroeconomic headwinds in both Indonesia and Latin America. Given the temporary pressures in these inte rnational markets, consolidated EBITDA growth may be marginally lower.
Nevertheless, we remain firmly confident in our strategy, the resilience of our portfolio and the strength of our brands. With disciplined execution and continued focus on innovation and operational excellence, we are well positioned to deliver sustainable and profitable growth in the periods ahead.
I'm also pleased to announce that we have signed a definitive agreement to acquire the FMCG business under the Muuchstac brand, one of India's fastest -growing men's grooming brand and a leader in the men's face wash space. Muuchstac has delivered roughly I NR80 crores of revenue over the last 12 months and is already among the top two brands online and top three overall in men's face wash.
The total face wash market at around INR6,000 crores to INR7,000 crores is growing at 15% to 20%. While the men's segment, about INR1,000 crores is growing over 25% annually, driven by consumers upgrading from soaps to face wash, we expect this upgradation trend to continue, making face wash a structurally high growth category.
Muuchstac is a highly profitable business, delivering close to INR30 crores of EBITDA adjusted for one -offs in the last 12 months. We have acquired the brand at an attractive valuation, roughly 4x of sale and 10x of EBITDA, which is significantly below mar ket benchmark transactions.
This acquisition strengthens our presence in personal care and positions us well to capture the accelerating shift towards men's grooming. Thank you very much and I look forward to questions.

Moderator: Thank you very much. We w ill now begin with the question -and-answer session. Anyone who wishes to ask a question may press star and then one on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Again, to register for a question, please press star and then one.
Our first question comes from the line of Mihir Shah from Nomura . Please go ahead.
Mihir Shah: Hi, Sudhir and team. Thank you for taking my question. So firstly…
Sudhir Sitapati: Hi, Mihir.
Mihir Shah: Hi. Firstly , on the margin guidance that you called out. Palm has gone through some volatile times and you reiterated that you will come back to your normative standalone brand. I believe it is 24% to 26%. So just checking on that once again. And do you think that 3Q , 4Q will be around these levels or with the higher palm oil prices that you've seen, there is a risk to that? I just wanted to check on that one first.
Sudhir Sitapati: No. I don't -- I mean, when we said normative that is what it is and it may be around normative, maybe on the slightly lower end of normative. Palm prices have been a bit volatile, but they have been range -bound between MYR4,000 and MYR4,500. In fact, in the last three days, four days, it had a sharp fall as well.
But it does seem to be range bound between MYR4,000 and MYR4,500. And last quarter was the kind of last quarter that we had to price for this. Last year, Palm, we

were MYR3,600,
MYR3,700. So I would say that palm has relatively been stable. There have been some ups and downs in and out. And righ t now, for example, but we are roughly priced for this palm now.
Mihir Shah: Got it. That's clear. Thanks for that. Secondly, on Indonesia, how should we think about Indonesia now? I think while your volume seems to have been coming back and so is the market share. Margin pressures and the price cuts, should one expect this to continue as the competitive intensity would have -- will sustain for some time? And what is the new normal that one should think about the revenue construct and margin construct for Indonesia?
Sudhir Sitapati: I think we -- I mean I was just back from Indonesia two weeks ago and I think that there is a genuine kind of slowdown in the economy, I think, the government is aware of it, and they're taking appropriate action. But maybe for the next few quarters, our v olume growth may be in this 2% to 4% range.
As I told you, in terms of NSV, about 4% of it is actually a restructuring of an agreement which -- between distributors. Some of it -- and the margins and the rest of it is due to pricing pressure, some of it will come off. My own impression is that what happened in Indonesia is three quarters

ago, the market very sharply slowed down. And then to respond to it, there was a lot of price competition, both by retailers and by companies. That seems to have eased off a little bit. It goes up and down.

So I think there will be a little bit of improvement in delivery in Indonesia in the second half. But I would say, for us to go back to 4%, 5% volume, I mean, it may take a little bit more time. We'll let you know when we see that. But we should be in this low single -digit volume range.

Mihir Shah: Got it. On Africa, there are -- so volume -- margins are again back to around 14% levels, I believe, a very strong growth out there, making up for whatever you've missed out on the other businesses in international. How should -- I mean, is there a one -off in this? Can one expect a continuity of this performance or maybe going back to what it was growing at historically? So how -- Africa also, if you just can share the revenue and margin construct?

Sudhir Sitapati: Yes. See, I think, of this 25% revenue growth, about 10% is positive currency, which is a relatively rare occurrence for us. But 15% is the constant currency growth. This is a little high. It's lapping relatively low basis. It may come down to high single digits kind of revenue growth, we are hoping. It will not continue at this 25% revenue growth.

Margins should be in this mid -teens is a good margin for us to run the Africa business. So if in the medium -term, we can run a mid -teens EBITDA business kind of a high single -digit constant currency business or maybe even touching a double -digit constant c urrency. So in that kind of range and the currency moves up and down, I would say, that's probably what we should expect.

Mihir Shah: Understood. No. I was asking because we were expecting Africa margins to remain at around those mid -teens level, but they had moderated down. And then you highlighted that investments will continue, so it can stay there and you're again going back to those . So just wanted to...

Sudhir Sitapati: Yes. I think last quarter, we had one or two one -offs. I think these mid -teens -- I mean, look, we -- there's a caveat here, which is there's a structural volatility in Africa. So it won't be -- the range of this mid -teens may be a pretty wide range. But t his is where we should kind of -- it's a good business if we can be at mid -teens here.

Mihir Shah: Got it. Last bookkeeping question. Any one -offs in the employee costs are there? And you had highlighted that you would see some savings from ad spends about 200 basis points because of the media changes th

at you have done. So that continues, right, both o f these? And that's all for my side. Thank you for the question.

Aasif Malbari: Yes. Hi. Hi. Aasif here. Mihir, so I think the first 1one in terms of employee costs, nothing unusual in terms of write back, etcetera. It is regular true -ups, which we kind of keep doing from time to time, yes. So that's where on employee costs.

In terms of media savings, we kind of worked through a couple of levers to ensure that this year the overall ATLs will be lower, ensuring that the same effectiveness is delivered. We are on track on the larger projects. Spends are a function within that from a quarter perspective in terms of various activities, but we seem to be on track in terms of delivering all the efficiencies, which we set out to deliver.

Mihir Shah: Got it. Thank you very much.

Aasif Malbari: We should get more or less the savings, which we've spoken about.

Mihir Shah: 200 basis points. Got it. Got it. Thanks, A asif and Sudhir, wishing you all the very best.

Sudhir Sitapati: Thank you.

Moderator: Thank you. Our next question comes from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yes. Thanks and…

Sudhir Sitapati: Hi, Abneesh.

Abneesh Roy: Hi. Hi. Thanks and congrats on the Muuchstac acquisition. Legacy companies have been acquiring D2C, good to see Godrej do that. My specific question is male grooming always looks attractive. Five years also back, it was attractive. In last Five years, we h aven't seen much scale up of any brand or any kind of category. So what is the thought process here? Why this brand, why male grooming, why face wash...

Sudhir Sitapati: No. No. I think, Abneesh, yes. I think especially male grooming is a bit of a misnomer sports brand. 95% of their revenue is one single SKU in male face wash. So we're grooming, but it's really a men's space wash brand. And within male grooming, face wash is a category which is very allied to soaps. Soaps is upgrading into body wash, hand wash and face wash. This is where

soaps is moving.
So we've got a strong play in hand wash, an increasingly strong play in body wash. And now we've got an entry into face wash. We're entering through the male market with the number two online and number three overall band, which has roughly got a 10% share of male face wash and growing rapidly. So I would look at this through the lens of face wash and not through the lens of male grooming.
Abneesh Roy: Understood. A specific question was what is the positioning here and versus your current face wash offerings, how does this gel in terms of, say, pricing positioning? And any synergy benefit long-term you would see versus, say, kirana outlets and on your own e -commerce b usiness, what would be your synergy benefit?
Sudhir Sitapati: Yes. Look, we don't have a face wash today. This brand is positioned largely on anti -acne. It operates one of the really interesting things about Muuchstac , 80 crores of revenue, they make INR30 crores of EBITDA, which at least we see a lot of D2C brands that was quite unique about Muuchstac. And one of the reasons for it is they have a pretty unique influencer model. So I think GCPL can certainly learn a lot fro m Muuchstac on influencer models.
I think Muuchstac is also unique that most of its sales comes from online customers. So there's an opportunity for us to expand distribution, both online and offline, both -- but also a lot of it comes from Tier 2 and Tier 3 cities. So in Tier 2 and Tier 3 cities with our distribution because that seems to be -- I think Muuchst ac is operating at about 70, 75 RPI to the market leader. There's an opportunity for us to distribute it widely in Tier 2 and Tier 3 towns as well.

Abneesh Roy: Second quick question, mosquito repe

llent, you were getting more confident and Q1 was a good quarter. Q2, season was not that favourable. So if you could talk about new formulation, intrinsically, how you think it's doing? And second, H2, it's supposed to be a harsh winter because of La Nina. Anything harsh is not good for mosquito. Against that, what will be the outlook on HI in terms of the H2 growth?
Sudhir Sitapati: So I think the first thing on HI is on every single segment within household insecticide where we've got the new molecule, we are continuing to gain market share. I think you are right about the fact that Q1 was a good season and Q2 has been a poor season. Q3, I don't know. I've also heard La Nina, though, of course, it is a transition from autumn to winter when really mosquito season happens, which is now. So it depends a little bit on how long the season is.
In any case, second half of December and Jan, we don't sell too much mosquito products in the North. So look, it's really hard to predict what will happen in terms of season. Typically, you have one good and one bad season. It's possible what you say, that Q3 -- I've also been reading La Nina and higher temperatures. So -- but it's difficult for me to predict that.
I think the important thing for us is to ask a very simple question, which is, are we growing competitively and are we spreading the season? We have a measure called spreading the season, which is our volume growth versus the seasonality index , which we have two, three ways of measuring the seasonality index. Are we doing better than the season, and on both counts, I think the answer is yes.
Abneesh Roy: Sir, last question on body wash soaps. So versus market leader, if you could tell us in Q1, Q2, how was the gap? And when would you expect to grow faster than the market leader? And PFAD is specifically -- Sudhir, palm oil, you did discuss, but ultimately, PFAD, I think, is more relevant. There, we understand that because of all this tariff issue, global tariff issue, etcetera, or whatever reason, we haven't seen much correction. So if you could comment how relevant is that from your margin per spective in H2?
Sudhir Sitapati: I think two, three questions. Abneesh, do you mean soaps or do you mean body wash in your first question?
Abneesh Roy: Soaps only, sorry, soaps.
Sudhir Sitapati: Soaps. Soaps because when we say body wash, we mean liquid. So in soaps, I mean...
Abneesh Roy: Market leader calls both similar, so, yes, sorry.
Sudhir Sitapati: Okay. Okay. Fine. Fair enough. In soaps, we have continued to gain market share in this quarter, and we are quite happy with our market share gains, in particular volume share, but...
Abneesh Roy: Yes.
Sudhir Sitapati: Sorry.

Abneesh Roy: Sorry to come here. Let us ignore the official market share data. From your understanding and

you can easily make out what is their growth rate. What will be the gap in Q1, Q2? And when do you see you growing faster than them? So let's ignore the market sh are for now.
Sudhir Sitapati: That is not proper for me to answer, Abneesh, on individual competitors. I think we have to ask ourselves are we growing faster than the market. And do we believe we will continue to grow faster than the market . I feel that we have grown slightly -- see, it's also very hard to read Q2, Abneesh, because there's really been on soaps a lot of chaos in terms of pipeline.
Hard to look at October, September. So I would say that in soaps, we feel that like in the long - term, we continue to outperform the market and we will continue to outperform the market as we go forward. It is that -- the market growth is what it is, though, for the next f our quarters, I am anticipating pretty sharp volume growth in soaps.
Abneesh Roy : And PFAD?
Sudhir Sitapati : On your question on PFAD, you are right about the fact that international PFAD

prices haven't
corrected, but domestic PFAD prices because of this duty reduction in crude versus refined palm oil. So a lot more crude palm oil is coming into India, and that i s getting refined here and PFAD is being generated in India.
So domestic PFAD is actually quite attractively priced. So overall, it's not international PFAD that matters , but domestic PFAD and that is quite attractively priced relative to -- I mean, it's priced in the right ratios.
Abneesh Roy : Yeah, thanks. That's all from my side. Thank you.
Moderator: Thank you. Our next question comes from the line of Nihal Mahesh Jham from HSBC. Please go ahead.
Nihal Mahesh Jham : Hi, Sudhir. Good evening. Two questions. One is just generally checking possible to call out the impact of GST on the overall stand -alone top line. It's something that some of the other companies have also tried calling out ?
Sudhir Sitapati : I think it will be 3% to 4%.
Nihal Mahesh Jham : Sure. That is helpful. S o then second question is, I think when the Raymond acquisition also happened, we had discussed about the fact that Cinthol, obviously, is not something that could enter into deodorants. And Park Avenue obviously, had its own standing in the category.
Similarly, when I look at Muuchstac also, I'm guessing maybe there was a possibility of trying to extend Cinthol, but we've obviously chosen to obviously acquire a brand.
So wanted to understand which are the other white space categories that we are looking at potentially evaluating? And is, say, an acquisition of preferred route rather than a brand extension for some of our existing names?
Sudhir Sitapati : No. I think it's just mix of launching extending brands, launching new brands organically and launching -- and doing acquisitions. Let me give you an example. We just recently extended

Park Avenue into a deo lotion in Tamil Nadu, which is kind of an antiperspirant. But equally, we launched two new brands ourselves, Godrej Spic and Godrej Bloq in toilet cleaners and antiperspirant categories, respectively.
And Muuchstac and Park Avenue are examples of inorganic. So , I guess we have to ask some basic question between organic and inorganic is. If the market has three to four players, it's a little bit overbaked, then it is better to buy out and if you get an attractive valuation.
I mean, firstly, the category has to be attractive, whether it's organic or inorganic, just to have a long runway of growth, ideally low penetration, good margin structures. That's the first question on entering new categories. And we are kind of -- one of the things you can see is like laundry and now toilet cleaner, we are kind of attempting an antiperspirants. We're attempting many new categories of pet care, etcetera.
The second question on organic versus inorganic largely to do with the competitive intensity of the category and the availability of an asset at the right price. Men's face wash has three, four brands. This one is the number three brand and very good margin profile, you know, we thought was an attractive valuation. So we went for it.
Nihal Mahesh Jham : Point taken. Just one final question on HI. We've obviously spoken about the benefit of the new molecule, if it's possible for you to call out the market share gain that we've seen since the launch, both for LVs and coil s? And also the current ballpark scale of the incense sticks, which was, I think, INR100 crore s number you had mentioned during the Analyst Day ?
Sudhir Sitapati : See, I don't -- we don't specifically give out these numbers, but let me just say that our share gains in electrics on already very high shares is pretty significant. In coils on reasonably high shares is reasonable. On incense stick, it is very high. We h ave now become the market leader in incense sticks, and we are growing at roughly 100% on incense sticks.

Nihal Mahesh Jham : That is helpful, Sudhir. Wish you all the best. Thanks.
Moderator: Thank you. Our next question comes from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra : Yeah. hi, Sudhir . First question was on the GST -related destocking. So do you expect the trade pipelines to normalize within December quarter from wherever they were before the GST transition? And the related question is , you know, when we talk about high -single -digit volume growth for the full year, we are effectively talking about a double -digit plus in the second half. Is that delta largely going to come from soaps according to you where you've had a negative high-single -digit base you may have a strong growth going ahead? Or are you seeing other areas where these are also accelerating?
Sudhir Sitapati : So see, actually, Arnab, if you look at the last four quarters, our volume growth ex of soaps has been kind of double -digit only. In fact, including this quarter despite all the GST transitions. Soaps has been pretty sharply negative, as you can calculate. That will almost certainly turn

around quarters to -- I mean, I can't predict exactly what it will be, but I'll be surprised if that's not high single digits.
So between the two, we should kind of be in the high -single -digit, double -digit volume trajectory in India. I mean our volume growth in India, I think, in quarter 1 was 6%, in quarter 2 has been 3. So it's about 4.5. So we may end the year kind of at 7, 8. So you're right. It will -- I hope to be in that ran ge. I mean hope to have the non -soap momentum continuing and soap being a very significant change.
Arnab Mitra : And the GST restocking, do you expect it to happen within a quarter itself or it could take more time?
Sudhir Sitapati : I think it will happen within the quarter. Most of it has happened within the month actually, but certainly everything will happen within the quarter.
Arnab Mitra : Understood. Sudhir, the second question was on toilet cleaners entering into the category. So like when you did Fab, there was, obviously, a disruption on pricing you did . Plus the product technology was slightly different. If you could just help us understand what's different in this product versus the existing what the market offers. And do you see a similar kind of potential here? Or this will be more of a slower ramp -up over the next 2 years?
Sudhir Sitapati : Yes. Look, as a philosophy, Arnab, we're looking at a lot of categories. Someone asked the question, when do you buy organically, when do you do inorganically. We do things organically if we believe we have a product. The starting point is not price. Start ing point is product, which is a disruptive product.
This is a disruptive product and the proposition of the product, I think, Vishal will send you the ad, which is now running in Tamil Nadu is that not just cleans , but also prevents stains. So it's a formulation that is a distinct formulation .
It's not a me -too product. It's operating at roughly, I think, 75 RPI or 70 RPI to the market leader, which is roughly where Fab is operating today. And it has what we think is pretty clutter - breaking advertising. So , we are very hopeful that after Fab, this becomes a good growth driver for us.
Arnab Mitra : Understood. And then one last question on HI. So I think last quarter, you mentioned one of the things you are still tracking here that overall incense sticks share continues to go up in the category. So is that still holding true or is it plateauing? Any sense on that relative within the category between incense sticks and other formats?
Sudhir Sitapati : Incense sticks' growth as a category continues to be high, Arnab, which is one of our -- not an ideal situation. That continues to be high. So that growth doesn't seem to have slowed down. We continue to gain sh

are in a fast -growing category. It would be ideal for us. It will happen at some point. And we're also doing various things to try and see how we can slow down incense sticks without slowing ourselves down. But I would say that that's not fully a solved problem yet.
Arnab Mitra : Sure. Thanks. That’s it from my side. All the best.

Sudhir Sitapati: Thank you.
Moderator: Thank you. Our next question comes from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor : Yeah. Good evening. So, the first question is just a clarification. The comment in the press release and on this call on the remaining confident of achieving high -single -digit underlying volume growth in India is for the full year, right? I mean it's...

Sudhir Sitapati : That's right. That's right.
Harit Kapoor : The second thing was on soaps. So , as we have seen this GST transition, if you could just help us understand what's the part of the -- what percentage of that portfolio have we had to take price cuts? And what percentage of the portfolio will eventually -- which is low unit tax will eventu ally see grammage changes ? That will just help us gauge what incremental kind of volume you can see in that space.
Sudhir Sitapati : I mean all grammage packs will see grammage increases. All non -grammage packs will see price cuts. So roughly two-third, one -third ratio.
Harit Kapoor : Two-third , one-third ratio. Okay. Okay . And, you know, the last thing was on...
Sudhir Sitapati : I mean two-third is large package, and one -third is grammage, Harit.
Harit Kapoor : Yes, of course, of course. I get that. Yeah. And the last thing was o n Africa. I think there's already a question here. But I just wanted to understand that this kind of early to mid -teens kind of a number in the near to medium -term, do you see any -- apart from obviously season and quarterly volatility on -- in terms of cycling, in terms of base, etcetera, do you see any negative impact on this in the near-term? And I'm talking more on currency, on certain countries, on certain other headwinds. Any headwinds in that margin expectation at least in the next 2, 3 quarters?
Aasif Malbari: Hi, Harit. So I think some of these pieces like currency movements, etcetera, are difficult to forecast because they happen without kind of -- you can't read these signs and you suddenly kind of get a movement. And hence, it's better to kind of see it more at an annu alized level. So I think from a year perspective, we know we'll kind of get margins broadly at those levels.
So we also kind of spoke about our guidance in terms of ensuring that GAUM and India will kind of work towards delivering double -digit EBITDA growth for the year. So I think those are the two pieces which are kind of more robust in terms of guidance. You can have a few months or a quarter where you could see kind of some currency headwind or tailwind and difficult to forecast that. But yes, broadly, we should kind of -- we try to stay in these kind of things.
Harit Kapoor : Right. And one last, if I may. On India, this quarter, the volume value has been fairly close, about 4% and 3%. Is that kind of mix that we expect even going forward, like a very small kind of pricing/whatever else sort of value growth there is. So pretty much revenue growth and volume growth will mirror each other in India business. Is that the way to think about it?

Sudhir Sitapati : Yes. It is similar to the previous quarter. Soaps will continue to have UPG, but there are some other parts of the business and mix, etcetera, which are operating the other way around. So I think this is roughly you will get 1%, 1.5% UPG.
Harit Kapoor : Got it. Those are my questions. Thank you. Thank you very much.
Moderator: Thank you. A reminder to all the

participants, if you wish to register for a question, please press star and then one. Thank you. Our next question comes from the line of Karthik Chellappa from Indus Capital Advisors Limited. Please go ahead.
Karthik Chellappa : Yeah. Thank you for the opportunity. Just two questions from my side. The first one is apart from palm oil, what are the other variables or risks that you actually see to your normative margin band in the second half?
Sudhir Sitapati : See, the big -- there are three risks in GCPL structurally. One is palm prices, second is seasonality for household insecticide and third is currency volatility. So , I think palm is now pretty much under the bag. I mean, unless -- even if there's some -- it's not -- I mean, if anything, it's a little bit softer now.
Currency volatility, yes, I mean, Argentina, this year, currency volatility looks to be in our favor, lower than before. Household insecticide seasonality, somebody asked the question on , you know, if it's a very cold winter, what happens, then I don't know. But that is really the only remaining risk at any point in time.
Karthik Chellappa : Got it. My second question is on Indonesia. Despite the macro being bad and competitive intensity being high and a low UVG and even a negative constant currency growth, the margins have held up pretty well. So what would explain that? And how should we thi nk about margins in Indonesia going forward?
Sudhir Sitapati : Part of the margin reason maybe , Aasif …
Aasif Huseini Malbari : Yes. So I think, firstly, margins are, I would say, improved but mildly below the normative level. And some of it, when this reclass happens in terms of some costs going through and the price growth goes down, it also kind of gives us mild boost to margins . But that's really very mild because it's only around 4% movement between the lines. But yes, I think margins are within the range, but it's on the lower side of the range.
Sudhir Sitapati : Both in India and Indonesia, we have a lot of cost savings. So part of it is reclassification , then some of it has been -- all of it has been plowed back into pricing. So that explains the negative

UPG and flat margins.
Karthik Chellappa : Okay, perfect. Thank you very much and wish you and the team all the very best for the rest of the year.
Moderator: Thank you. Our next question comes from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Yes. Hi, sir. Thank you for the opportunity. On the guidance, you highlighted in the end, could you just give some clarification on the consolidated margin? You said marginally, we lower EBITDA growth. So what does that mean? I mean, are we looking at high single -digit...
Sudhir Sitapati: What I mean to say is that, we'll have good EBITDA growth for the full year. And see, we had at the beginning of the year, guided for double -digit EBITDA growth this year. We had a slight bit of a bump in Q2. Q1 was actually roughly on plan. So I think Ind ia and Indonesia . India, I'm sorry, GAUM will roughly be on plan. LatAm certainly looks like a very volatile situation right now. And Indonesia, we're having some issues. So the consolidated number may be a little lower than what we originally guided at the beginning of the year. But if we have a little bit of luck, not too much lower.
Amit Purohit: Sure. And sir, when you say that the GST impact of 3%, 4% for the quarter and we did 3% in volumes. So is it a fair way to think that next quarter, the stocking up will happen and effectively, you will have a high single -digit growth in volumes and plus if the demand improves, then probably a double -digit growth. Is that the way to think or...?
Sudhir Sitapati: I mean , I'd be disappointed if we don't come to somewhere near that because some of it has to come from pipeline, some of it one hopes the soap trajectory

changes. See, roughly, we are running a volume trajectory in India of about 6%, if you kind of remove the no ise, including Q2, actually, if you move the noise.
I'm hoping that, that underlying number goes to 7%, 8% at least for the next four quarters with soap and then with some pipelines here and there. You may be right about Q3 and maybe in Q4, it may again go back to a slightly lower number than that.
Amit Purohit: Sure. And just on this Muuchstac acquisition. So you talked about the overall size of the market close to about INR1,000 -odd crores. We are number three player with a INR80 crores kind of a run rate roughly. So I mean, I just wanted to understand the numbe r one player, what is the share and is it that fragmented or the difference is so huge? Just -- and hence, this could be a risk with respect to scaling up this brand because then after INR150 crores, INR200 crores, again, there will be a chal lenge to scale up this brand. Is that the right we think or what am I missing?
Sudhir Sitapati: I mean, look, INR80 crores is NSV and INR1,000 crores is MRP. So these are slightly different numbers we're looking at. So our market share may be closer to 11%, 12%. Anything over 10% is -- and this is -- we are getting double -digit market share being pre sent only in online. So our online share is close to 30%.
So it's a one -third player, which kind of shows you the strength of the equity. So our job is to expand it nationally. In one or two channels, we're actually market leaders in face wash. So it is clearly a kind of expand -- it clearly got something to it i n terms of kind of consumer traction in most measures. You can go to Flipkart and just check out the reviews and you'll get a sense of the scale of the brand there.
Amit Purohit: Okay. And what is the share of the number one player in this?
Sudhir Sitapati: We don't usually give out

Amit Purohit: Okay.
Sudhir Sitapati: Even our own shares, we're only giving it indicatively for this purpose.
Amit Purohit: Sure. Sure. Thanks a lot. Thank you.
Moderator: Thank you. Before we take the next question, a reminder to all the participants, you may press star and then one to ask a question. Our next question comes from the line of Manoj Menon from ICICI Securities. Please go ahead .
Manoj Menon: Hi, team. Just a few clarifications. One actually on the insecticide business, particularly on the electrics. Now when I look at top down, a lot of data I read about electrification improvement.
Point number two, you have improved the affordability with t he INR50 pack. Point number three, you've improved efficacy with the launch of the new formulation about 18 months back.
Now I understand that overall, you have done double -digit volume growth, which is a credible performance in the context of the macros, etcetera. But HI specifically, If I'm to look at the overall growth, is there any other interventions you need for this c ategory to grow faster?

Sudhir Sitapati: No. Manoj, I think , we shared -- this was -- the monsoon, a lot of people have told -- spoken about it. It has been a very different monsoon, temperatures have been lower, monsoon has been widespread. So this has been pretty -- and see it's also the largest season of the yea r. No, it's a large season, not the largest, it's actually coming up now. But this has been largely a seasonality hit number on incense sticks.
Our spreads are roughly what they've been for the last two quarters, three quarters, a little lower, but roughly what they've been for the few quarters in the past. So I just feel like we'll continue to grow household insecticide faster than in the past. T here will come a time in which incense sticks slows down and premium grows. We'll try and mediate that as soon as we can, and then we'll have the next level of growth here.
Manoj Menon: Okay. So is it fair t

o say that the electrics are all growing, let's say, in line with your internal targets, plans, aspirations, etcetera. I guess that the rest of the portfolio is growing faster so that it probably doesn't reflect in the overall scheme o f things?
Sudhir Sitapati: Yes. I mean we are quite happy with the RNF relaunch. Q1, the numbers are very good in electric. Q2, the numbers have been lower, but higher than the seasonal impact, Q3 goes. I mean, overall, I feel like HI is still over a year period because you have to look at -- HI must be looked at over a year's period, our HI business from being a low single -digit growth business will probably move to being a kind of a high -ish single -digit growth business. I think that's what the relaunch has done fo r us over a longer period.
Manoj Menon: Understood. Looking on the soap business, given the benefits from the GST cuts, etcetera, I mean, in the medium -term from a category growth, particularly from your vantage point of view for your brands, because you have the, let's say, market leadership, let's say, with Godrej numb er one in that particular segment, which is probably more price sensitive across the other segments in soaps.

How do we think about beyond the noise of extra grammage in the next few quarters, which honestly in my opinion, is not that relevant? But beyond that, how should we think about, let's say, is there an opportunity to, let's say, grow faster with a two -year, three -year point of view?
Sudhir Sitapati: I probably think so, Manoj, from my own experience in the past, GST is that while soaps doesn't have a huge amount of locals, it does have what we call sub -pops and players below Godrej number one. And some of them, I don't know what is the tax compliance and various issues there. So having a 5% GST certainly helps in upgradation from Chattisgarh players, sub -pop players. So I am a little hopeful that the soaps category will grow a little faster than it's grown in the last few years.
Manoj Menon: Loud and clear. And Sudhir, thank you. And then the third one is on the bolt -on acquisition. I don't know I'm getting the conversation correctly with Muuchstac. Could you just talk a little bit more about the brand? I'll give you the reason I'm asking this question. So I just did a quick poll in my internal group, which is about 100 people in my company.
Just honestly -- like, honestly , I never heard about this brand actually. So even then I was telling that probably I'm old enough or maybe not young enough to know the brand from an awareness point of view. If you just talk about the brand, you explained the rationale and which geograph ies, which TAM which they currently address and then what -- where you could take this brand in the medium - to long -term? Thank you.
Sudhir Sitapati: Okay. So one thing, Manoj, rather than asking 100 people in office, just, as I said, look at Flipkart and see the reviews, you'll get, I think, 10 lakh reviews. So that's a lot more than 100 that will give you a sense obviously. I must be honest that when the deal came to me from my head, I had also not heard of Muuchstac and what caught my attention were two things.
One is that it was -- I mean, the category was an attractive category for us, because one of the reason soaps is it's upgrading to liquids and one of the liquids in which it's upgrading to is face wash. So certainly, to be present in all the upgradations of soaps is strategically important for us being a cleansing business. So that immediately caught our ey e.
But two things caught our eye on Muuchstac. The first was that 90%, 95% of their sales came from one SKU, which is always a good thing. It tells you that one SKU has some kind of brand power. And the second thing is that they have very unusually high profi tability, which again tells you that there's consumer demand. So on INR8

0 crores of revenue, if you do INR30 crores of EBITDA, there's something clearly going through.
And when we dug deeper, there were a couple of interesting things about the brand. One is that they're purely influencer -led brand with no performance marketing. So that's a really interesting model. Two is most of the sale comes in Tier 2 and Tier 3 terms , which might answer why are

we using it. So the number, disproportionate number came from small towns.
So clearly, our growth hypothesis is that the face wash -- men's face wash category does have long legs. It's expanding beyond the urban towns. Meesho and Flipkart are the big customers for Muuchstac. And I think probably a combination, this is one of thos e things that sounds like GT expansion, rural expansion may actually help this category.

It's also a unique product. If you buy it, and I'll get Vishal to send it across to all of you. It's also a uniquely formulated product and has pretty high stickiness among its users. So it was a relatively rare DTC brand. I think we've been looking at a l ot of DTC brands, a relatively rare one and picks many boxes for us.
Manoj Menon : Understood. Thanks. Do you have time for a follow -up quickly on this?
Sudhir Sitapati : I have the time, yes, yes.
Manoj Menon : Sure. Sure. No. Just depending on the queue actually which you have. So just , Sudhir, on this brand again , so thanks for the detailed comments on this. Is it like south over -indexed, the north over-indexed? Just some color on which part of, let's say, India Tier 2, Tier 3?
And point number two, the -- what is the use case actually? Is it just like, let's say, what the Himalaya did with the soap to face wash earlier? So what exactly the use case, which, let's say, the brand has been solving in currently till date?
Sudhir Sitapati : So look, it's a reasonably widespread brand. I think it's slightly bigger relatively in the South. But it is certainly over -indexed in Tier 2 and 3 cities . The proposition of the brand is around anti-acne. So when you speak to consumers, and again, you will be able to read the comments on Flipkart. A lot of it is anti -acne.
It's got reasonable polarization, which is a good thing for a brand. A lot of consumers like it. A lot of consumers, it doesn't suit them because it's a pretty unique formulation with a sharp fragrance, a distinct product. So those are really the contours of the brand.
Manoj Menon : Thank you. One very last question or a clarification. In your opinion, in the medium term, do you think this product would, let's say, need to stay online because of the specific influencer -led marketing, which it has gone through till date maybe from the incubation ? Or is there a GT play as well you see as an upside or you may say that we don't want to do that for the time?
Sudhir Sitapati : No, I certainly think that given where it's selling, we must make it available to whichever consumer type is buying it and Tier 2, Tier 3 consumers. Many, of course, shop online. Now online has gone well beyond Tier 1. But there will be a reasonable -- I think there will be a reasonable GT player.
So I think -- but even in terms of channels right now, it's only in two e-commerce. See, all this business is coming effectively from two customers in e -comm or 2.5, 3 customers in e -comm. So there is scope to expand within e -comm, scope to expand in modern trade, scope to expand in GT.
They're only doing influencer marketing, certainly scope to see whether conventional marketing works on it. So I think there are many kind of vectors. The good thing is right from day one, this is an EPS -accretive acquisition. So it gives us that much breathing space on this.
Manoj Menon : Thank you. Thank you, team. Good luck. Yeah, thank you.

Moderator: Thank you.

Our next question comes from the line of Hozefa Cutlerywala from JAF Management Company. Please go ahead.
Hozefa Cutlerywala : Hi, team. Actually, my previous participant asked the question, it was on the recent acquisition. Just wanted to understand, means if we spend on the R&D, is it that difficult to have a brand like Muuchstac built right from scratch in -house than buying a brand, whic h is according to me, only going to work in Tier 2 and Tier 3? I don't see any urban user having stickiness to a brand like this. I would like to know your thoughts. I mean what's the skin in the game from our side in buying a brand for INR300 crores, whic h Godrej itself can maybe do a far better job?
Sudhir Sitapati : It's not that easy to build a new brand. I mean there's a large cost of a new brand and low probability of success of a new brand. So , you know, any new brand to build will cost you crores and one in five, one in six succeeds. So you're effectively looking at a couple of hundred crores even to launch a new brand off to moderate success and even to get to the scale of Muuchstac.
Now when you're looking at the kind of margin profile, EBITDA profile of Muuchstac, the retention rates of the product, it's not easy. Otherwise, nobody would buy any brand, right? So it's not always easy to build new brands, especially in categories where there are three or four

players.
So in this particular category, see, in body wash, we decided to extend Cinthol into body wash because it's a category that we know and we can do it. In some categories, we've launched our own brand. But in some others, the -- I mean, when you have a great deal come your way, you're always comparing, yet, this kind of economics will be hard to do it organically.
Hozefa Cutlerywala: I completely understand that. It's difficult to do it organically with the time and everything. But only thing is, have any one of us actually tried this product and are 100% convinced about the ability to scale this brand to another level in Tier 1 towns as well, basically urban cities?
Sudhir Sitapati : We can never be 100% convinced. What we know is that face wash, men's face wash is a INR1,000 crore category growing at 25%. It is likely to grow for a reasonable amount of time. We know that this brand is a double -digit market share brand within men's face wash. And we feel that it is only available in a few online channels. With some exp ansion, with some marketing money, probably the share can increase a little bit or can increase. So if you go to , like, you know, kind of high -teen share, 20 share in a INR1,000 crores, 25% growth category, you are in for a lot of good value creation.
Hozefa Cutlerywala: Okay. All the best with this. We shall see over time how this turns out for us, all the best. Thank you.
Sudhir Sitapati: Thank you.
Moderator: Thank you. Participants, you may press star and then one to ask a question. Our next question comes from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki : Yes. Sudhir, just wanted to understand, you did give a lot of clarity on how the top line growth will pan out in the second half of the year. But can you give some clarity on margins, both on a consol as well as India level? How do we see India margins?
I mean, see, you said palm oil is more or less sort of peaked out, no pressure hence forth. So , shall we just take the Q2 India margins for the second half? Or is that a wrong approach because there is seasonality, etcetera? And similarly, on consol also, do we do the same thing or not?
Sudhir Sitapati : No, no. I think we'll do better than Q2 EBITDA margins in second half. There's a pricing curve, there's a cost savings curve, there's media savings. So -- and also, we did lose -- I mean, we also got deleveraged in Q2 because of GST. GST was not just a 3%, 4% t

op line hit. It also hits your
bottom line.
Last 20 days, if your sales suddenly don't go through, you can't remove your fixed costs. So I would say that the guidance that we've given, we kind of hold to, which is this maybe at the lower end of our normative margins, 24% to 26%, but that's where we will be.
Percy Panthaki : Okay. So in second half, you will be within that 24% to 26% band, probably at the lower level. That is for the India business?
Sudhir Sitapati : That's for the India business. And correspondingly, the global businesses may at these margins of Q2.
Percy Panthaki : Understood. But there is some seasonality there also like Africa typically, it gives a high margin, right?
Sudhir Sitapati : So that's right. There's seasonality in Africa. So that -- you will get that seasonality in Africa. I think Indonesia and LatAm will roughly be the same. India will see a sequential jump, we think.
Percy Panthaki : Understood. And you mentioned that there is a GST impact because there is a deleverage, etcetera. But this quarter, we saw the staff cost going down 13% Y -o-Y. And that's because I think you follow that E VA-based compensation, etcetera. So as the profits come up, the staff costs will also grow. So , I mean, is that something we need to sort of consider... ?
Sudhir Sitapati : No. We've considered that, Percy. We've considered all that. The deleverage is in excess of the staff costs. And we have considered the staff cost on basically on , you know, we haven't -- we analyzed it and roughly, it will be there because there are also some cost savings coming our way in second half. So -- which have already gone into the market, so we'll get those benefits as well.
Percy Panthaki : Understood. And going into FY '27 versus the 24 to 26 that you'll do in second half, what are the drivers for further margin expansion, assuming that palm oil remains where it is today?
Sudhir Sitapati : I think if palm oil remains where it is today, there are cost savings -- the tree is not , you know, I think, is one driver of margins. The second is that there are some relatively low -margin parts of our portfolio for which we are taking up margins pretty sharply sequentially. Laundry is one of

them, incense sticks is other. So these will be the two big drivers, cost savings and margin improvement on certain parts of our portfolio, which are relatively lower.

Percy Panthaki : Understood. And lastly, on Indonesia, you said that for now, this will be a low -single -digit volume growth. But on the top line, there is a significant negative pricing. So do you have any clarity on when that pricing negativity goes away or it will only go away once it anniversarizes?

Sudhir Sitapati : See, about 4% of negative pricing will continue for another three quarters because, as I said, we've reclassified some costs into the top line because we've agreed -- entered into some agreements with distributors. So that negative 4% is optical. That will continue. The other negativity, which is largely because of BTL increase for pricing competition, that should kind of reduce over the next one or two quarters.

Percy Panthaki : And if that BTL reduces, it should also show up in terms of EBITDA margin expansion or that has other moving parts... ?

Sudhir Sitapati : Yes. It will show up in terms of some EBITDA margin expansion a little bit because see, right now in Indonesia -- for me to give as specific that can be more specific because it's still a little bit shaky. But I would say that one must expect mid -single -- so the way I'm looking at it is, we don't lose market share do what it takes to hold market share. And , you know, probably, market may grow at low single digits for the next few quarters, you know, be okay with that and figure out what to do elsewhere.

Percy Panthaki : Understood. Understood. Yeah, that's all from me, S

udhir and team. Thanks a lot. All the best .

Sudhir Sitapati: Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Vishal Kedia for closing comments.

Vishal Kedia : Thank you all for your participation in today's call. We hope we have been able to satisfactorily answer all questions. For any further questions, please reach out to us on our IR contact details. Thanks again, and have a good evening.

Moderator: Thank you. On behalf of Godrej Consumer Products Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of the call .

Call: Jan 2026

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January 30, 2026

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Transcript of Conference Call with Investors and Analysts held on January 23 , 2026

Dear Sir / Madam,

Please find enclosed herewith the transcript of Conference Call of Godrej Consumer Products Limited with the Invest ors and Analysts held on Friday , January 23, 202 6 at 5.00 p.m. (IST). The aforesaid information is also being hosted on the website of the Company at the below mentioned web link:

https://www.godrejcp.com/investors/performance -updates

Please take the same on record.

Thank ing you,
Yours faithfully,

For Godrej Consumer Products Limited

Tejal Jariwala
Company Secretary & Compliance Officer
(F9817)

Encl: As above

Godrej Consumer Products Limited
Q3 FY26 Earnings Conference Call
January 23, 202 6

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LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Godrej Consumer Products Limited Q3 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Kedia. Thank you, and over to you, sir.
Vishal Kedia: Good evening to all. We are happy to welcome you to the investor and analyst conference call for Godrej Consumer for Quarter 3 FY'26. Today, we have with us, Sudhir Sitapati; and Aasif Malbari. We will start with opening remarks from Sudhir, post which we will move to the Q&A.
I now hand over to Sudhir for his opening remarks.
Sudhir Sitapati: Good evening. Q3 FY'26 has been a quarter of strong broad -based performance for Godrej Consumer Products Limited, fully aligned with our expectations and strategic priorities. Our results demonstrate our belief in our goodness manifesto of driving market d evelopment and simplifying our business at a consolidated growth across all key financial metrics.
Revenues grew 9% in INR terms, underpinned by a healthy 7% underlying volume growth.
EBITDA expanded by 16%, with margins reaching 21.6%. Our net profit before exceptionals grew by 14% underlying the quality and sustainability of our earnings growth. Our standalone India business delivered excellent performance, driven by high single -digit underlying volume growth of 9%.
EBITDA margins stood at a healthy 24.8%, supported by favourable input costs, disciplined cost management, calibrated pricing actions, and improved operating leverage. I think the few quarters that we had of margin challenges is probably behind us. Sales grew 11% with an underlying volume growth of 9%, aided by a supportive base and robust in -market execution.
In Home Care, we delivered 12% value growth led by strong performance in air fresheners and fabric care alongside continued market share gains in household insecticide,

driven by our
superior RNF based formulations. We continue to expect similar share gains going forward.
Personal Care witnessed a meaningful recovery, growing 7% with soaps demonstrating a positive trajectory, supported by improving affordability following the GST reduction and stable commodity prices. As guided earlier, margins have returned to normative levels, and we expect this trajectory to sustain through Q4 FY'26.
I am pleased to confirm that our acquisition of Muuchstac was successfully completed on 10th November, with operations now fully live and performance on plan. This strategic addition strengthens our portfolio in the fast -growing men's face wash segment and positions us well to capture emerging opportunities in this space.
Our international portfolio demonstrated resilience amidst a mixed operating environment. In Indonesia, while pricing pressures persist, we are encouraged by early signs of stabilization. The

business delivered a stable UVG of 5% led by shampoo, hair colour , baby care and with market share gains across all categories. Revenue was flattish, adjusting for the one -off changes in distribution adjustment.
Encouragingly, profitability improved by close to 100 bps over the same period last year. We expect recovery to start meaningfully from FY'27 as market conditions normalize. Our Africa, U.S.A. and Middle East GAUM business delivered outstanding results, wi th sales growth of 19% in INR terms. EBITDA grew 18%, led by strong performance in hair fashion and air fresheners. The launch of aer pocket has resonated strongly with consumers across these markets, reinforcing our innovation -led strategy.
For the year, we remain confident of achieving high single -digit revenue growth at a consolidated level. Our India business is expected to deliver continued growth performance while holding normative EBITDA margins in the coming quarter. GAUM continues to perform well and deliver on its stated objectives of double -digit revenue and profit growth for the year. At a consolidated level, while temporarily macroeconomic and pricing pressure in Indonesia and Latam may have moderated the full year EBITDA growth, we remain confident of a robust exit trajectory and sustain profitability momentum into FY'27.
As our execution momentum builds, our unwavering focus on category development, cost discipline and operating excellence continues to translate into improving performance. With strengthening demand trends, consistent portfolio actions, and a clear strategic road map, we are increasingly confident in our ability to deliver sustained profitable growth and create long -term value for all stakeholders. Thank you very much.
Moderator: Sir, should we open the floor for questions?
Sudhir Sitapati: Yes.
Moderator: Our first question comes from the line of Abneesh Roy from Nuvama.
Abneesh Roy: Congrats on recovery in India business. My first question is on your two new businesses. So, first is on pet food, you had entered around 8 months back in Tamil Nadu. If you could tell us how the progress has been? And we are seeing many companies show interest here.
Reliance Consumer plans to be aggressive here with 20% - 40% lower pricing. So how do you see the overall pricing behaviour in this industry, medium, long term? And in Tamil Nadu, how has been the progress and any other states you plan to enter? That is the first question.
Sudhir Sitapati: Abneesh, we basically launched a test market in Tamil Nadu and as we speak, we have got a plant ready now in Nashik, which is ready to go. I think in Tamil Nadu, our results have been mixed. We've had some success in terms of consumer traction, distributio n, etc . But I don't think we're still at a position where we can say we've got the mix 100% right.
But this is a long game, and we're willing to be pat

ient and figure out where we should participate
because what is clear to us is that this is a long game and a lot of value at the end of it. We've gy CONSUMER PRODUCTS

understood a few things about this category. You must remember this is the first time we're entering this category. So, I would still say that not much to report except that we are very persistent and very committed to building a big business here.
Abneesh Roy: And Sudhir, when you say mixed results, anything you want to change in terms of the positioning? Generally, we see Godrej Consumer being quite disruptive in a new category in terms of pricing or packaging. So, anything you want to tell us in terms of what is the reason for mixed results .
Sudhir Sitapati: I think mixed results in a sense that we've got a market share which is a little lower than what I would have hoped for or wanted and what gives us confidence of success. So, which means that the exact mix that we have got is not exactly right there, which is product, pricing, packaging.
So, we kind of launched with this promise of immunity.
We've been pretty heavy on television. We've got a pretty good salience. Our Google share of search is now in double digits in Tamil Nadu. So good measures on min d measures. But still, I won't say that we've got that mix exactly right. When the moment we feel we've got that, we'll let you know.
But we are persisting with this. And we're building capability patiently. We've built a kennel.
We've built manufacturing capability. We're building a sales team. We're building a vet contact program. So, we're doing the basic , this is going to be a slow burn for a few years, and then I suspect it will take off. And I think we'll leave it there.
Abneesh Roy: Understood. My second question is on Muuchstac. So, if you could tell us what will be your FY'27 target and on the other new business of Raymond, how has been the progress in the 2 subsegments?

Sudhir Sitapati: I think on Muuchstac it's probably not proper for us to give a target for Muuchstac, probably just to reinforce the rationale for Muuchstac, which is Muuchstac is very focused on a single SKU in face wash, having pretty rapid growth coming from just 1 or 2 channel partners and having a very high EBITDA margin.

So, I feel that with Godrej's, our capability across other channels, both in e -commerce, modern trade and even in general trade, this should give us a pretty disruptive growth number . It is hard to say exactly what , I mean, that business is INR70-odd crores. The total size of the market in men's face wash is INR1,000 -odd crores, growing at 20%.

So, I would say , whatever happens, this acquisition does look like a pretty good deal at a good price. And we will kind of consolidate and try and become the number two player in this and I think that's how we'll take it. In the case of the Park Avenue acquisition, I mean, reasonably well, a little slower than what it was last year.

There's been a pretty sharp change in this market in terms of the market has upgraded from deodorants to EDPs, and that is a segment where there is a clear market leader, but we are now competing for number two and getting explosive growth actually in EDPs. So, there does seem gy CONSUMER PRODUCTS

to be a market change from deodorants to EDPs. Again, this is one of those markets where I feel like the long -term growth will be there. Our short -term growth is a little bit lower than what is still respectable, but a little bit lower than what we want it to be, but we will accelerate it with time.

Abneesh Roy: Could you elaborate on the EDP? What constraint is there, if any, in terms of either technology or product?

Sudhir Sitapati: No, there isn't any constraint. I think it's just a market that has rapidly evolved in I

ndia. When
we bought this business, we had next to nothing business in EDP. And now it is a pretty substantial amount in our gross sales value, almost INR100 crores odd. So that business is rapidly exploding.

There are some categories that are operating in like laundry liquids, incense sticks, EDPs which are all rapidly exploding. So, you've got to basically position yourself in super fast -growing categories and EDP certainly seems like a super fast -growing category in this segment.

Moderator: Your next question comes from the line of Nihal Mahesh Jham from HSBC.

Nihal Mahesh Jham: Sudhir, the first question was on HI. So, if you look at last quarter also, there was an impact of weather -related vagaries, and I think that has continued this quarter also with an excessive winter. Just wanted to understand at the time of the analyst meet, you said that with the launch of RNF, we are expecting at least the volatility of the index sort of reducing be tween, say, a 95 to 105 kind of range. So, are we seeing that kind of a reduction in volatility with, say, the launch of the new molecule? And if you could just give a sense if the gr owth were actually positive this quarter for the HI business?

Sudhir Sitapati: No growth was positive but see the last 3 quarters in India have been a cooler 9 months. The cooler 9 months , in quarter 1 positively benefited HI, but negatively benefited soaps. In quarter 2 and quarter 3 have actually had a negative impact on both soaps and HI. So, we've actually delivered these results in Q3 despite w eather or not being , we have a mosquito index, infestation index and now for 6 or 7 months, it's been relatively poor, which is actually quite unusual. We are expecting, however, that this year, Holi is a bit early and an earlier summer onset. And we hope that, that will be po sitive for our business.

I think the RNF won't change the volatility of HI results because the volatility of HI results depends on the volatility of seasonality. It will change the mean from a business that was practically not growing. I think it is going to go and as our incense sticks business becomes bigger and bigger, and that business is now quite a profitable business. And we're having good success in market share in electric and also our non -mosquito business is doing well. This business, I think, is in the mid -single -digit range and will kind of, I think inch towards high single digit.

There will be a volatility of plus/minus 5% in any quarter. So going from 95 -105, it may go to 100 to 110. This is how the volatility will be in HI going forward. So, I think there's a couple of percent improvement in our revenue rates after RNF, that I think is quite clear to us. gy CONSUMER PRODUCTS

Nihal Mahesh Jham: Sure. The second question was on the incense sticks. One of the worries that at least last year was the fact that the margin profile of this subsegment is much lower and it could sort of end up cannibalizing at least the overall HI margins as such. So now at least with the way you are targeting, is it that, that kind of a lid in terms of cautiously growing the incense sticks is sort of out and just looking at expanding either incense sticks or LV?

Sudhir Sitapati: Yes, in incense sticks, we have taken a weighted average price increase of 30% since we launched, and we are seeing no slowdown in our volume growth. So now our margins are pretty good actually in incense sticks.

Nihal Mahesh Jham: Got that. My final question was just on the margin bit. Obviously, the HI performance has been a little moderate. But if I had to just look at the margin improvement in the India business from last quarter, would most of it be explained by the normalizatio n in soaps or there were some other aspects you may want to highlight?

Sudhir Sitapati: No, I think there are 2, 3 causes for the margin impr

ovement. One has been , relatively minor one has been normalization in soap because that actually played out only , will start playing out from next quarter or this quarter onwards. I think the biggest one has really been on cost savings. We've had an unusually high year in terms of cost savings.

I think we've had very significant savings in media cost. So actually, while our ATL looks optically lower, the number of GRPs that we are spending in the market is actually higher. And I think , we made a big decision to change to a very large new media house, and that has a significant media savings.

We've also got significant cost savings on the back of supply chain initiatives like the new factories that we launched. And also in both laundry and soaps, we've got some reasonable savings in terms of product changes that we have made which are more kind of giving us more blend flex because one of the things that did happen over the last 18 months is the relative price of kind of vegetable oil to fossil fuel that increased and so both in soaps and in detergents .

So, you can have reasonable blend flex. So, a combination of these three things: supply chain savings, blend flex in soaps and detergents, and media savings have been the big driver of margins. These will be structural savings they'll persist.

Nihal Mahesh Jham: Just a last quick follow -up that then can with soaps margin getting better, we can actually exceed the 24% to 26% guidance in Q4 or in FY'27?

Sudhir Sitapati: I doubt it because we also have all said and done with incense sticks and laundry growing the way they are growing. We also have a negative mix that is coming in. So, I would be surprised if we exceed this 24% to 26% range. This is also an annual range ; on a quarter it may go up and down. The annual range of 24% to 26% is roughly where we will be is what I think.

Because look, our objective continues to remain something I had said 4 years ago, and we've not fully achieved it, which is to get to 10% volume growth. We feel we're in the 6% to 7% volume growth in India. We had two big objectives to kind of take India up to first high single digits and

then double -digit volumes and then to structurally improve our Africa margins. On both these, we made pretty substantial progress.

I feel in India, we can inch up volumes more. It will happen, simply because some of our growth drivers, which are aer, laundry to some extent, hair colour as well. Their growth rates are not slowing down despite their size becoming bigger. So, if you actually take this year ex of soaps, our volume growth is very, very high. So, I think soap volume growths will come back with GST, etc. So that's really , our intention is to get volume growth and to kind of keep margins range bound.

Moderator: Your next question comes from the line of Harit Kapoor from Investec.

Harit Kapoor: My question was on India volume growth only. So, if you look at this quarter, obviously, this performance has been extremely strong. But you also, as you have mentioned in your release, had the benefit of base. As the quarters progress over the next, say, 2 to 3 quarters, you're still fairly good base , a low base, but it is higher than quarter 3.

Just wanted to get a sense of what can help sustain volume growth number, given that base moves up and part of the soap benefits have started already to come in. So, if you could just shed some light on the moving parts, that would be very helpful. That's my first question.

Sudhir Sitapati: See, firstly, the soap volumes in this quarter were a little lower than my expectations. I think it took us October and actually half of November for all the old price stock to get cleared. We had a good December. So, it's not like this quarter has been driven by soap volumes.

It's actually been driven by aer care, laundry

, hair care and incense sticks and actually non -
mosquitoes and HI is also growing very fast. Premium HI, while we're gaining share still growth is muted, though it's still growing in terms of volumes. I feel like what will benefit GCPL is that some of these growth engines now have critical mass. And if they continue growing, there's a compounding effect of these.

So, I'm hoping that this compounding effect kind of takes our volume trajectory up by, let's say, 100 bps a year, which is what we are hoping. And it is a volatile business, thanks to HI. So, if you look at the annual growth numbers. See, in FY'24, our India volume growth was 7%, but it was driven by high soaps.

In FY '25, we actually did 5% volume with a poor soap and FY'26, I expect to do somewhere between 6% and 7% with a p oor soap. FY'27, soaps should hopefully be a little better. So, if you look at our non -soap volume growth because soap was also fluctuating depending on palm oil prices, that has been steadily going up.

The contribution has been going up and the volume growth there have been. I don't think we declared those numbers in public. But if you calculate based on soap numbers, you see that those numbers have been in a strong uptick and soaps will normalize at 101 , 102 kinds of volumes. So that's how I expect to see the future.

Harit Kapoor: Got it. Got it. And the second one was on gross margin. So, look, India business has seen an improvement on the gross margin now, second consecutive quarter sequentially, the GM has improved. But when we kind of compare this quarter 3 to say, the last 4 or 5 years of quarter 3 performance, we are still below our a verages.

So, is it explained by a same higher cost table? Or do you think it is explained more by how the mix has shifted in the business from a product category perspective? Because if mix is the factor, then we have to think of the similar kind of trajectory going f orward as well.

Sudhir Sitapati: We had 1 exceptional gross margin year in FY'24 in quarter 3, where we had very, very high EBITDA. If you remove those numbers, those gross margins are where they are. I think there will be pressure, a little bit of pressure on gross margins, which I hope will get alleviated with scale and leverage there.

So that may be where we may be. So, there will be pressure a little bit on see our gross margins are high, but we'll have to try and make those up through cost savings. But I'm not overly worried about gross margin numbers changing dramatically.

Harit Kapoor: Got it. And last thing is on cost saving itself. I mean, if you look at the other expenses this quarter in India, it's down almost 6%. I think you did mention that this year has been a year of good cost savings. And you see other expense number in India ac tually come down from double digit to now a negative number.

If you could just highlight exactly what the opex piece is because the advertising bit is clearly visible in your advertising spend, the change of the media house, etc. Because I would assume that some of the blend changes would have reflected in the gross margin. So, the other expenses what would that low number contributor? And is that a one -off, which is it going to be lower growth going forward for the year?

Aasif Malbari : Yes. So, Harit, I think if you were to explain the reduction in other expenses this quarter, I would say 50% of it would be attributable to savings. There have been savings in other cost lines and part of it has to do with phasing.

And then in a quarter, there is some phasing which happens quarter -to-quarter on cost, but we have managed to kind of save on to some of the other expenses, of course, is part of the total cost out plan, and some of it is just phasing between quarters. Som etimes some quarters have higher costs, some have lower.

Harit Kapo

or: Got it. So, the way to think of it is that some of this is the sales, some of its basis pricing comes back.

Aasif Malbari : That's right.

Moderator: Your next question comes from the line of Karthik Chellappa from Indus Capital Advisors Limited.

Karthik Chellappa: My first question is on Personal Care. Given that majority of the GST -related adjustments are behind us, and it looks like the trajectory is starting to be positive again, assuming the commodity situation is stable. Can we expect the revenue growth in Pers onal Care to accelerate starting in the fourth quarter?

Sudhir Sitapati: Certainly, the volume growth will accelerate even revenue growth should on soaps because the GST has not been a real price drop. So yes, I was hoping, frankly, that October, November would be slightly better in soaps it's taken a little bit longer. But yes , I would hope that happens. It depends a little bit on the weather and it's been a very cold winter as well. So that's been the other reason soaps has been a bit soft. So yes, I hope it accelerates a little bit.

Karthik Chellappa: And is our pace of market share gains in soaps, is there any change at the pace of that market share gains?

Sudhir Sitapati: Yes. So, I think the pace of the market share gains is a little lower than what it was in the past, but we are still gaining market share, and that's important.

Karthik Chellappa: What would they attribute that to?

Sudhir Sitapati: It's too small to have any it's not a material difference. I mean tomorrow if you're growing 30, 40 bps a year and a year, you grow 10 bps, it's really hard to attribute it. If now for 2, 3 years in a row, if you grow 10 bps, then we can say, is there a ch ange. But it's hard to attribute between in a 1 -year period, what that reason is.

Karthik Chellappa: Okay, sir. My last question is on Indonesia. Given that you expect conditions to normalize in FY'27, how early do you think the revenue growth can revert to a positive territory?

Sudhir Sitapati: See, I think of this revenue growth is already positive. It's a bit optically negative because I think we did a change.

Aasif Malbari : We changed the arrangement, Karthik , in terms of how we used to kind of operate with some of the GT dealers. Because of the change in arrangement, some of the expenses, which were otherwise kind of historically getting booked as cost, now kind of is taken off the margin. As a result of which , the price growth is kind of negatively impacted. So that's kind of contributing to a few lines of lower sales growth.

Sudhir Sitapati: But I do expect we've grown 5% volume, which is actually pretty good. We may be in this region, maybe even a little less in this kind of hovering region. But I think the revenue growth will turn positive quite soon among other things because there's a curr ency base also coming and so on.

So, I would say that the Indonesia at kind of the worst is probably behind us. This quarter, again, in Indonesia, optically, the results may not great because of the change in dates of Labaran , which is Ramzan for them. But the underlying 4%, 5% volume seems to be back, and it will follow in price soon. gy CONSUMER PRODUCTS

Karthik Chellappa: And so, the way I can interpret this is given the fact that your volume growth is quite healthy and has surprised and we have also expanded margins, which means the peak of competitive intensity is behind us. Is that a fair inference?

Sudhir Sitapati: I think the peak of competitive intensity is indeed behind us. It continues to be competitive like every other part, but there was a period of 6 months of very highly competitive activity on pricing which does seem to be a little bit behind.

Moderator: The next question comes from the lin

e of Percy from IIFL.

Percy: A couple of questions from my side. So firstly, you mentioned that on media costs, you have a saving because you went with a big media house. But what I recollect from one of your analyst meets is that you actually had made a big effort to sort of completely in -source the media function, and you actually gave a sort of 15 -20-minute presentation on that. So, what am I missing here?

Sudhir Sitapati: I think we made a presentation on insourcing the creative function. The media buying, we have actually bolstered our team in -house and there's a lot of use of technology. So, one reason for the reduction in media cost is the agency. Another reason is far better internal planning, but our media function is not an in -house function. We continue to work with Group M, and o ur advertising function is an internal function.

Percy: Okay. Got it. Secondly, on soaps, I just wanted to understand without giving any numbers or anything, but is the soap volume growth positive or negative?

Sudhir Sitapati: It's positive.

Percy: It's positive. Okay. And lastly, on HI, can you give some understanding on your market shares in HI over a 1 -year as well as, let's say, a 3 or a 5-year period? What kind of market share in BPS you have done in this, let's say, if you exclude incense sticks because that was a problem in terms of that market itself growing faster until recently you were not participating?

So, if you want, you can exclude incense sticks altogether and give some kind of flavour on the market share within the rest of the market. And also, again, without giving any numbers, hard

numbers, but among the top 3, 4 players in the HI space, would you be able to call out sort of which are the ones which are doing relatively better, which are the ones who are sort of struggling? Just a flavour for our understanding.
Sudhir Sitapati: Percy, that last question, I can't answer on who is doing well and who is not doing well. It's not proper for me to answer that. But as far as we go, one of the things is that this year, in the HI has four segments, it has incense sticks, electrics, aerosols and coils. In each of these four segments, we've gained significant share.
In each of these four segments, firstly, we have introduced a new molecule. And each of the segments, we have gained share. Overall, still in HI, we have not gained share, simply because gy CONSUMER PRODUCTS

our share of incense sticks, which is such a fast -growing market is much lower in the other segment. And there's a mathematics of share gain. In a few years' time, we'll start gaining share. Answer your question, in the short run, we have gained , if you remove incense sticks, we have gained very significant shares in HI. Even in the long run, we have gained significant shares if you remove incense sticks from the calculation. So, in other words, in terms of our share as a percentage of organized players in the medium and long term, it has been increasing. And in the short term, it has increased pretty rapidly.
Percy: Would I be right in assuming that excluding incense sticks, the market growth itself now 1 year or even on a 3 -year basis is flat to negative?
Sudhir Sitapati: A little bit more than that, but yes, very marginally positive, excluding incense sticks. Including incense sticks that market is growing at kind of mid -single digits in value. But actually, in terms of volume, it's a very fast -growing market.
You may have seen that some of you had written to me there was a Times of India article on the fastest -growing categories in terms of penetration and hair colour was number one , but the number three category in India was Household Insecticides. So, a couple of you had written to me saying, what's the conundrum. And the conundrum is that the category is growin g.
Moderator: Sorry to interrupt

, sir, we lost your audio for 3 to 4 seconds in between right now at the end.
Sudhir Sitapati: Okay. Can you hear me now?
Moderator: Yes, sir.
Sudhir Sitapati: Okay. No. Percy, I was just saying that the category of incense sticks is having of HI is actually having very high consumption growth, one of the fastest -growing categories in FMCG in penetration and consumption terms, but very moderate value growth because of the price per night falling, thanks to incense sticks.
Percy: And last question if I might be allowed. In Africa, you have done very well over the last few quarters, and you're continuously growing EBITDA at sort of high teens. On this higher base, do you think you can keep up this kind of performance? Or should we moderate our expectat ions for the next year in terms of EBITDA growth to more low double -digit kind of a number?
Sudhir Sitapati: I think they're still , Aasif is here, but I'll answer for him because he's wears two hats and in the hat of GAUM, I still think that there is now the kind of sharp margin increases we saw in Africa may not happen. But I do think that there is still scope for us to have some kind of cadence of margin improvement in Africa going forward. An d I hope that bottom line grows faster than top line in Africa for the next few years.
Percy: And top line growth, double digit is still the target in Africa, right?
Sudhir Sitapati: I don't know about that, Percy. It may or may not, depends a lot on currency and things like that, but we certainly will aim for that. But Africa is a little bit volatile and some of those things is gy CONSUMER PRODUCTS

hard to predict. I would be quite happy if we can do high single -digit volumes in Africa and whatever happens to currency happens.
Moderator: Our next question comes from the line of Aditya Vik hram from DB Securities.
Aditya Vikhram : Good set of performance. Two things, right, a lot of conversation with previous analysts, right? It seems like the margin trajectory. Do you see it stabilizing here? Or do you see it up and down based on how things go? That's my first question.
Sudhir Sitapati: I think, look, see, one of the differences and in the way we kind of operate the business is that our business margins are quite dependent on oil price fluctuations. So, if oil prices don't fluctuate, our margins won't fluctuate. In the past, when oil prices went up, we would sharply

cut advertising that we don't do these days.
We've got some savings in advertising which are structural. So, I would say that if there is a very sharp increase in oil prices again, and when I say very sharp, it has to be greater than 15 -odd percent, then we will take another quarter or two to recover the margins. We won't react in the short term by cutting media just to cover up some margins optically.
This has happened in the last 5 years twice. I don't know when it will happen again. But and frankly, when oil prices go down, we end up passing -- so when we pass on the benefits to consumers quite fast. Whereas when they go up, we pass it down a little b it more slowly. So that is the only condition in which we may have a margin hit, but otherwise, I expect it to be in this kind of range, maybe a little lower in the summer months, a little higher in winter months.
Aditya Vikhram : And the second question I have is around the new section on the Home Care, specifically around toilet cleaners and everything, right? The Spic brand if I'm not wrong . How is that doing? And is there some sort of a strategy where you're going to move out from Tamil Nadu and cover most of the Southern sector .
Moderator: Sorry to interrupt, Aditya sir, your line was breaking at the end of your question, if you could please repeat that one.
Sudhir Sitapati: I have understood the question. So, I can answer it. I think we launched Spic, a toilet cle

aner in
Tamil Nadu two months ago. Usually, the results are quite positive. We usually don't decide anything before 6 to 8 months. So, we will wait for 6 months before deciding what to do next.
Aditya Vikhram : But the initial action does you see it...
Sudhir Sitapati: I think these things are best decided 6 months because sometimes you can have good performance in the first month or two, then it slows down or vice versa. So, a good call on this is 6 months. I would say that we are quite encouraged with Spic, it's a good product, and we're quite happy with consumer response. But before we take a call on national rollout or even South rollout, I think we must wait for 6 months to pass.
Moderator: Our next question comes from the line of Akshen from Fidelity.

Akshen : Congratulations on a good set of numbers here. Just 1 question around how should we be thinking about India volume growth going ahead? Just overall for FY'27 and also in near term because you have quarters now, next couple of quarters where the bases are s ort of weak, right? So, soaps have a negative base, HI has a high base. Just wanted to get gauge your confidence and ability to sustain sort of this broad trajectory of high single digit to low double digit that you've been able to deliver this quarter. That's question one, I'll wait for you to answer and then ask my second one.
Sudhir Sitapati: No, I don't think we'll grow at 9% volume at all going forward. But the 6% to 7% volume gradually inching up is what I think the India business, and it will inch up. It will inch up because I told you, one of the things that maybe in the May analyst meet w ill talk a lot about is our portfolio has changed quite dramatically in the last 3, 4 years.
And the fast -growing part of our portfolio continues to grow fast, even though it's becoming bigger. So, there is a compounding effect that is happening for our portfolio, which we'll talk about. So, I do expect kind of sequential gains in volume growth. But right now, I think we're at a kind of rough level of 6%. I hope we can take it to 7%, 8% and so on over the next maybe 18 to 24 months. That's what I hope we do with volatility, yes.
Akshen : By I mean reported volume growth is higher this quarter and not sort of 6%. Is your stripping off the adjustments of the GST stock -up that you would have seen -- is that...
Sudhir Sitapati: Yes. So, we had a relatively last quarter, we grew 4% volume, which is also okay, this quarter, we've grown 9%, so you average out the two, it's 6.5%. I mean on a base last year, this Q3 was a lower volume, but Q2 was high volume. So, all in all, we're in the 6% to 7% range, give or take, which we've got to inch up.
And I think actually, India, the good thing is, for the last 3 years, we've consistently been on this range. It's not like when you take the annual number of Indian volumes, it consists not that 6% to 7% is sort of outstanding or anything, but given the co ntext of the market in India, it's quite respectable.
Akshen : Yes. So that was going to be my second question, that a lot of volume goodness that we've seen has been self -help for you. What's been lacking is a broader pickup in consumption. Just wanted to get your perspective on that front if you've seen broader cons umption trends starting to improve .
Sudhir Sitapati: I can't say that still with full confidence. I think we'll have to see the results of the various peers this quarter. Then this quarter, of course, has everyone's results will be better than last quarter, thanks to GST. So, we will have to wait and watch. In our particular case, the category that's

been affected has been soaps, which as I told you, was actually slightly disappointing this quarter, but it picked up quite well towards the end of the quarter.
So, both a very cold winter and kind of GST tran

sitions meant that we really got bank for the buck only by December. So, I would still kind of wait but look, honestly, we want to shape

ourselves that our volume growth trajectory is pretty independent , we still want to kind of move towards with aspirational double digit, and we constantly think about it regardless of what the market is growing at.
Moderator: Our next question comes from the line of Anurag Dayal from Phillip Capital.
Anurag Dayal: So basically, the first question is on Africa business. So, we have seen the constant currency terms growth moving to single digits in this quarter after three quarters very strong numbers.
Now going forward, the two questions here. One is, could you just help us understand category - wise, like we had got a lot of different international brands in global markets.
So, we did it with hair care I understand, which has done well , which segments you are eyeing for better growth in Africa and which segments we are still seeing some disappointment despite, for example, if we have input there, how that has performed? That's one question. And secondly, is how we see this growth trajectory? Would it be still around high single digits we have to forecast over the next 2, 3 quarters?
Aasif Malbari : So, Anurag, firstly, I think in this quarter also, we had a strong underlying volume growth.
Currencies, as Sudhir said, keep fluctuating. You have some currency appreciation, depreciation.
So, it keeps moving up and down. There is also some play of pricing when you get kind of better deals in terms of input materials, etc, you do kind of pass on some of the pricing benefit to the consumers.
So structurally, the underlying volume growth have been strong in this quarter. And as Sudhir said, we will kind of work through to ensure we deliver high single -digit underlying volume growth going forward, yes. So, there is a plus minus, which will keep happening on price, local currency and in INR terms.
And in terms of margin, he's already kind of spoken about the guidance. When it comes to new categories, there are multiple categories where we have a global right to win, and we will sequentially kind of build our presence across the entire continent in t hese categories. So, you will see action from us going forward.
Anurag Dayal: Okay. So, you can't call out any segment where you could see a better , I mean we are building in something which have tried hasn't scaled that well till now, but we hope it does well.
Aasif Malbari : No. So, I think we've spoken about hair category, which we launched , yes, in this year. There is still a lot of runways in terms of taking that to a particular size and scale. We do have a presence in terms of wet hair category. There is still a huge runway to kind of grow there. As to these 2 are definitely levers which we have.
Yes, as we kind of get into new categories, we are definitely working on and targeting a few more as we launch them, we'll definitely kind of share. But yes, there are reasonable plans to kind of get into few new categories over the next 2 to 3 years.

Anurag Dayal: And one last question is pertaining to this litigation charge costs that you have paid, especially on strength of nature of around INR 23 crores odd. So, is it a onetime or will it be recurring?
And where we are in this class action suit if you could give some.
Aasif Malbari : I mean there is , some of the costs are getting incurred in terms of legal expenses, which are being incurred. We will have to see how the suit progresses. But yes, it's likely to kind of continue for a few quarters.
Moderator: Our next question comes from the line of Ajay Thakur from Anand Rathi Securities.
Ajay Thakur: I have two questions. One was more on th

e personal wash segment, while we indicated that there has been a small positive volume growth in the personal wash segment this quarter. Wanted to understand more on the aspect in terms of which , what kind of a portfolio is driving that? Is it more of a LUPs, which is kind of driving the growth? Or is it across the portfolio that we are seeing that kind of growth coming through?

Sudhir Sitapati: Actually, the unit growth is pretty robust in the quarter because we're still lapping despite GST and grammage increases on the small packs. Our small pack grammage is still significantly lower than what it was in Q3 last year. So actually, our unit growth s are significantly higher than our volume growth, which is why all this will anniversarize and we'll go back to reasonable volume growth.
The turnaround has been everywhere, if you compare it with the previous quarter, the turnaround is pretty sharp in most parts of the portfolio. I don't think there's any specific portfolio story on soaps. I think the GST price drops have helped and it will only help further in t he subsequent quarters.
Ajay Thakur: Quite helpful. The second question was more on Spic, which you have just kind of introduced more in Tamil Nadu market. I wanted to get a sense in terms of what is our proposition over there. What makes us stand out in that segment?
Will it be more of the pricing disruption that we are looking at? Or is it going to be more than that? And also, if you can share some insights into the toilet cleaner market. How is it standing? You had indicated that it's a INR3,000 crores kind of a market. But in terms of the players, in terms of the dynamics, how it is shaping up in that segment?
Sudhir Sitapati: So, one of the things in our launches is we don't just launch products with a price disruption. Otherwise, we would have launched a lot more Home Care products that we've launched. We are very cautious on launching products which are perceivably better than w hat consumers are using.
And Fab, contrary to what a lot of people think is not just a price disruption. It's structurally a different product. Here too, in Spic, it's a different product. Our promise here not just cleans but also prevent stains from forming. And you have to use the product, and you'll see that it's a differentiated product.

We are selling at a price index of about 70 to be market leader. So that’s the kind of cherry on the cake. It's early days to say how good this is, how it's doing. We are reasonably encouraged with it. But we are pretty patient on these things. We wait for 6 months, study it carefully, then ask the question is it worth doing nati onally, which is how we'll do it.
Moderator: The next question comes from the line of Pankaj Murarka from Renaissance Investment Managers.
Pankaj Murarka: Sudhir, just to delve a little more, when you talk about sustained 10% volume growth, obviously, a meaningful part of the portfolio is soaps, which if we take the long -term averages, we know where the growth is. Then effectively, we would need the rest of the portfolio to be growing at low to mid -teens on a sustained basis.
So, from a slightly more medium -term perspective, if you can articulate the strategy there in terms of while I took a point that the existing categories even on a large scale are growing at a pretty high rate. But at some point, of time, these categories will be some -- will get into some sort of a base effect. So how should we think about the whole construct of the business from a medium -term perspective as you're driving it?
Sudhir Sitapati: So, I think your math is correct. The rest of the categories have to grow at teens, which they're growing, by the way, at. And as they become bigger, the impact of them will become more. So that's what I was talking about the compounding effect.

The three big categories that have been
growing very fast for us have been air care, laundry liquid, and incense sticks.
These are the three that have really and they're now becoming all of them are material size and rapid growth. All of them have very large TAMs. I think that's and there's a fourth one that seems to be emerging by the way, it's still not large enough, which is perfumes, EDP. So, there are but EDP is not of the same size and scale as these 3.
But these are 4, what I would call very, very fast -growing segments. All of them have all these 4 have very large TAMs. Aer per capita our market share in India is high, but our per capita consumption in India is a fraction of what it is in Southeast Asia. So, it's got a long runway of growth.
Laundry liquids have got a very long runway of growth because it's nothing it's still only 6% or 7% of the total laundry market, and it is growing , volumes in that category are growing 30%, we are gaining share on top of that. So that market, we continue to expect actually multi -decade growth. I think it will grow like this for at least 10 to 15 years.
Incense sticks, we're a very small part still. We're only 10% share of the market. So, we've got a long runway of growth on incense sticks. And EDP, perfumes and deodorants become a very large category, again, we are a relatively small player in a small market.
So, I would say all these 4 categories that are rapid growth categories have very high TAMs

which should have hyper growth. There are two other categories, which are also growing quite gy CONSUMER PRODUCTS

fast, which is hair colour , driven by penetration and also non -mosquito household insecticide, but both these should have kind of double -digit volume growth.

So, you have 4 categories, give or take, should cumulatively grow at 30 -odd percent, and 2 categories kind of growing at 10% to compensate for soaps and even premium -- yes, so that's really the math of it.

Pankaj Murarka: It is very interesting. And should we also then presume that you'll keep adding products or getting into new categories, let's say, every 2 to 3 years to sustain this?

Sudhir Sitapati: Yes. We've had a strong success on innovations in the last few years. So, you look at the drivers of growth, it's actually been one of the things that has really kept us growing at 6% to 7% despite, frankly, a lot of HPC markets growing at 2% to 3% has been the delta that we've got on innovation. We are a bit slow about it and methodical. So, we've just launched Spic, it will take some time.

And as and when we find opportunities, we will innovate within kind of this HPC, in particular Home Care kind of area. But I think we've got to have products that are materially better than what is available to consumers because otherwise, we don't see a p oint in entering a category with me -too products. So that does limit the number of innovations we can do. But we will certainly continue to do that as we've been doing.

Pankaj Murarka: And do you think within the next few years, we'll get to aggregate 10% growth as you're targeting for the company from where we are at 6% to 7%?

Sudhir Sitapati: Certainly, that's what we're working towards systematically. And because you see the reason I'm saying this is really independent of Indian growth , GDP growth and general growth and consumption, etcetera, 4 or 5 categories I'm talking about are very, very large TAMs.

Pankaj Murarka: And at some point, of time, you think we'll also benefit given some of these categories are a higher discretionary in nature when you talk about EDP and some of the even aer for that matter and this thing. So, it should benefit at some point of time in terms of much nonlinear growth as the economy scales. Would you put it that way?

Sudhir Sitapati: Yes. it's already nonlinear right now, but I don't k

now if rates will further accelerate, but I hope that even with size and scale, these growths persist. That's what the bet is based on. Why am I sort of hoping that we can get to first 7%, 8% and then 9%, 10% volume is that I don't see why these categories should slow down materially with size. They're quite very, very far away from hitting a ceil ing.

Moderator: The next question comes from the line of Abhijeet Kundu from Antique Stock Broking.

Abhijeet Kundu: My first question was, sorry for being repetitive. But in soaps, what is the kind of value growth that you could see over the next 2 years? Or I mean would it be mid 5% to 6% just on that? Or is there an opportunity to see improvement? Or is it that we cou ld get better clarity from Q4?

First question is that. gy CONSUMER PRODUCTS

And second question is that in personal wash per se, there is also a hand wash, face wash, and body wash market, which is very small but that has been growing at a decent rate. So, you have also launched your products there. So, how do you look at this opportunity? I mean, would you put enough of effort in scaling up in hand wash, face wash, and body wash?

Sudhir Sitapati: I think it's a good question. I expect soap value to grow at between 4% and 6% in the long -term basis, low single -digit volume growth and low single -digit pricing as well. That's what I expect in soaps. I expect personal wash to grow faster, first, just a little faster, but then much faster because of the compounding effect.

And if you see three categories that soaps upgrade into as you correctly said, are body wash, hand wash, and face wash. In all these three categories we've made differentiated players. In handwash, we've actually got a very differentiated player, which is gaining share, which is Magic Handwash.

In in body wash, we've got a very differentiated share on Cinthol Bodywash, which is doing very well for us in modern trade, quick commerce, and channels of the future. And we've just entered face wash with Muuchstac.

So, all these put together today, maybe less than 10% contribution to this business. But if they

continue to grow at 30% to 40%, they will start giving 2% to 3%, 4% to 5% over a soap. So, in
this period of 3 to 4 years, they may not materially make a difference.
So, if soap grows at 4%, personal wash may grow at 6% to 7% but I do see in 3, 4 years as these
become bigger and as we kind of also , we need a little bit more to be done to consolidate market
share. I mean we must get to reasonable market shares in each of these segments. I do see a
compounding effect on these in the future as well.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference
over to Mr. Vishal Kedia for closing comments.
Vishal Kedia: Thank you, everyone, for an exciting discussion. We hope we have been able to answer all
questions. In case of any further questions, please reach out to us on our Investor Relations
contact details. Thank you, and good evening.
Moderator: Thank you , all the members of the management. On behalf of Godrej Consumer Products
Limited, that concludes this conference call. Thank you for joining us, and you may now
disconnect your lines.

Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of
the call.

Call: May 2026

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May 13, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort, Mumbai - 400 001
Scrip Code: 532424
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Mumbai 400 051
Symbol: GODREJCP

Transcript of Conference Call with Investors and Analysts held on May 6, 2026

Dear Sir / Madam,

Please find enclosed herewith the transcript of Conference Call of Godrej Consumer Products Limited with the Investors and Analysts held on Wednesday , May 6 , 2026 at 6.30 p.m. (IST). The aforesaid information is also being hosted on the website of the Company at the below mentioned weblink:

https://www.godrejcp.com/investors/reports -and-financials/quarterly -updates

Please take the same on record.

Thanking you,
Yours faithfully,

For Godrej Consumer Products Limited

Tejal Jariwala
Company Secretary & Compliance Officer
(F9817)

Encl: As above

Godrej Consumer Products Limited
Q4 FY26 Earnings Conference Call
May 06, 202 6

MANAGEMENT : MR. SUDHIR SITAPATI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GODREJ CONSUMER

PRODUCTS LIMITED

MR. AASIF MALBARI – GLOBAL CHIEF FINANCIAL OFFICER AND PRESIDENT

MR. VISHAL KEDIA – GLOBAL HEAD, STRATEGY & PLANNING /IR – GODREJ CONSUMER PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Godrej Consumer Products Li mited Q4 FY'26 Earnings Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Vishal Kedia, Global Head of Strategy , Planning, and Investor Relations. Thank you, and over to you, sir.

Vishal Kedia: Good evening to all. Welcome to the conference call for Godrej Consumer Products for quarter 4. We will start the call with an opening statement from our CEO, Mr. Sudhir Sitapati, following which we will go to a statement by our CFO, Mr. A asif Malbari. We will then move to the questions. Post the questions, we also have an ending statement. Now, I hand over the call to Mr. Sudhir Sitapati, for his opening statement.

Sudhir Sitapati: Good evening, everybody. Q4 FY'26 has been a quarter of strong broad -based performance for Godrej Consumer Products Limited fully aligned with our expectations and strategic priorities. The quarter brings to a close a year in which the consistent execution of our goodness manifesto. Our focus on category development and our discipline on costs have come together to deliver profitab le growth across our portfolio.

In Q4, at a consolidated level, revenues grew 11% in INR terms on the back of 6% underlying volume growth. EBITDA grew by 10%, with operating margin at 21.7%, and net profit after tax grew by 10% on a reported basis, reflecting the underlying quality of earnings being delivered by the business.

I would like to call out that while profit growth h as been weaker over the last 2 years. This is driven by significantly stepped -up investments to ignite growth and expand into new categories. We have already seen parts of the portfolio that have started to significantly outstrip growth driven by investments and profitability driven by scale benefits and we expect this to happen acros s the portfolio.

Our standalone business delivered an excellent quarter, driven

by 8% underlying volume growth and 10% sales growth. EBITDA grew 18%, with margins at a healthy 24.7%, supported by disciplined cost management calibrated pricing actions and improved operating leverage. Within the standalone business, Home Care delivered 12% value growth with strong momentum across household insecticide, air fre sheners and fabric care and consistent market share gains in our key categories. Personal Care grew 3% with Personal Wash continuing gaining market share on the back of strong in -market execution.

Perfume & Deodorants delivered strong double -digit growth led by perfumes, with KS99, now scaled pan -India. Turning to our international portfolio. In Indonesia, the pricing pressures we have been calling out over the last several quarters have now largely bottomed out, and we are seeing increasingly clear signs of stabilization. The business delivered 4% underlying volume growth and 3% sales growth, and we continue to expect operating conditions to improve from FY 2027 as the market normalizes.

Our Africa, U.S.A. and Middle East business delivered another strong quarter with top line growth of 20%. EBITDA grew 2%, reflecting a deliberate doubling of media spend behind our FMCG categories to build a long -term franchise. We believe this is the rig ht investment to make as the geography enters its next phase of growth. Our Latin America and others business delivered 26% sales growth. EBITDA was impact ed by one -time costs in the quarter. We expect this to normalize over the coming quarters.

Looking ahead, we entered FY 2027 from a position of strength. Our India business is well placed to deliver continued calibrated growth as normative EBITDA margins, supported by improving demand trends. A strengthening innovation pipeline and consistent in -market execution. In Indonesia, we expect a meaningful step -up in performance as pricing pressure abates and our Africa, U.S. and Middle East business continues to deliver on its stated objective of doub le-digit revenue and profit growth over the medium term.

Before I close, I would like to briefly flag and then hand over to our Chief Financial Officer, Aasif Malbari an important presentational change that we are adopting from this quarter onwards in a manner in which we report revenue. I would also take the opportunity to personally invite you to our investor meet scheduled to take place on Monday, 11th Ma y, the event will be he ld at our headquarters and will provide in -depth perspective on our strategic vision, recent business performance, and forward -looking initiatives. Our leadership team will share comprehensive updates on market trend innovation and the company's growth map.

As the year closes, our unwavering focus on category development, cost discipline and operational excellence continues to translate into improving performance with strengthening demand trends, consistent portfolio action and a clear strategic road map, we are increasingly confident in our ability to deliver sustained profitable growth and create long -term value for all our shareholders.

I now hand over to A asif.

Aasif Malbari: Thank you, Sudhir. Good evening, everyone. I would like to take the next few minutes to walk you through an important change in the way we are presenting the revenue from the quarter ended 31st March 2026 onwards. To set the context, in the FMCG industry, companies incur a wide variety of customer related expenditure, like in -store visibility, display arrangements, mailers and other similar channel level spend. Industry practices on how to present these trends has historically been mixed. Som e companies have rationalized them as expense on a gross basis, while others have netted them off against revenue.

GCPL till 2025 presented some of these spends as expenses. Our position rested on a set of considered judgment that these spends do not have a direct correlation

with sales. Products
would continue to be sold to our customers under existing commercial arrangements regardless of whether we incur these spends or not. The pricing remains unchanged irrespective of these arrangements and a fair value for the services received could be on reasonably demonstrated. On that basis, we have presented some of the se spend s and operating expenses similar in substance to other marketing and promotional efforts undertaken by the company. To give an

example, visibility in store and visibility on the street has outperformed our 2 spend, which can be interchangeably used. In February 2026, the Expert Advisory Committee of the Institute of Chartered Acc ounts of India took up this mat ter for a detailed examination.

The committee considered multiple instances of customer -related arrangements typically encountered in the consumer goods sector and went through a detailed evaluation of the facts and circumstances of each instance . Having considered each of these in detail, the committee concluded that these customer -related spend should be netted off from revenue, rather than presented separately as operating expense. GCPL has carefully reviewed the opinion and presented the relevant spend accordingly. The company is imp lementing the opinion of the expert advisory committee in letter and spirit.

The impact is straightforward, revenue from operations and the corresponding lines within other expenses both reduced by the same amount period after period. There is no impact whatsoever on absolute EBITDA, PAT, profit after tax, total liquidity, or cash flow. Margin percentages would be optically higher under the new presentation simply because the denominator is smaller while the abs olute profit pool is unchanged.

The underlying economics of the business are pricing, our competitive position, the cash we generate remain the same. Our strategy and the way of running our business remains the same. There will be no changes in the way we incur the spend going forward. A lso to clarify, while A&P expenses optically look lower for the quarter, if you compare this after restated, the amounts are actually broadly similar Y-o-Y.

Restated revenue for the last 8 quarters and the last 5 years on the new presentation is set out in

the investor communication accompanying our results. There is no material impact on growth or profit metrics. We are actually extremely pleased that ICA has released this E AC opinion to this effect, which will enable better consistency and competitively across all the players. Thank you. We will now move to questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, yo u may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vivek M from Jefferies. Please go ahead. Vivek, your line is unmu ted. Please proceed.
Vivek M : Hi. Good evening, team. First question is on the personal care bit in India. So, Sudhir, can you just elaborate because the presentation slides talk about soaps have done well. And so is the case with perfume fragrances. And I think it looks like the powder hair dye has actua lly been under pressure . Can you just talk and elaborate a bit more on this?
Sudhir Sitapati: Yes. I think there are two things, Bulk of our personal care businesses is soaps and then market sector s are muted despite GST. So, while we have gained some market share, our growths have been muted in soaps. Condom sexual wellness also has been quite muted, and we've declined but it's a small business. And hair colo ur has had an okay quarter, not a great quarter , but an

okay quarter. I think there was some seas onality impact of marriages, et c. So overall, I would say, a somewhat muted quarte r only on our presence business.
Vivek M: Okay. And Sudhir, when you say India business is up, let's say, has grown by 10%, if Home Care and Personal Care have gro wn by 12% and 3%, respectively. I think the other portfolio has grown like 75%, which has added about 2.5, 3 percentage points, right? Can you just elaborate on what has happened there?
Sudhir Sitapati: I think, firstly, our Home Care business salience is increasing every quarter and it's becoming bigger and bigger on the back of some of these things. So that is one. The second is there has been a lot of explosive growth globally on our air freshener bu siness, which we don't capture indeed, till next time onwards we'll capture it so far is a small number, but that I 'll take you through on Monday, we are just having very high growth on air fresheners globally, which is broadly we make in India and we export it from here and that has been the delta contributor there.
Vivek M : Understood. And lastly, on Indonesia, how confident are you about the turnaround given that there has been certain, inflationary pressures also in the economy. How confident are you of the turnaround over there and outlook also in Africa business for F Y'27?
Sudhir Sitapati: So, in Indonesia, I think even last quarter, we had about 4% volume growth. And this quarter also, we had 4% volume growth . In a steady state, if we can do 5% to 6% volume growth in Indonesia, this sales growth has to do with currency, that may turn actually in Q1, the other way around. So, I think revenue growth will now lead volume growth in Indonesia.
So, I think what we will get in Indonesia is kind of mid -single -digit volume, high single -digit value going forward. As far as Africa goes, we are having a very strong performance in Africa. I think, as I said one of the big drivers has been FMCG driven by air care in Africa. So , revenues have gone up that requires advertising spends. So , we have kind of investing ahead of the curve in building FMCG in Africa. Our Africa business now is looking more and more like a conventional FMCG business to us.
Vivek M: Okay. And just a follow -up on Africa. You think constant, given that the base has been higher in the last few quarters have been quite good in Africa on growth as well as margins. Do you think FY 27, we should be mindful of the base given that the performance in the past few quarters. And this quarter also constant currenc y growth has been somewhat okay . It's the reported number, which has been very good, right, because of the currency moves?
Sudhir Sitapati: Yes. I think in FY25 , we had a very depleted pe rformance in Africa. So, the FY 26 numbers come on a depleted base. I expect Africa performance to be quite strong, on Monday, we'll explain to you that there are some underlying drivers in FMCG, which are driving bulk of the growth in Africa, and those w ill continue to compound in FY 27.
Vivek M : Got it, Sudhir. L ook forward to seeing you on Monday. Thank you.
Moderator: Thank you. N ext question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, Sir. Thank you for taking my question. Sudhir, s o when I look at your looking ahead Para, you've highlight ed the India business is staged to deliver continued calibrated definitive

EBITDA margins. Given the context of the West Asia world war, any inflation that we are seeing. Should one assume that what you're indicating is that you will be able to hold up that 21.5% normative margin in can console and '24, '25 on India business? Is that what is statement read?

Sudhir Sitapati: To be honest. This quarter and next quarter, I expect some pressure on EBITDA percentage margin, but we are seeing upside in a variety of other areas. We're seeing pricing growth hi ghe

r

than what we thought we get . We are seeing in certain categories like laundry and household insecticide, a lot of pressure on locals.

So overall, I am expecting lower margins still this oil remains at 100, 110, but higher revenue and kind of netting out at reasonably good levels as far as EBITDA goes. And I think it's just – it just if this oil remains USD100 to USD 110, that's what we expect and t hat to for a few months because it USD 100, USD 110 as we had spent in the pre -note is not something that we can't price up for over 3, 4 months.

So, it may take 3 to 4 months again, of a little bit of a dip in percentage margins. But unlike in the case of very sharp palm oil prices were even if I have a 6% -7% inflation becaus e of palm oil, it affects only one category and then that become s really hard to take our price. So , in the case of crude oil, it affects all categories. So , the same 6% - 7% is spread out over every category. While we may have a percentage gross margin lower than Q1 , we're also lapping a weak competitor. I think it will come b ack much sooner than it does when there's a palm oil crisis.

Mihir Shah: Understood. Got it. And again, on the personal care fron t, just wanted to get a sense of now we had some tailwind of restocking in third quarter that seems to have normalized. How should one think about the growth of Persona l Care from here on? Is the flexibility of hair colo ur are just because of the marriage seasonal impact and the so aps are going to be remaining?

Sudhir Sitapati: Yes. we didn't have a bad quarter in hair colour, just a little lower than what we usually have. I think pricing growth will come into soaps pretty significantly going forward. So, I do expect this personal performance to improve.

Moderator: I'm sorry, sir, we are not able to hear if you are speaking.

Sudhir Sitapati: No, I was saying that pricing is coming back in soaps more than what we thought to the various cost inflation, both in soaps and in general Personal Care. So , I do expect higher revenue growth than this in FY 27 and going forward. Can you hear me?

Mihir Shah: Yes, Sudhir. Thank you. Got it and that’s all from my side. Wishing all the best.

Sudhir Sitapati: Thanks, Mihir.

Moderator: Thank you. Next question is from the line of Aditya Soman from CLS A. Please go ahead.

Aditya Soman : Yes. Hi, good evening and thanks for the opportunity. So , two questions , firstly, on Home Care, we've seen fairly strong growth on w hat was a tough base as well. Can you just maybe throw some light on what's really work? The LV lau nch being pushed to wider and acceptance? And in similar vein, as we so rt of get into sum mer and t his year, there's an expectation of an extended summer, would that have any seasonal impact with the extended sum mer on the insecticide business?

Sudhir Sitapati: I think quarter 4 was pretty good and broad -based in terms of Home Care. All our businesses did well. Household insecticide, air fresheners, fabric care, both in terms of top line and bottom line, they did well. I think going forward, if the summer is a ho tter summer last year was a cooler summer and actually the whole of last year cooler.

I think so ap volumes have been a bit muted in the overall category because of sort of slightly cooler year. I think summer Q1 is typically a small quarter for HI. So yes, it's possible that the HI numbers aren't as great as they should be. But then on the other hand, there is a dynamic of local players not getting kerosene to make intrinsic and so on.

There are some complicated dynamics going on between the weather and West Asia. So, and equally, I'm expecting a better quarter in terms of soaps. So yes, there are two dynamics going on here. The short point is there's a weather dynamic and a West Asia dynamic, both of which are playing out positively and negatively. I think in soaps is largely the weather

dynamic is

positive in HI, whether maybe negative West Asia may be positive. Laundry also the West Asia thing may be positive.

Moderator: Thank you. Ne xt question is from the line of Avnish Roy from Nuvama. Please go ahead.

Avnish Roy : Yes. Thanks. T wo questions. My first question is on Muuchstac and your other recent acquisition, essentially in terms of the Raymond, what is the update and going ahead in terms of outlook, h ow do you see that given these two scenarios you mention ed in terms of West Asia impact on th e, say, the cost inflation and s ay the summer, which is likely to be on the stronger side for these 2 businesses, how do you see that in terms of the outlook?

Sudhir Sitapati: So Avnish, may be the Mu uchstac question and the Raymond question, I would take on Monday when you guys are here because you have some slides on how to Mu uchstac and Raymonds are doing. But let me answer because what we wanted to do was to use this call to really answer our Q4 questions and Q1 questions and kind of more p ortfolio questions answered it o n Monday if that's okay by you.
But short point is we're very happy with Mu uchstac. I think we are also quite happy with P AKS, a little bit of , we had early successes in sexual wellness, which seem to have dried off but good consistent volume growth on deodo rants. I think as I told you the way we're looking at the year , there's a negative in terms of cost. There's a positive in terms of middle distillate prices, which are basically linear alkyl benzene and k erosene, used in detergents and house hold insecticide s, those prices are going up significa ntly and with lot of locals coming on it, from our business point of view, th is is a positive of West Asia.

As far as weather goes, if the predictions of El Nino are right, there will be impact and Q1 will be a difficult quarter for HI because for a good quarter when it's hot and reasonably wet, actually, it's reasonably good for Q2 and Q3 should be okay. So ap should generally be good. Indonesia does quite well during El Nino in general, but general consumption , if monsoons are poor, I don't know how Q4 will be.
But overall, in the last El Nino year, I think we had was FY 24, if I'm not mistaken. And that turned out as a reasonably good year for us. So, this is the sum of moving parts between West Asia and hotter summer in El Nino.
Avni sh Roy: Understood. My second question is on soaps . In Q4, Sudhir, we have seen that in most of the FMCG categories, GST has had some benefits. I do understand in soaps local players is not a very big number. But if you could tell us from a compliance side, at least, is there some improvement because at least at 5% the degree of bypassing the system is much lower.
So are you seeing some evidence of that, it may not translate to number as yet. And your optimism on soup volume recove ry, say, in Q1, Q2 based on say, El Nino, et c. Is that the main reason? Or because of inflationary conditions, you and say the market leader will gain market share? Is that the main reason?
Sudhir Sitapati: No, there are 2-3 questions you're asking. On the second question on why I'm reasonably bullish as last year. pretty cold summer, as you know, in various beverages categories, etc , and ice cream categories and this one is expect ed to be the other way around. On your second question on the impact of GST to be honest, the overall impact on GST has been quite good. I think the consumption we've seen results. We are also quite happy with 8% volume growth in India. So, the overall consu mer senti ment certainly seems to have improved after GST, and that is benefiting a lot of discretionary categories like laundry liquid and air care, which may not have had a direct reduction in GST prices.
As far as soaps itself goes, it doesn't seem to have shown at least for us and from what I'm able to read from reported results, sign

ificant improvement in volumes, unlike some GST categories,
I think categories, which are slightly underpenetrated or whic h have heavy locals, but certainly underpenetrated categories really have benefited from the GST price cut, but soaps and a few other universally penetrated categories , the impact has been limited of the GST, though we've passed on all the benefits to cons umers.
Avnish Roy: Because hair oil has seen a very good benefit, and that's also very well penetrated.
Sudhir Sitapati: I don't know whether is hair oil or premium?
Avnish Roy: Yes, premium has also grown strongly VAHO has grown very strong.
Sudhir Sitapati: That's what I also believe that it's a premium phenomenon where , so when you have a very premium brand when prices come down, so other categories , you know there are other pene trated categories like oral, et c, but I don't know what the impact has been on GST.

Avnis h Roy: Understood. And last question in terms of the pet food, any update or you want to share that in the Analyst Day, given it's a big sector from a longer term but may not be that relevant currently.
Any update on that?
Sudhir Sitapati: No, I think we are in the quest of product market fit and getting increasingly convinced we have it. We've set up a state -of-the-art plant in Nasik, and we've shipped our volumes from there. So, the more we understand this category. Firstly, is going to be a long burn. There's going to be a lot of value to feel that I'll again share this on Monday, but we do feel that this is a category that has a good odd for us to really become a big business in a few years' time. I think we may have entered this is the right time.

Avnish Roy: Right. One last follow -up on palm oil. So, the feedback given was palm oil and crude oil, the linkage has been broken, but we have seen fantastic linkage this time also, so your thoughts.
And second, on the soap, new form ulation, which number 1 player has taken. What is the current stance you have given there is a big palm oil inflation . It makes much more sense now than ever. So, what is your stance now?
Sudhir Sitapati: See I think palm oil inflation after this, see Avnish the best way to look at this is , crude went up from, give or take, $70 let's say to $100, right, which is 40%, 50% increase in crude. P alm has gone from 4,000 MYR to about 4,500 MYR, which is a 10%, 11% increase in palm . Some of the middle distillates, which is kerosene linear alkyl benzene, which is basically the stuff that competes with jet fuel, costs have more than doubled.
So, in the scheme of things, you know palm oil of 10% is not like a deal breaker the way 20% - 25% inflation is. It is, of course, not going to be, it is okay . In the overall scheme of things, as I said, we are anticipating at $100 Brent and 4,500 MYR palm oil. It still seems to be roughly where we are, kind of 7% to 9% inflation, which between costs and some cuts and pricing we should be able to recover.
As far as t he formulation and competitor it not proper for me to comment on that, I think it is important to say that we are on our path on soaps, I think we're happy with the margins that we have on soaps. A little bit the volume in the so aps category is a little lower than what it's typically been we wonder whether it's because of a colder last year and structural is going on but it is not an alarming change in volumes either you know . So, I think there's a little bit of wait and watch in soaps. It doesn 't seem to be, from what I see a game cha nger 1 way or the other for FY 27.
Avnish Roy: Sure, thank you that’s all from my side.
Moderator : Thank you n ext question is from the line of S iddhesh Deshmukh from IIFL Capital. Please go ahead.
Percy Panthaki: This is Percy Panthaki here. I just wanted to understand, in light of the inflation while there are going to be moving parts in terms of the percentage margin and

the top line. If I just look at the
rupee’s crore in terms of the growth Y -o-Y of the EBITDA level, do you think because of all these events, there is any need for us as analysts to relook at the rupee million EBITDA figure?

Or do you think you will be able to sort of manage what you had in mind before the war started out?
Sudhir Sitapati: Percy, we'll give you guidance on Monday. But at this current stage, this is not an alarming inflation because it has spread out over all categories evenly versus a typical 20%, 25% palm oil inflation, which then one category takes and can't price up and there's a limit to watch. And you can't really take prices on other categories on palm oil inflate.
So, it's hard exactly given , you know, you can see there are 2 variables we are playing with here. there's one fundamental variable which we'll talk on Monday, which is we believe our business is on a compounding effect of a couple of our categories like hair care and actually s ome parts of HI and laundry, etc.
There's , so that's one underlying variable where we just see volume momentum building quarter after quarter. There's another compounding factor of potential El Nino and a third one in West Asia. These are the 3 dimensions we're looking at. Given , so that does put a little bit more difficulty. But I would not say that this is an alarming number as things stand today.
Percy Panthaki: Got it. Any question on soaps. Typically, what happens in the soaps category is that when there is a price increase, there is a significant and measurable sort of volume impact of that price increase. Do you think that this time around that volume impact will not h appen because what has happened is because of the GST, the prices have got cut and now because of inflation, they will go back again, but if you see point -to-point over the last 5, 6 months, for the consumer, the price would not ha ve changed at all. It goes down and then comes in a period of less than half a year or so.
So, from a consumer point of view, if he is seeing that the MRP is roughly unchanged, does that mean that there will be no volume backlash and whatever pricing you take will be purely incremental to the top line?
Sudhir Sitapati: In fact, it may be the other way around, which is GST went from 18 % to 5%, as I told you, palm oil is up 10%. We may not take up the full head. palm oil is not the only thing we may put into soaps.
So, the chances of the price increase we take will be less than the GST benefit that we passed on to consumers. So, if anything, compared to October, the consumer will see pre-October , pre-GST, in fact, is slightly lower prices on soaps. Though our realization will improve because the GST doesn't obviously affect our realization.
Percy Panthaki: Yes, exactly. That's what I was saying. Okay. Got it. We'll catch up on Monday.
Moderator : Next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes. Hi, good evening. You mentioned some price increases already in place. So, any indication on what's the kind of range of price hikes on weighted average basis that have already gone through the market?

Sudhir Sitapati: In soaps , we have taken our prices by 5%. In detergents, we have taken up prices again by 6% or 7%, which is now a meaningful part of our business, maybe 7%. In household insecticide, we have taken up prices again by 4%, 5%. That's the kind of range.
Harit Kapoor: Got it. So, it's already a meaningful price increase which is monitor the market as well ?
Sudhir Sitapati: Yes. Like some of those price increases just happened in April, but all of them just happened in April. So, they're not reflected in the results of last quarter.
Harit Kapoor: Got it. And the second question is on Indonesia. you've slowly kind of been building back the margin also in this quarter, again, at 28% plus operating margin

. Just wanted to get your sense on whether the issues on competitive intensity, etc, kind of completely be hind us because it doesn't reflect like that, at least in your margin delivery over the last few quarters ?
Sudhir Sitapati: Yes. I think the margin delivery has a little bit to do with revenue recognition which in Indonesia, actually, we already did a rou nd last before this Expert Advisory Committee recommendation came up. We already did some reclassifications.
So broadly, Indonesia n margins are where they are, it's not 2 8, it's a competitive ly and then quarter 4 also, we generally have a spike because it's the month of Labaran which is Ramadan there, etcetera. So, I would say Indonesia margins are steady.
Volumes are back to being steady, 2 quarters in a row of 4, probably potential to go to 5% to 6%. But I really do think that some of the businesses which we'll talk about again on Monday, which is Africa international business, even Latin America, etcetera , we may be in the cusp of much higher growth there.
Harit Kapoor: Got it. And last was bookkeeping was on business sense on what your tax rate outlook is for FY'27?
Aasif Huseini Malbari: So, the tax ETR is likely to remain the same as this year. The one -offs which you've taken and we've clarified separately.
Harit Kapoor: Got it .
Moderator : Hari does that answer your question?
Harit Kapoor: Yes. Thank you.
Moderator : Thank you. Next question is from the line of Awais Bakshi from Sundaram Mutual Fund. Please go ahead.
Awais Bakshi: Hi Sudhir, and team. Am I audible?
Sudhir Sitapati : Yes.

Awais Bakshi: Just 2 questions from my side, specifically to your Godrej fab portfolio. Firstly, in terms of your ARR, where are we tracking versus the INR500 crore s exit aspiration. And part to it would be the south and north out split of that current ARR number? And secondly, at what revenue scale does the fab portfolio turn EBITDA positive for us at a bank level, I think those are the 2 questions from mine? Thanks.
Sudhir Sitapati: I think our ARR is about on GSV terms, about INR500 crores in quarter 4 and maybe INR450 crores in NSV terms. So, it's very , of course, internally look at our gross sales value is about INR500 crores. Is a very, very fast tailed brand.
Every quarter is kind of doing better than the previous quarter. It's also kind of broken even in quarter 4. Again, there will be some issues in quarter 1 because laundry does get pretty badly affected by crude .
But we have a good solid path to profitability on fab. And look, we just think that the sky is the limit. This is a INR4,000 crore s market in India very rapidly. we've come from nowhere to becoming INR500 crores. And we feel this market is a hypergrowth market, and we have a lot to gain and very little to lose here.
Awais Bakshi: Sure. And just a follow -up here. Would it be fair to assume that the INR500 crore s growth is more or less to do with South, so more than 50% ?
Sudhir Sitapati: No, fab is now across the country doing extremely well in most states, North Maharashtra, it has gone significantly beyond being a South player. South is leading it. So, everything is bigger. We started there in the South, but this is a national player. We're very excited with the scale opportunity this provides us in the future.
Awais Bakshi: Sir, thanks for taking my question. That's it. Thank you.
Moderator : Thank you. Next question is from the line of Aditya Vikhram from DB Securities Pvt Ltd. Please

go ahead.
Aditya Vikhram: Hi Sudhir, thank you for taking my question. So, if I understand it correctly, you will see margin pressures over the next 2 quarters because of wherever the crude is. Is that a correct interpretation of what you said?
Sudhir Sitapati: I think percent in margins, we will absolute EBITDA also we may or may not, but we will try and see the way we can recover because we do expect both

pricing growth and some kind of
share growth in a few categories.
Aditya Vikhram: Okay. Thanks for that. However, just 1 thing, Sudhir, it has been a couple of quarters now where if 1 category performs, something else doesn't and specifically on personal care, things are not going as planned, right?
So, what is the long -term strategy because it does not , the roadblocks now or the blockers which we will see in the next 2 quarters will only amplify anything which doesn't perform. So, what is the thought on that front?

Sudhir Sitapati: Look, in every quarter, you will have some category performing. I think you have to look at the overall numbers. In India, we delivered 8% volume, 10% sales growth and 18% EBITDA across the world, we delivered 11% revenue and 10% EBITDA.
There will always be some category in some quarter that doesn't do well. I think as long as most geographies are range bound and more , then 1 should be okay with it because these things, they do change a little bit. So, the personal care number is a bit lower than what we thought, but this 3 can go to 7, 8.
Personal care structurally is a slightly slower growing business for us than home care because of the weightage of soaps. But I'm not unduly worried about Personal Care. It's at the lower end of what it should be, it may be a little bit higher than this on the long term. We do expect our home care businesses to really grow much faster.
And so, 1 can expect in the long term, our Home Care business will grow faster than our personal care business is basically the weightage of soaps. But it's not 1 of those things that if you have 1 part of the business doing where another part doing badly and the overall business doesn't do well, then it's a problem. But if the overall business is the 2 big numbers for us are India, UVG, which had 8 is good and overall EBITDA, which 10 is okay. So, I guess, that's how we look at it.
Aditya Vikhram : Okay. And just one, basically on personal care itself, right? You have been bullish in your commentary for the past couple of quarters on so ap doing well or so ap picking up, right? But is it not doing as well as we thought and it's impacting the overall growth ? If you look at it because this year rate of soaps right , is there any plan from the management side to increase the marketing spend or increase the awareness? Or is there some sort of a strategy ?
Because this apparently is 1 pain point, which has been there for the past couple of quarters, at least to, if I can recollect it properly, right? So, if there is any strategy around this that we will spend more on the marketing side to enhance the visibili ty or enhance fee performance ?
Sudhir Sitapati: See, there are a couple of things on soaps. One is last year, we genuinely think was the temperature has affected the overall category volumes because when we look at the data, it is a bit anomalous. FY24 was a good year in terms of volumes, FY25 was okay , FY'26 actually okay in a couple of months. So, there is a temperature impact there.
And also, there is a movement of soaps to liquid. So again, we talk about it on Monday. The biggest thing that we have to do is to look at the overall skin cleansing business. We're having a lot of green shoots on Cinthol body wash.
We're doing extremely well on Magic handwash and now with Muuchstac we have an acquisition in face wash, which is also kind of very promising. So really, we have to change our lens from soaps to cleansing and look at the growth there.
Aditya Vikhram : But nothing more to do on the marketing expense or visibility or anything else, right?

Sudhir Sitapati: It's just about how you gain and gain market share consistently and not to lose market share, but the growth of the market is the growth of the market. So, between cleansing and other catego ries, we'll have to compensate.
And as we show you on Monday,

there are some categories which are on hyper growth and those
are compounding every quarter. So, the impact of that is becoming bigger and bigger every quarter.

Aditya Vikhram : Okay. Thanks so much, Sudhir. Best of luck.
Moderator: Thank you. Next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: Thank you. A question on margins. In the previous two instances when groups crossed $100 in FY2022 saw about 200 bps-controlled margin contraction. Your comments indicate that this time the margin contraction will not be meaningful what 's different their time? Is there any change in business or raw material mix or is it palm oil already high in the days, or GST rate cut is making it easier to raise prices? Any comments on this.
Sudhir Sitapati: I think combination in the palm oil hike so far is a 10% palm oil hike in '22 and all, it had gone up 20%, 25%. So that is not the extent of palm oil inflation we're seeing today. And I think the relative salience of soaps is lower than what it used to be.
Because we are now becoming a larger and larger home care business. So, it's a combination of all these. I still expect, as I told you, lower than normative margins on Q1 and probably Q2, though it may not be very different from what it was last year, but I think that's the reason.
Kunal Vora: Understood. And secondly, detergent, you've taken the single -digit price hike against 50% increase in RM cost. Is there more pricing action required?
Sudhir Sitapati: Sorry, that question wasn't clear.
Kunal Vora: Question was on detergent price hike, the raw material cost has gone up meaningfully, 50%. So, I wanted to understand if there is more pricing hike.
Sudhir Sitapati: Yes, we will kind of do this in a couple of steps. We are, of course, committed to pricing drive. The one is we're st ill no t a market leader in this category. So, we will be led by the market leader here.
Kunal Vora: Understood. Lastly, on RNF molecule has been around now for a year. How has it impacted the HI categories, market share growth acceleration? Or like what kind of gains, you see what kind of traction you see in both in case of incense stick as well as in case of LV. And let's say, do you expect continued acceleration continued gains from this? Or now it's in the b ase?
Sudhir Sitapati: Yes. again, talk about this with Monday in detail, but having looked at our numbers now for a few quarters, we conclude that, in general, R NF has worked better in some places than others. But overall, it has worked, and we feel reasonably confident that from a kind of zero to low single -digit growth category household insecticide side is at leas t a high single -digit strategy.

And over a period of time, can compound into a double -digit category. So, we do feel that the household insecticide problem that plagued us for 10 years is probably behind us. Though, of course, there w ill be, whether you like it or not , be volatile category in terms of season. So, there will be ups and downs in seasons. But that entire mean is, going to change pretty meaningfully. That's what we've been observing because we've been observing the spread over season. We have a seasonality index on household side . And we've been observing a meaningful variance on our total business over seasonality since we launched RNF. it's taken bit of time to happen. But we do see a lot of our main themes on Monday to show you in detail on why we believe the HI issues may be b ehind us.
Kunal Vora: Understood. Thank you. That's it for me.
Moderator: Thank you. Before we take the next question, a reminder to all the participants, if you wish to ask a question, please press star and one. The next question is from the line of Nihal Mahesh Jham from HSBC. Please go ahead.
Nihal Jham: Hi Sudhir. Good evening. I have 2 questions. The first is on soaps, again, that in Q3, you comment

ed that the pack et growth was better than the volume growth. So just trying to understand that with the full impact of the grammage increase sort of playing out in what led to maybe the growth not accelerating versus Q3? Is it that in the pack et to the unit growth to service or deceleration?
Sudhir Sitapati: We're still sitting on very high grammage range growth last year at the same period. So, what happened in soaps is between Q4, Q1 and Q2, basically Q4 of FY'25, Q1 a nd Q2, we'v e had very sharp grammage cuts.
So, we're still lapping basis where our grammage on small pa cks is significantly lower than what it was in Q4 of last year. So, 1 of the reasons why volumes are still a little bit muted on la rge packs were better than they are on small packs.
Nihal Jham: Even adjusting for the GST Y -o-Y the grammages for the small packs are lower is what you essentially mean ?
Sudhir Sitapati: Yes. Because the kind of hike that we took in or drops we took in soaps between Q3 of FY '25 and Q2 of FY'26 when palm prices shot up , if I'm not mistak en, for example, Godrej #1, INR 10 well from something like 55 grams to 40 grams, then we took it back up to, I think, 46 or 47 So it's still a good 15%, 20% lower than what it was last year.
Nihal Jham: Understood. That’s helpful.
Sudhir Sitapati: The second question is you alluded …

Moderator: I'm sorry Nihal, can you use the handset mo de please. You are not audible properly.
Nihal Jham: Sorry for that. Is this better?

Moderator: Yes, please proceed. Thank you.
Nihal Jham: Sudhir, you alluded to the individual components of RM of how they've inflated, whether it was LAP or for palm, but on a blended basis, what is the inflation we are at present facing for the company as a whole?
Sudhir Sitapati: I think we put that out in our result 7% to 9% is what we're seeing.
Nihal Jham: Even on the spot prices.
Sudhir Sitapati: Even on the spot , spot is changing every day, but even on an average, spot price. Let's just say a USD 100 to USD 105 Brent and 4,500 MYR CTO that's what we see.
Nihal Jham: Got that. And just 1 final question on Fab. If I heard you right, you mentioned that obviously, the pricing choices that you plan to take will be more determined by how the market reacts rather than how the RM sort of behaves.
Sudhir Sitapati: Yes. see, when we are leaders, we lead price when we have followers were to follow price.
Nihal Jham: So that's it. Thank you so much .
Moderator: Thank you. Next question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Yes. Hi, Sudhir. Thanks for the opportunity. You know, just at once in basic question, most of the others have been answered. You know, while you're seeing margin under stress over the next coming quarters, you do have price hikes that are leading sales growth. In such a scenario, do you see consolid ated EBITDA growth also following a similar trajectory as margin that is moderating from 4Q levels in the first term? Or how should I see that?
Sudhir Sitapati: Yes. I think so because, of course, India gets hit the most. But I think the same principle will be the percentage margin and we will have absolute EBITDA margins are quite high.
Avi Mehta: Got it. Okay. That's all from my side. Thank you very much .
Moderator: Thank you. Next question is from the line of Adit ya Vikram from DB Securities. Please go ahead.
Aditya Vikram: So, Sudhir, one just follows up. You are alluding that you will take some price hikes and have already taken some over the last 2 years, right? I just wanted to understand in the specific categories like you are taking a price hike, are you seeing some sort of a pri ce in laxity or you are seeing some sort of a drying up on volume based on whatever we have done so far.
Sudhir Sitapati: I don't expect drying up on volumes, to be honest, because I told you, I've seen a couple of t

hese
hyperinflati ons in crude before so there are m arket share gains versus lo cal in some categories you get.

So maybe volumes will be a little lower than what we wanted at the beginning of the year, maybe revenue growth would be a little higher than what we thought we'd ge t at the beginning of the year. Maybe EBITDA will be as things stand slightly lower than what we thought, but still pretty good or maybe to be where it is. But that's what I'm anticipating at current costs.
Aditya Vikram: Okay. Thank you. That's all. Appreciate it .
Moderator: Thank you. That was the last question for today. I now hand the conference over to Mr. Vishal Kedia for closing comments. Over to you, sir.
Vishal Kedia: Thank you, everyone. We hope we have been able to answer all your queries. In case of any further queries, please reach out to us on our IR contact details. Again, I would like to invite you all to our Analyst Investor Meet on Monday, and we hope to see y ou there. Thank you, and good evening.
Moderator: Thank you very much. On behalf of Godrej Consumer Products Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.